

LOBLAWS INC.

- and -

PRESIDENT'S CHOICE SERVICES INC.

- and -

GARDINER FINANCE COMPANY GMBH

- and -

EQB INC.

SHARE PURCHASE AGREEMENT¹

¹ **Note to Vendor:** Draft remains subject to ongoing due diligence and legal, tax and structuring considerations, as well as review by the Purchaser's Barbados counsel. **Note to Purchaser:** Draft remains subject to ongoing due diligence and legal, tax and structuring considerations, as well as review by Vendors' Barbados counsel.

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SHARE PURCHASE AGREEMENT²

This Share Purchase Agreement is made as of [●], 2025,

AMONG:

LOBLAWS INC.
(the “PCB Vendor”)

- and -

GARDINER FINANCE COMPANY GMBH
(the “Global RE Vendor”)

- and -

PRESIDENT'S CHOICE SERVICES INC.
(the “PCFI Vendor” and together with the PCB Vendor and the Global RE Vendor, the
“Vendors”)

- and -

EQB INC.
(the “Purchaser”)

RECITALS

A. The PCB Vendor is the registered and beneficial owner of all of the issued and outstanding shares in the capital of President's Choice Bank, a Schedule I Canadian bank (“PCB”, with such shares being the “PCB Shares”).

B. The Global RE Vendor is the registered and beneficial owner of all of the issued and outstanding Class A Preference Cell Shares in the capital of Cell 2005-3 Global RE SCC, a ~~Barbados entity~~ Segregated Cell Company incorporated under the Companies Act, Cap. 308 of the laws of Barbados, with its registered office situate at The Grove, 21 Pine Road, Belleville, St. Michael BB11113, Barbados³ (“Global RE”, with such shares being the “Global RE Shares”).

C. The PCFI Vendor is the registered and beneficial owner of all of the issued and outstanding shares in the capital of PC Financial Insurance Agency Inc., an Ontario entity (“PCFIA”) and PC Financial Insurance Broker Inc., an Ontario entity (“PCFIB”, with the shares

² **Note to Draft:** Definitions to be aligned between SPA and commercial agreement prior to finalization, where applicable.

³ **Note to Vendor:** Please provide us with a copy of the adjudicated and stamped share transfer instrument which effected the transfer of the preferred shares in the capital of Cell 2005-3 Global RE SCC from Glenhuron Bank Limited to Glenhuron Finance Company GmbH (now Gardiner Finance GmbH).

of PCFIA and PCFIB being collectively the “PCFI Shares” and together with the PCB Shares and the Global RE Shares, the “Shares”).

D. PCB is the registered and beneficial owner of all of the issued and outstanding shares in the capital of Waterford Reinsurance Inc., a ~~Barbados entity~~company incorporated under the Companies Act, Cap. 308 of the laws of Barbados, with its registered office situate at Chancery House, High Street, Bridgetown, St. Michael BB1128, Barbados (“WRE”, with such shares being the “WRE Shares”).

E. The Purchaser is willing to purchase, and the Vendors are willing to sell and cause to be sold, the Shares on and subject to the terms and conditions contained in this Agreement.

For good and valuable consideration, the receipt and adequacy of which are hereby acknowledged by each Party, the Parties agree as follows:

ARTICLE 1 INTERPRETATION

1.1 Definitions. In this Agreement:

“**Accounting Principles**” means (a) the accounting principles set forth in Schedule 1.1(a) of the Disclosure Letter; and (b) IFRS as applicable as at the date of this Agreement. For the avoidance of doubt, clause (a) shall take precedence over clause (b).³⁴

“**Acquired Entities**” means collectively, PCB, Global RE, PCFIA, PCFIB and WRE, and “Acquired Entity” means each of PCB, Global RE, PCFIA, PCFIB and WRE, as the context requires.

“**Acquired Entity Plan**” means each Employee Plan that is maintained by an Acquired Entity.

“**Affiliate**” means, with respect to any Person, any other Person who directly or indirectly controls, is controlled by, or is under direct or indirect common control with, such Person, and includes any Person in like relation to an Affiliate. A Person shall be deemed to “**control**” another Person if such Person possesses, directly or indirectly, the power to direct or cause the direction of the management and policies of such other Person, whether through the ownership of voting securities, by contract or otherwise; and the term “**controlled**” shall have a similar meaning. Each of the Global RE Vendor and the PCFI Vendor shall be deemed to be an Affiliate of the PCB Vendor.

“**Agreement**” means this Share Purchase Agreement.

“**AI Technologies**” means (a) any tools with generative capabilities that, for implicit or explicit objectives, infers, from the input it receives, how to generate new content, including for the generation of text, source code, images, audio, video and data, and (b) any and all other deep learning, machine learning, and other artificial intelligence technologies, including any and all: proprietary algorithms, Software, or systems that

³⁴ **Note to Purchaser:** Accounting Principles remain under review and comments will follow.

make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests, or k-means clustering), reinforcement learning, or computer vision.

“Allocation Principles” has the meaning set out in Section 2.8(1).

“Annual Financial Statements” means collectively, (i) the annual audited consolidated financial statements of PCB comprising the consolidated statements of financial position as of December 31, 2023 and December 31, 2024, the consolidated statements of income and comprehensive income, the consolidated statements of changes in equity, and the consolidated statements of cash flows for the years then ended together with the notes thereof, (ii) the annual audited financial statements of Global RE comprising the statements of financial position as at December 31, 2024 and December 31, 2023, the statements of comprehensive income, statements of changes in equity and statements of cash flows for the years then ended together with the notes thereof, and (iii) the annual unaudited financial statements of PCFIA and PCFIB, each comprising the balance sheets as at December 31, 2024 and December 31, 2023, the statements of retained earnings, and statements of earnings for the years then ended together with the notes thereof.

“Anti-Money Laundering Laws” has the meaning set out in Section 3.2(36)(d).

“Applicable Law” means, with respect to any Person, property, transaction, event, course of conduct or other matter, (a) any foreign or domestic constitution, treaty, law, statute, regulation, code, ordinance, [principle of common law or equity](#), rule, municipal by-law, Order or other requirement having the force of law and (b) any policy, practice, protocol, standard or guideline of any Governmental Authority either having the force of law or is regarded by such Governmental Authority ~~and applicable industry members~~ as requiring compliance as if it had the force of law (collectively in the foregoing clauses (a) and (b), **“Law”**), in each case relating or applicable to such Person, property, transaction, event, course of conduct or other matter and also includes, [\(i\) where appropriate, any interpretation of Law \(or any part thereof\) by any Person having jurisdiction over it, or charged with its administration or interpretation, and \(ii\) any applicable voluntary codes or public commitments administered by the Financial Consumer Agency of Canada.](#)

“Bank Act” means the *Bank Act* (Canada).

“Bank Act Approval” means the approval of the Minister of Finance (Canada) pursuant to Sections 373 and 377.1 of the Bank Act [and any other approval required under the Bank Act for the Purchaser to transfer the PCB Shares to Equitable Bank at or following Closing.](#)

“Banner” means one or more stores or other sales channels, whether physical or digital, selling products or services under the same brand.

“BAR Requirements” has the meaning set out Section 7.17.

“Bonus Pool Limit” has the meaning set out in Section 7.7(7).

“Books and Records” means the Financial Records and all other books, records, files and papers of the Acquired Entities and Eagle including drawings, engineering information, manuals, Business Data and other Data, sales and advertising materials, sales and purchase correspondence, trade association files, research and development records, lists of present and former customers and suppliers, marketing lists and marketing consent records, personnel, employment and other records, and the minute and share certificate books (or equivalent) of each Acquired Entity and Eagle and all records, Business Data and other Data and information stored electronically, digitally or on computer-related media.⁴⁵

“Business” means the business carried on by any or all of the Acquired Entities which involves (i) retail banking products and services, including digital and online banking, including the provision of credit card products and services and retail banking deposit accounts (including spending and savings accounts), (ii) the distribution of property and casualty insurance, (iii) the provision of brokered GICs, (iv) reinsurance, and (v) and securitization activities in conjunction with PCB’s Card Accounts; and, in each case, the activities associated and ancillary thereto.

“Business Data” means all Personal Information and all confidential, proprietary, or otherwise non-public sensitive data in the possession, custody or control of an Acquired Entity that is processed in connection with the Business, including customer or end user data and any sensitive information or Personal Information covered by any contract by which any Acquired Entity is bound.⁵⁶

“Business Day” means any day except Saturday, Sunday or any day on which banks are generally not open for business in the City of Toronto.

“Canadian Dollars” means the lawful currency of Canada.

“Capital Action” means (i) committing to any Governmental Authority to maintain capital levels and capital ratios at a level specified by such Governmental Authority, either formally or informally, and either currently or as a result of the transactions contemplated by this Agreement, (ii) creating a capital plan that is acceptable to any Governmental Authority, either by entering into a new capital plan or modifying an existing capital plan, and (iii) taking all actions reasonably necessary, required, proper, desirable or advisable, including by raising capital through a public or private equity or debt offering, to satisfy fully and achieve the regulatory capital expectations of any Governmental Authority.

“Card Account” means a PCB Card account established pursuant to a Card Account Agreement with PCB and that has not been closed, including any PCB Card account the receivables of which have been sold, transferred or conveyed to Eagle and the other co-owners pursuant to the Securitization Contracts.⁶

⁴⁵ **Note to Draft:** To be reviewed and revised as necessary to ensure PCO Data is excluded.

⁵⁶ **Note to Draft:** To be reviewed and revised as necessary to ensure PCO Data is excluded.

⁶ ~~**Note to Purchaser:** The PCB securitization program is carried out through Eagle and a number of third party bank sponsored asset backed commercial paper conduits (ABCP conduits). Eagle and the ABCP conduits each acquire undivided series co-ownership interests in a common pool of credit card receivables that are generated under a number of designated credit card accounts.~~

“Card Account Agreement” means the written agreement between PCB, on the one hand, and the Cardholder, on the other hand, governing the terms and conditions of a Cardholder’s Card Account, as such agreement may be amended, modified or otherwise changed from time to time (including pursuant to change of terms notices).

“Cardholder” means, with respect to any Card Account, the Person or Persons to whom a PCB Card has been issued and in whose name a Card Account has been established pursuant to a Card Account Agreement, or who is obligated to make payments of amounts owing from time to time with respect to such Card Account, including any guarantor thereof, or any authorized user on any Card Account.

“CASL” means *An Act to promote the efficiency and adaptability of the Canadian economy by regulating certain activities that discourage reliance on electronic means of carrying out commercial activities, and to amend the Canadian Radio-television and Telecommunications Commission Act, the Competition Act, the Personal Information Protection and Electronic Documents Act and the Telecommunications Act*, S.C. 2010, c. 23.

“CEM” means a commercial electronic message, as such term is defined by CASL.

“CET1 Capital Ratio” means the common equity tier 1 capital ratio of PCB, calculated in accordance with the Capital Adequacy Requirements guideline issued by OSFI that is in effect at the Closing Time.

“CET1 Capital Ratio Threshold” means a CET1 Capital Ratio of 13%.

“Charge-Off Policies” has the meaning set out in Section 3.2(36)(h).

“Claim Notice” has the meaning set out in Section 6.4.

“Client” means any Person for whom or to whom PCFIB or PCFIB brokers (whether as the broker of record or otherwise), places, sells or provides, or has brokered, placed, sold or provided, any insurance policies, products or services.

“Closing” means the completion of the purchase and sale of the Shares in accordance with the provisions of this Agreement.

“Closing Adjustments Date” means the date that is ten (10) Business Days after the finalization of the Closing Statements in accordance with Section 2.5(3) or 2.6, as the case may be.

“Closing Balance Sheet” means the combined balance sheet of the Acquired Entities (including Eagle consolidated therein) as of the Measurement Time (after taking account of the Pre-Closing Reorganization and any capital distribution related to the adjusted CET1 Capital Ratio in accordance with Section 7.3(3)), prepared in accordance with the Accounting Principles.

“Closing Book Value” means, as it relates to the Acquired Entities (including Eagle consolidated therein) on a combined basis) as of the Measurement Time (after taking account of the Pre-Closing Reorganization and any capital distribution related to the CET1 Capital Ratio in accordance with Section 7.3(3)), (i) total assets, excluding any NITC Receivables, minus (ii) total liabilities (including Indebtedness and Transaction

Expenses) in each case, as derived from the Closing Balance Sheet and determined in accordance with the Accounting Principles; provided always that Closing Book Value shall exclude any excess capital relating to the Closing CET1 Capital Ratio exceeding the CET1 Capital Ratio Threshold. For the avoidance of doubt, ~~no amount shall be included as any item in~~ Indebtedness or in Transaction Expenses ~~to the extent such amount is already~~ shall be reflected in the Closing Book Value, in a manner to avoid any duplication of amounts.

"Closing CET1 Capital Ratio" means the CET1 Capital Ratio derived from the PCB Closing Balance Sheet as of the Measurement Time calculated in accordance with the Capital Adequacy Requirements guideline issued by OSFI that is in effect at the Closing Time.

"Closing Date" means either (i) the date that is ~~fifteen~~twenty (~~15~~20) Business Days following the day on which the full satisfaction or due waiver of all of the closing conditions set forth in Article 5 (other than those conditions that by their nature can only be satisfied as of the Closing Date) have been satisfied or waived by the appropriate Party, or (ii) such other date as is mutually agreed to in writing by the Parties; provided that, in the event the Closing is required to occur pursuant to the foregoing clause (i) on a date that is not the first Business Day of a month, the Parties agree that the Closing will occur on the first Business Day of the immediately subsequent month; and provided further that, in the event that the Closing is required to occur pursuant to the foregoing clause (i) on a date on which a take-over bid to acquire more than 50% of the Purchaser Shares remains open and has not expired, so long as no Intervening Event has occurred, the Vendor may, in its sole discretion, elect to postpone the Closing Date until five (5) Business Days following the expiry date for the bid, or such earlier date as is mutually agreed to in writing by the Parties.

"Closing Statement Review Period" has the meaning set out in Section 2.5(2).

"Closing Statements" has the meaning set out in Section 2.5(1).

"Closing Time" means the time of Closing on the Closing Date provided for in Section 4.1.

"Collective Agreement" has the meaning set out in Section 3.2(24)(~~g~~h).

"Commissioner of Competition" means the Commissioner of Competition appointed pursuant to the Competition Act or any person duly authorised to exercise the powers of the Commissioner of Competition.

"Competition Act" means the *Competition Act*, R.S.C. 1985, c. C-34, and the regulations promulgated thereunder.

"Competition Act Approval" means, in respect of the transactions contemplated by this Agreement, either: (i) the issuance by the Commissioner of Competition of an advance ruling certificate pursuant to section 102 of the Competition Act that has not been rescinded; or (ii) both of (A) the expiry, waiver or termination of any applicable waiting periods under section 123(1) of the Competition Act, and (B) the Purchaser having received a No Action Letter that has not been rescinded;

“Confidential Information” means, in relation to a Party (the **“Discloser”**):

- (a) all information, in whatever form communicated or maintained, whether orally, in writing, electronically, in computer readable form or otherwise, that the Discloser discloses to, or that is gathered by inspection by a Party (the **“Recipient”**) or any of the Recipient’s Representatives in the course of the Recipient’s review of the transactions contemplated by this Agreement or the certificates, instruments and other documents to be executed and delivered under this Agreement, whether provided before, on or after the date of this Agreement, including information that contains or otherwise reflects information concerning the Discloser, its Affiliates or any of their respective businesses, affairs, financial condition, assets, liabilities, operations, prospects or activities, and specifically includes financial information, budgets, business plans, ways of doing business, business results, prospects, customer lists, forecasts, engineering reports, environmental reports, evaluations, legal opinions, names of venture partners and contractual parties, and any information provided to the Discloser or its Affiliates by third parties under circumstances in which the Discloser or its Affiliates has an obligation to protect the confidentiality of such information;
- (b) all plans, proposals, reports, analyses, notes, studies, forecasts, compilations or other information, in any form, that are based on, contain or reflect any Confidential Information regardless of the identity of the Person preparing the same (**“Notes”**);

but does not include any information that:

- (c) is at the time of disclosure to the Recipient or thereafter becomes generally available to the public, other than as a result of a disclosure by the Recipient or any of the Recipient’s Representatives in breach of this Agreement;
- (d) is or was received by the Recipient on a non-confidential basis from a source other than the Discloser or its Representatives if such source is not prohibited from disclosing the information to the Recipient by a confidentiality agreement with, or a contractual, fiduciary or other legal confidentiality obligation to, the Discloser; or
- (e) was known by the Recipient prior to disclosure in connection with the transactions contemplated by this Agreement and certificates, instruments and other documents to be executed and delivered under this Agreement and was not subject to any contractual, fiduciary or other legal confidentiality obligation on the part of the Recipient.

“Confidentiality Agreement” has the meaning set out in Section 7.2(1).

“Consent” means any consent or approval from any Person that is required in respect of or pursuant to the terms of any Contract in connection with the sale of the Shares to the Purchaser on the terms contemplated in this Agreement, but does not include the Regulatory Approvals.

“Contingent Revenues” means all contingent commissions, guaranteed supplemental commissions, profit sharing payments, bonuses, overrides and similar incentive-based or volume-based revenues payable by an insurance company.

“Continuing Employee” has the meaning set out in Section ~~7.7(1)~~[7.7\(2\)](#).

“Contractor List” has the meaning set out in Section 3.2(24)(a)

“Contracts” means all ~~legally binding~~ contracts, agreements, leases, licences, understandings and arrangements (whether oral or written) to which an Acquired Entity [or Eagle](#) is a party or by which an Acquired Entity [or Eagle](#) or any of their respective properties or assets or the Business is bound or under which an Acquired Entity has rights or obligations.

“Cooperation Indemnities” has the meaning set out in Section 7.14(2).

“Copyright” means all rights, titles, interests and benefits in and to (a) all copyright and neighbouring rights in Works, (b) all registrations for copyright and neighbouring rights, pending applications for registrations of copyright and neighbouring rights, and rights to file applications for registrations of copyright and neighbouring rights, and (c) all *sui generis* rights in Databases.

“Damages” means, whether or not involving a Third Party Claim, any loss, cost, liability, interest, fine, penalty, assessment, Taxes (net of any Tax benefit actually realized by the Indemnified Party ~~at~~[in the taxation year that such time](#)~~Damage was incurred~~), damages, expense (including consultant’s and expert’s fees and expenses and reasonable costs, fees and expenses of legal counsel on a full indemnity basis, without reduction for tariff rates or similar reductions and reasonable costs, fees and expenses of investigation, defence or settlement), but excluding any ~~indirect or~~ punitive damages [except to the extent awarded or assessed in connection with a Third Party Claim](#).

“Data” means any information or data collected or received by, processed by, or output from any Software (including reports, analytics, and alerts), IT System, or AI Technology, and any other information or data, including information and data contained in any Databases.

“Data Room” means the electronic documentation site established on behalf of the Vendors and its Affiliates by Firmex.

“Databases” has the meaning set out in the definition of Works.

[“Deductible” has the meaning set out in Section 6.6\(1\)\(a\).](#)

[“Departing Personnel” has the meaning set out in Section 7.77.7\(1\).](#)

“Deposit Account” means an account established pursuant to a Deposit Account Agreement with PCB and that has not been closed and, in respect of which, a debit card may have been issued.

“Deposit Account Agreement” means the written agreement between PCB, on the one hand, and the Depositor, on the other hand, governing the terms and conditions of a

Deposit Product, as such agreement may be amended, modified or otherwise changed from time to time (including pursuant to change of terms notices).

"Deposit Product" means [(a) high interest saving account, (b) tax-free savings account or (c) GIC.]⁷

"Depositor" means, with respect to any Deposit Account, the Person or Persons in whose name a Deposit Account has been established and, with respect to a GIC, the Person or Persons to whom PCB has issued a GIC, in each case, pursuant to a Deposit Account Agreement.

"Designs" means all industrial designs, including (a) all features of shape, configuration, pattern or ornament and combinations thereof in articles, and (b) all derivatives, modifications and improvements of the foregoing.

"Direct Claim" has the meaning set out in Section 6.4.

"Discloser" has the meaning set out in the definition of Confidential Information.

"Disclosure Letter" means the letter dated on the same date as this Agreement between the Vendors and the Purchaser:

- (a) disclosing information constituting exceptions to the representations and warranties in Article 3; and
- (b) certain other matters referred to in this Agreement.

"Domain Names" means all domain names, including those registered on behalf of an Acquired Entity in the name of an agent or proxy.

"Eagle" means Eagle Credit Card Trust, a trust established pursuant to a declaration of trust under the laws of the Province of Ontario.

"Eligible Participants" has the meaning set out in Section 7.7(7).

"EmployeeEmployees" means those employees of the Vendors and their Affiliates (including the Acquired Entities) who are ~~listed~~[primarily] engaged in the ~~Employee List~~Business.

"Employee List" has the meaning set out in Section 3.2(24)(a).

"Employee Plan" ~~has the meaning set out in Section 3.2(25)(a)~~means each written or oral employee benefit, welfare, supplemental unemployment benefit, bonus, pension, profit sharing, executive compensation, current or deferred compensation, incentive compensation, stock compensation, stock purchase, stock option, stock appreciation, phantom stock option, savings, severance or termination pay, retirement, supplementary retirement, paid time off, hospitalization insurance, salary continuation, legal, health or

⁷ **Note to Vendor:** Products to be confirmed via due diligence.

other medical, dental, life, disability or other insurance (whether insured or self-insured) or similar plan, program, agreement or arrangement maintained or contributed to or required to be contributed to by the Acquired Entities, the Vendors or any of their respective Affiliates (other than the Acquired Entities), for the benefit of the Employees, the Acquired Entities' former employees, current or former service providers and their respective dependants or beneficiaries or with respect to which an Acquired Entity participates or has any actual or contingent liability or obligations, other than Statutory Plans.

“Environmental Law” means Applicable Law in respect of the protection of the natural environment or any species or organisms that make use of it, or the manufacture, importation, handling, transportation, storage, disposal and treatment of Hazardous Substances.

“Estimated Book Value” has the meaning set out in Section 2.3(1)(c).

“Estimated Closing Statements” has the meaning set out in Section 2.3(1).

“Estimated Global Re Share Purchase Price” means the portion of the Estimated Purchase Price allocated to the Global RE Shares in accordance with Section 2.8.

“Estimated PCB Share Purchase Price” ~~has means~~ the ~~meaning set out~~ portion of the Estimated Purchase Price allocated to the PCB Shares in accordance with Section ~~2.4(a)~~ 2.8.

“Estimated PCFI Share Purchase Price” means the portion of the Estimated Purchase Price allocated to the PCFI Shares in accordance with Section 2.8.

“Estimated Purchase Price” has the meaning set out in Section 2.3(1)(c).

“Exchange Approval” means the acceptance by the TSX of notice of the issuance of the Purchaser Consideration Shares to be issued to the PCB Vendor and the PCFI Vendor, as applicable, on the Closing Date pursuant to this Agreement, and the conditional approval by the TSX of the listing and posting for trading of the Purchaser Consideration Shares, subject only to satisfying the TSX's customary listing conditions following the Closing Date within the applicable time periods specified by the TSX.

“Final Allocation Schedule” has the meaning set out in Section 2.8(3).

“Final Compulsory Payment Amount” has the meaning set out in Section 6.13(6)(b).

“Final Compulsory Payment Indemnification Event” means a Final Determination having been made regarding a liability requiring payment under Applicable Law or any Order.

“Final Determination” means a determination made by a Governmental Authority (including pursuant to a settlement) where all rights to object to or appeal from the determination (including any right to obtain relief under a competent authority or similar process) have been exhausted or have expired.

“Final Purchase Price” has the meaning set out in Section 2.5(1).

“Financial Records” means all books of account and other financial Data and information of each Acquired Entity and Eagle, and includes all such records, Data and information stored electronically, digitally or on computer-related media.

“Financial Statements” means, collectively, the Annual Financial Statements and the Interim Financial Statements, true and correct copies of which are attached as Schedule 3.2(7) of the Disclosure Letter.

“Financing” has the meaning set out in Section 7.14(1).

“Financing Sources” means the Persons that have committed to provide the Financing pursuant to a commitment letter or other sources of third party financing to the Purchaser in connection with the transactions contemplated herein.

“GIC” means a guaranteed investment certificate.

“Global RE” has the meaning set out in the recitals hereto.

“Global RE Shares” has the meaning set out in the recitals hereto.

“Global RE Vendor” has the meaning set out in the preamble hereto.

“Governmental Authority” means ~~with respect to any Person:~~

- (a) any domestic or foreign government, whether national, federal, provincial, state, territorial, municipal or local (whether administrative, legislative, executive or otherwise);
- (b) any agency, authority, ministry, department, regulatory body, court, central bank, bureau, board or other instrumentality having legislative, judicial, taxing, regulatory, prosecutorial or administrative powers or functions of, or pertaining to, government;
- (c) any court, tribunal, commission, individual, arbitrator, arbitration panel or other body having adjudicative, regulatory, judicial, quasi-judicial, administrative or similar functions; and
- (d) any other body or entity created under the authority of or otherwise subject to the jurisdiction of any of the foregoing, including any authority regulating banks, insurance intermediaries or any stock or other securities exchange or professional association, and shall include, as applicable, the Minister of Finance (Canada), OSFI, the Commissioner of Competition, the Financial Transactions and Reports Analysis Centre of Canada, the Financial Consumer Agency of Canada, and any provincial or territorial consumer protection regulator or insurance regulator having or purporting to have jurisdiction in the relevant circumstances, or any Person acting or purporting to act under the authority of any of the foregoing (including any arbitrator);

~~in each case relating or applicable to such Person.~~

“Hazardous Substance” means any solid, liquid, gas, odour, heat, sound, vibration, radiation or combination of them that may impair the natural environment, injure or

damage property or plant or animal life or harm or impair the health of any individual and includes any contaminant, waste, or substance or material defined, prohibited, regulated or reportable pursuant to any Environmental Law.

“ICA” means the *Investment Canada Act*, R.S.C. 1985, c. 28 (1st Supp.), and the regulations promulgated thereunder.

“IFRS” means International Financial Reporting Standards and related Interpretations issued or adopted by the International Accounting Standards Board.

“Indebtedness” of any Person means, without duplication:

- (a) all obligations of such Person for borrowed money or with respect to advances;
- (b) all obligations of such Person evidenced by bonds, debentures, notes or similar instruments;
- (c) all obligations of such Person under financing arrangements that bear interest or otherwise accrue a financing cost as of the Measurement Time, excluding trade payables and accrued liabilities incurred in the ordinary course of business;
- (d) all obligations of such Person in respect of the deferred purchase price of property or services (excluding current accounts payable and accrued expenses incurred in the ordinary course of business);
- (e) all Indebtedness of others secured by (or for which the holder of such Indebtedness has an existing right, contingent or otherwise, to be secured by) any Lien on property owned or acquired by such Person, ~~but only to whether or not the extent such~~ Indebtedness secured thereby has been assumed;
- (f) all guarantees by such Person of Indebtedness of others ~~to the extent drawn or called~~;
- (g) all lease obligations that are required to be capitalized on the balance sheet in accordance with IFRS 16, Leases, of such Person, ~~excluding obligations under operating leases~~;
- (h) all obligations, contingent or otherwise, of such Person as an account party in respect of ~~drawn~~ letters of credit and letters of guarantee (other than letters of credit and letters of guarantee issued in support of current accounts payable incurred in the ordinary course of business);
- (i) all obligations, contingent or otherwise, of such Person in respect of bankers' acceptances;
- (j) all obligations under any foreign exchange contract, currency swap agreement, ~~or foreign currency futures, in each case calculated on a net mark-to-market basis, and excluding any such contracts that are in an asset or neutral position or~~ options, exchange rate insurance or other similar agreement or combination thereof;

- (k) all liabilities of such Person for current Taxes that are due and payable;
- (l) any amendment, supplement, modification, deferral, renewal, extension, refunding or refinancing of any Indebtedness of the types referred to above; and
- (m) any accrued but unpaid interest, prepayment penalties, premiums, early termination fees, breakage costs, fees and other costs and expenses ~~actually payable~~ associated with repayment or settlement of any Indebtedness of the types referred to above.

For greater certainty, Indebtedness shall not include (i) trade payables, ~~or~~ accrued liabilities, ~~customer deposits, or other ordinary course current liabilities,~~ (ii) intercompany balances, (iii) deferred revenue, ~~or~~ (iv) ~~unfunded employee, pension or tax liabilities or Transaction Expenses, or (v) any contingent or untriggered obligations.~~

"Indemnified Party" means a Person whom the Vendors or the Purchaser, as the case may be, is required to indemnify under ~~0~~[Article 6](#).

"Indemnified Taxes" has the meaning set out in Section 6.2(c).

"Indemnifying Party" means, in relation to an Indemnified Party, the Party that is required to indemnify such Indemnified Party under ~~0~~[Article 6](#).

"Independent Accountant" has the meaning set out in Section 2.6.

"Independent Contractors" means individual independent contractors engaged by the Vendors and their Affiliates (including the Acquired Entities) who [primarily] provide services to the Business.

"In-Force Policies" has the meaning set out in Section 3.2(11)(a).

~~**"Initial Allocation Schedule"** has the meaning set out in Section 2.8(2).~~

~~**"Insurance Companies Act"** means the *Insurance Companies Act (Canada)*.~~

"Insurance Support Agreement" has the meaning set out in Section ~~7.21~~[7.20](#).

"Insurance Support Term Sheet" means the term sheet attached as Schedule ~~7.21~~[7.20](#) to the Disclosure Letter.

"Integration and Launch Plan" has the meaning set out in Section 7.22.

"Intellectual Property" means all intellectual property and related rights, throughout the world, whether or not registrable, patentable or otherwise formally protectable, and whether or not registered, patented, otherwise formally protected or the subject of a pending application for registration, patent or any other formal protection, including:⁸

⁸ **Note to Purchaser:** Definition of Intellectual Property and all other IP related definitions remain subject to review by Vendors.

- (a) all rights, titles, interests and benefits in and to Trademarks, including (i) all common law rights in Trademarks, (ii) all registrations, pending applications for registration and rights to file applications for Trademarks, and (iii) all rights of priority and all extensions of the foregoing applications and registrations for Trademarks;
- (b) all rights, titles, interests and benefits in and to Inventions, including Patent Rights;
- (c) all rights, titles, interests and benefits in and to Works, including Copyright and the moral rights and all waivers of moral rights in Works;
- (d) all rights, titles, interests and benefits in and to Designs, including (i) all design patents, industrial design registrations, pending design patent applications, pending applications for industrial design registrations and rights to file applications for Designs, and (ii) all rights of priority and all rights in provisionals, continuations, continuations-in-part, divisionals, re-examinations, reissues, extensions, and other derivative applications, patents and registrations of the foregoing patents, registrations and applications for Designs;
- (e) all rights, titles, interests and benefits in and to Know-How;
- (f) all rights, titles, interests and benefits in and to (i) Telephone Numbers and the accounts therefor, (ii) the Social Media Identities and the accounts therefor, and (iii) Domain Names, the accounts therefor and the registrations thereof;
- (g) all rights, titles, interests and benefits in and to all licences, consents, permissions, covenants not to sue and other contractual rights in respect of, or relating to, the items set out in (a) through (f) above;
- (h) all rights, titles, interests and benefits in and to revenues and proceeds in respect of the Intellectual Property and the rights, titles, interests and benefits set out in (a) through (f) above; and
- (i) all rights, titles, interests and benefits to enforce all rights and to obtain all remedies, including damages, accountings of profits, other compensation, and interim, temporary, interlocutory and permanent injunctions, for the infringement and other violations of the rights, titles, interests and benefits set out in (a) through (f) above.

“Interac Participation Agreement” means the participation agreement between Interac Corp. (“Interac”) and PCB dated June 5, 2018, pursuant to which Interac provides certain services to PCB to facilitate electronic money transfers for or by PCB customers.

“Interim Financial Statements” means collectively, (i) the unaudited consolidated statement of financial position and statement of earnings of PCB for the nine-month period ended September 30, 2025, (ii) the unaudited balance sheet and statement of income and retained earnings of Global RE for the nine-month period ended September 30, 2025, and (iii) the unaudited balance sheets and statements of earnings of PCFIA and PCFIB for the nine-month period ended September 30, 2025.

"Interim Period" means the period from the date of execution of this Agreement to the Closing Time.

"Intervening Event" means any one or more of the following events occurring after the date of this Agreement and before the date on which the closing conditions set forth in Article 5 (other than those conditions that by their nature can only be satisfied as of the Closing Date) have been satisfied or waived by the appropriate Party:

- (a) the mailing by the Purchaser or any other person of an information circular to the Purchaser's shareholders with respect to a possible transaction relating to the acquisition of more than 50% of the ~~securities of the~~ Purchaser Shares (with such 50% including ~~securities of the~~ Purchaser Shares held directly or indirectly by such person or group of persons), which the Purchaser has agreed to recommend to the Purchaser's shareholders;
- (b) the formal and public announcement by the Purchaser ~~or any other person~~ of the signing of a definitive agreement between the Purchaser and another person with respect to a transaction relating to the acquisition of ~~at least~~ more than 50% of the ~~securities of the~~ Purchaser Shares (with such 50% including ~~securities of the~~ Purchaser Shares held directly or indirectly by such person or group of persons);
- (c) the ~~mailing~~ formal and public announcement by the Purchaser ~~or any other person of an information circular to~~ of the signing of a definitive agreement between the Purchaser's ~~shareholders~~ and another person with respect to a ~~possible~~ transaction relating to the acquisition of ~~at least 50%~~ all or substantially all of the assets of the Purchaser on a consolidated basis; ~~(d) the formal and public announcement by the Purchaser or any other person of the signing of a definitive agreement with respect to a transaction relating to the acquisition of at least 50% of the assets of the Purchaser on a~~ based on the consolidated basis; and ~~(e) any solicitation of proxies by any person other than~~ financial statements of the Purchaser ~~to vote~~ most recently filed prior to such announcement; and
- (d) in connection with a take-over bid to acquire more than 50% of the Purchaser Shares (with such 50% including Purchaser Shares held directly or ~~other voting securities~~ indirectly by such person or group of persons), a bidder taking up and paying for Purchaser Shares constituting more than 50% of the Purchaser ~~in respect of director nominees or other matters relating to the Purchaser~~ Shares;

for greater certainty (a), (b), (c) and (d) shall be interpreted to include any form of transaction, including any purchase, plan of arrangement, merger, amalgamation, consolidation, take-over bid, business combination or similar transaction.

"Inventions" means all inventions, including (a) all arts, processes, machines, manufactures, compositions of matter, and (b) all improvements to the foregoing.

"Investor Rights Agreement" means the investor rights agreement between the Purchaser, the PCB Vendor and, if applicable, the PCFI Vendor, substantially in the form appended as Schedule 4.2(l) to the Disclosure Letter.

"IT Systems" means all computer hardware, devices, peripheral equipment, Software and firmware, Databases, telecommunications networks, network equipment, interfaces, platforms, electronic data processing, technology infrastructure and other information technology systems and services, in each case, that are owned, leased, licenced, used or relied on by, accessible to, an Acquired Entity to operate the Business and including to receive, store, process or transmit Data.

"ITA" means the *Income Tax Act*, R.S.C. 1985, c. 1 (5th Supplement) as amended from time to time.

"Know-How" means all know-how, trade secrets, proprietary information, confidential information and information of a sensitive nature, in whatever form communicated, maintained or stored, including (a) all formulae, recipes, algorithms, business methods, technical processes, specifications, manuals, drawings, prototypes, models, corporate plans, management systems and techniques, (b) all information relating to the research, development, manufacture, marketing, sales or post-sales activities of any past, present or future goods or services, including lab journals, notebooks, design documentation, engineering documentation, manufacturing documentation, costing information, advertising plans, pricing information, customer names, customer lists and other details of customers, supplier names, supplier lists and other details of suppliers, sales targets, sales statistics, market share information, market research and survey information.

"Law" has the meaning set out in the definition of "Applicable Law".

"LCL Group" means, collectively, the Vendors, Affiliates of the Vendors, the Acquired Entities and their respective Banners.

"Leased Premises" means all real property that is leased, subleased, licensed or otherwise occupied or used by an Acquired Entity, including all Leasehold Improvements thereon, therein or thereunder, ~~but excludes~~including all real property licensed pursuant to any license agreement in respect of the Pavilions.

"Leasehold Improvements" means all buildings, fixtures, sidings, parking lots, roadways, structures, erections, fixed machinery, fixed equipment and appurtenances situate on, in, under, over or forming part of, any real property.

"Legal Proceeding" means any litigation, action, application, suit, investigation, hearing, claim, complaint, grievance, civil, administrative, regulatory or criminal, arbitration proceeding or other similar proceeding, before or by any Governmental Authority, and includes any appeal or review thereof and any application for leave for appeal or review.

"Licence" means any licence, permit, authorization, approval or other evidence of authority issued or granted to, conferred upon, or otherwise created for, an Acquired Entity or an Employee or ~~independent contractor~~Independent Contractor by any Governmental Authority.

“Licensed-In Intellectual Property” means all Intellectual Property (a) which is not Owned Intellectual Property, and (b) in which an Acquired Entity has a right, interest, benefit, licence or permission to access, use, practice or otherwise enjoy or exploit, including pursuant to a Contract, covenant not to sue, custom or practice, [Order or Applicable Law](#).

“Licensed-Out Intellectual Property” means all Intellectual Property which an Acquired Entity permits or licences another Person, other than another Acquired Entity, to access, use, practice or otherwise enjoy or exploit, including pursuant to a Contract, covenant not to sue, custom or practice, Order or Applicable Law.

“Lien” means any lien, mortgage, charge, hypothec, pledge, security interest, prior assignment, option, warrant, lease, sublease, licence, right to possession, encumbrance, claim, right or restriction which affects, by way of a conflicting ownership interest or otherwise, the right, title or interest in or to any particular property.

“Malicious Code” means any ~~unauthorized~~ “virus”, “worm”, “bug”, “time bomb”, “time lock” “key-lock”, “backdoor”, “trapdoor”, “drop dead device”, “Trojan horse”, “spyware”, or “adware” or any other ~~unauthorized~~ software routine or code designed or intended to have any of the following functions: (a) disrupting, disactivating, disabling, harming, or otherwise impeding in any manner the operation of, or providing unauthorized access to, any IT System, Software or device on which such code is stored or installed, or (b) compromising the privacy or data security of a user or damaging or destroying any data or file without the user’s consent.

“Mandatory Disclosure Rules” has the meaning set out in Section ~~7.127.10(a)~~.

“Mastercard Guarantee” means the guarantee provided by the PCB Vendor to Mastercard International Incorporated in the amount of US\$[~~190,000,000~~].

“Material Adverse Change” means any fact, state of facts, change, event, occurrence, effect or circumstance that, when taken individually or in the aggregate, has had or would reasonably be expected to have a material and adverse effect on (i) the Business, property, assets, liabilities, results of operations or condition (financial or otherwise) of the Acquired Entities, taken as a whole (which, for purposes of considering the extent to which such fact, state of facts, change, event, occurrence, effect or circumstance has such a material and adverse effect, shall, for greater certainty, take into account the effect on assets under administration of the Vendors and the Acquired Entities, or the ability of PCB to access securitization funding generally) or (ii) the ability of the Vendors to consummate the transactions contemplated by this Agreement, except, in ~~all cases~~ [respect of subparagraph \(i\) of this definition](#), any such fact, state of facts, change, event, occurrence, effect or circumstance resulting from or arising in connection with any of the following shall not, in and of itself, constitute a Material Adverse Change: (a) the global, national or regional economy, credit markets or securities markets in general; (b) any change, effect, event, occurrence, state of fact or circumstance affecting the industries or market sectors in which the Acquired Entities operate; (c) any change, effect, event, occurrence, state of fact or circumstance in global, national or regional political conditions (including the outbreak or escalation of hostilities, acts of war, sabotage or acts of terrorism); (d) any natural or man-made disaster or act of God (including epidemics, pandemics, disease outbreak, other health crisis or public health event); (e) any adoption, proposed implementation or change in Laws or any applicable

regulatory rules, or any interpretation thereof by any Governmental Authority, or changes in capital requirements for Schedule I Canadian bank required by Laws or mandated by any Governmental Authority; (f) any change in IFRS or change in interpretation thereof; (g) actions, changes or inactions required by this Agreement (other than any such actions, changes or inactions taken in the Ordinary Course of Business) or that are taken with the prior written consent of Purchaser; (h) the announcement or pendency of the transactions contemplated by this Agreement; and (i) the failure by the Acquired Entities to meet any projections, estimates or budgets for any period prior to, on or after the date of this Agreement (it being understood that the cause or causes of any such failure to meet such projections, estimates or budgets may constitute, in and of itself or when taken together with any other fact, state of facts, change, event, occurrence, effect or circumstance, a Material Adverse Change, and may be taken into account in determining whether or not a Material Adverse Change has occurred); except in the case of clauses (a) through (f), to the extent such fact, state of facts, change, event, occurrence, effect or circumstance has a materially disproportionate effect on the Business (~~take~~taken as a whole) as compared to other businesses operating in the same industry as the Business.

“Material Client” has the meaning set out in Section 3.2(11)(a).

“Material Contract” has the meaning set out in Section 3.2(12)(b).

“Material Licences” has the meaning set out in Section 3.2(14).

“Maximum Purchaser Share Number” has the meaning set out in Section 2.4(a)(ii).

“Measurement Time” means 12:01 a.m. on the Closing Date.

“Minimum Purchaser Share Number” has the meaning set out in Section 2.4(a)(i).

“Multi-Employer Plan” means an ~~Employee Plan~~employee benefit plan that applies to or permits participation by employers that are not Affiliates of the Acquired Entities, including any “multi-employer pension plan” as that term is defined in subsection 1(1) of the *Pension Benefits Act* (Ontario) or an equivalent plan under pension standards legislation of another applicable Canadian jurisdiction and any “multi-employer plan” as that term is defined in subsection 8500(1) of the *Income Tax Regulations* (Canada).

“NI 51-102” means National Instrument 51-102 *Continuous Disclosure Obligations* of the Canadian Securities Administrators.

“NITC Audits and Objections” has the meaning set out in Section 7.10(b).

“NITC Litigation” has the meaning set out in Section 7.10(a).

“NITC Receivable” means ~~the~~any amount included in the Closing ~~Book Value~~Balance Sheet as a Sales Tax notional input tax credit (“NITC”) receivable (inclusive of interest thereon).

“No Action Letter” means written confirmation from the Commissioner of Competition that the Commissioner of Competition does not, at that time, intend to make an

application under section 92 of the Competition Act in respect of the transactions contemplated by this Agreement;

"Notes" has the meaning set out in paragraph (b) of the definition of Confidential Information.

"Open Source Software" means all Software that is, now or in the future, distributed as "free software", "open source software" or under a similar licensing or distribution model, including any Software that requires Software or other materials to be distributed or licenced as "free software" or "open source software", and any library or code licenced under the GNU General Public License (GPL), GNU Lesser General Public License (LGPL), Mozilla Public License (MPL), or any other licence for software that meets the "Open Source Definition" promulgated by the Open Source Initiative and/or listed at <http://www.opensource.org/licenses/alphabetical>.

"Order" means any order, directive, judgment, decree, injunction, decision, ruling, award or writ of any Governmental Authority.

"Ordinary Course of Business" means, when used in relation to the taking of action by the Vendors in relation to the Business, that the action is consistent, in all material respects, with past practices of the Business.

"OSFI" means the Office of the Superintendent of Financial Institutions.

"Outside Date" means 12 months from the date of this Agreement or such later date as may be agreed to in writing by the Purchaser and the Vendors, provided that (i) if on such date the ~~condition~~conditions set forth in Section 5.1(6) (Regulatory Approvals) and Section 5.3(7) (Regulatory Approvals) shall not be satisfied but all other conditions set forth in Article 5 (other than those conditions which by their nature are to be satisfied by actions taken at Closing) shall have been satisfied, and provided further that on such date the Parties are continuing to proceed in good faith to obtain such approvals, then the Outside Date shall be automatically postponed by up to two extensions of four months each, unless otherwise agreed between the Purchaser and the Vendors, acting reasonably, and (ii) if on such date ~~an Intervening Event has been announced by any party other~~a take-over bid to acquire more than 50% of the Purchaser but Shares remains open and has not ~~closed, the Vendor~~expired, so long as no Intervening Event has occurred, the Purchaser, on the one hand, and the Vendors, on the other, may, ~~each in its~~their sole discretion, elect to postpone the Outside Date ~~by up to four months~~until the date that is 5 Business Days following the expiry of the bid.

"Owned Intellectual Property" means all Intellectual Property in which an Acquired Entity owns or purports to own any interest.

"Owned Software" has the meaning set out in Section 3.2(31)(a).

"Party" means a party to this Agreement and any reference to a Party includes its successors and permitted assigns and **"Parties"** means every Party.

"Patent Rights" means all rights, titles, interests and benefits in and to Inventions, including (a) all utility patents, pending utility patent applications and rights to file utility patent applications for the Inventions, (b) all rights of priority and all rights in

provisionals, continuations, continuations-in-part, divisionals, re-examinations, reissues, extensions and other derivative applications and patents of the foregoing patents and patent applications for the Inventions, and (c) all inventors' certificates, utility models, applications for utility models and rights to file utility models for Inventions.

"Pavilion" means a dedicated customer service area for the purposes of providing financial information or services to PCB clients in any Banner of ~~the Vendors and Affiliates~~ a Vendor or any Affiliate of ~~the Vendors~~ a Vendor.

"Payment Network" means the card association or card network associated with the Card Accounts (as applicable).

"Payment Network Rules" means the by-laws and other membership and operating rules of the Payment Network, as amended by the Payment Network from time to time.

"PC Optimum Program" means the loyalty program offered by the PCFI Vendor.

"PC Optimum Terms and Conditions" means the terms and conditions of the PC Optimum Program.

"PCB" has the meaning set out in the recitals hereto.

"PCB Card" means a credit card issued by PCB, including [PC Mastercard, PC World Mastercard, PC World Elite Mastercard, PC Insiders World Elite Mastercard].⁹

"PCB Closing Balance Sheet" means the consolidated balance sheet of PCB as of the Measurement Time prepared in accordance with the Accounting Principles.

"PCB Shares" has the meaning set out in the recitals hereto.

"PCB Vendor" has the meaning set out in the preamble hereto.

"PCFI Shares" has the meaning set out in the recitals hereto.

"PCFI Vendor" has the meaning set out in the preamble hereto.

"PCFIA" has the meaning set out in the recitals hereto.

"PCFIB" has the meaning set out in the recitals hereto.

~~"Pension Plans"~~ **"Performance Guarantor Release Consent"** has the meaning set out in Section ~~3.2(25)(e)~~ 7.23(1).

"Permitted Liens" means:

- (a) liens for Taxes, assessments and governmental charges that are not yet due or that are due but are being contested in good faith and diligently by appropriate proceedings;

⁹ **Note to Vendor:** Card products to be confirmed via diligence.

- (b) mechanics', material person's, carriers', workers', repairers', construction contractors', landlords' and similar liens if individually or in the aggregate: (i) they are not material, (ii) they arose or were incurred in the Ordinary Course of Business, (iii) notice of them has not been given to the applicable Acquired Entity, and (iv) the debt secured by them is not in arrears;
- (c) in respect of real property, servitudes, easements, defects, restrictions, rights-of-way, zoning regulations and other similar rights or restrictions or any interest therein, if registered and provided the same are not of such nature as to materially adversely affect the use or value of the property subject thereto;
- (d) restrictions on the transfer of securities arising under Law or under the constating documents of an Acquired Entity; and
- (e) the Liens listed in Schedule 1.1(b) of the Disclosure Letter.

"Person" is to be broadly interpreted and includes an individual, a corporation, a partnership, a trust, an unincorporated organization, a Governmental Authority, and the executors, administrators or other legal representatives of an individual in such capacity.

"Personal Information" means information about an identifiable individual and includes any information that constitutes personal information within the meaning of one or more Privacy Laws.

"Personal Property" means all machinery, equipment, furniture, motor vehicles and other chattels owned or leased by an Acquired Entity (including those in possession of suppliers, customers and other third parties).

"Policies" has the meaning set out in Section 3.2(36)(l).

"Pooling and Servicing Agreement" has the meaning set out in Section 7.3(6).

"Pre-Closing Reorganization" has the meaning set out in Section 7.15.

"Pre-Closing Tax Period" means a taxation year or other fiscal period that ends on or before the Closing Time.

"Preliminary Compulsory Payment Amount" has the meaning set out in Section 6.13(6)(a).

"Premises Lease" means a lease, an agreement to lease, a sublease, a licence agreement and an occupancy or other agreement under which an Acquired Entity has the right, or has granted another Person the right, to use or occupy any Leased Premises, excluding any license agreement granted pursuant to the Program Participation Agreement.

"Premium" means 1.15.

"Privacy Law" means the *Personal Information Protection and Electronic Documents Act* (Canada), the *Personal Information Protection Act* (British Columbia), the *Personal*

Information Protection Act (Alberta), the Act respecting the protection of personal information in the private sector (Quebec) and any comparable Law.

“Privacy Requirements” has the meaning set out in Section 3.2(29)(a).

“Processor” has the meaning set out in Section 3.2(29)(b).

“Product Collateral” means, in respect of any Card Account, Deposit Account or any other PCB issued product or service, the related product collateral including any application, required disclosures, statements, confirmations card carrier or other documentation, as applicable.

“Program Participation Agreement” means the program partnership program agreement among [●], [●], and [●], substantially in the form appended as Schedule 4.2(k) to the Disclosure Letter.

“Purchase Price” has the meaning set out in Section 2.2.

“Purchaser” has the meaning set out in the preamble hereto.

“Purchaser Claim Threshold” has the meaning set out in Section 6.6(2)(a).

“Purchaser Consideration Shares” has the meaning set out in Section 2.4(a).

“Purchaser Filings” means all documents publicly filed by or on behalf of the Purchaser on SEDAR+ since October 31, 2023 and before the date hereof.

“Purchaser Fundamental Representations” means Section 3.3(1) (Incorporation and Corporate Power), Section 3.3(2) (Authorization by Purchaser), Section 3.3(3) (Enforceability of Obligations), Section 3.3(4) (Absence of Conflicting Agreements), 3.3(6) (Consideration Shares), and 3.3(14)(a)-(c) (Authorized and Issued Capital).

“Purchaser Indemnity Cap” has the meaning set out in Section 6.6(2)(b).

“Purchaser IT Systems” means all computer hardware, devices, peripheral equipment, Software and firmware, Databases, telecommunications networks, network equipment, interfaces, platforms, electronic data processing, technology infrastructure and other information technology systems and services, in each case, that are owned, leased, licenced, used or relied on by, accessible to, Purchaser to operate the Purchaser’s business and including to receive, store, process or transmit Data.

“Purchaser Material Adverse Change” means any fact, state of facts, change, event, occurrence, effect or circumstance that, when taken individually or in the aggregate, has had or would reasonably be expected to have a material and adverse effect on (i) the business, property, assets, liabilities, results of operations or condition (financial or otherwise) of the Purchaser and its subsidiaries, taken as a whole (which, for purposes of considering the extent to which such fact, state of facts, change, event, occurrence, effect or circumstance has such a material and adverse effect, shall, for greater certainty, take into account the effect on assets under administration of the Purchaser and its subsidiaries), or (ii) the ability of Purchaser to consummate the transactions contemplated by this Agreement, except, in ~~all cases~~ respect of subparagraph (i) of this definition, any such fact, state of facts, change, event, occurrence, effect or

circumstance resulting from or arising in connection with any of the following shall not, in and of itself, constitute a Purchaser Material Adverse Change: (a) the global, national or regional economy, credit markets or securities markets in general; (b) any change, effect, event, occurrence, state of fact or circumstance affecting the industries or market sectors in which the ~~Acquired Entities~~Purchaser and its subsidiaries operate; (c) any change, effect, event, occurrence, state of fact or circumstance in global, national or regional political conditions (including the outbreak or escalation of hostilities, acts of war, sabotage or acts of terrorism); (d) any natural or man-made disaster or act of God (including epidemics, pandemics, disease outbreak, other health crisis or public health event); (e) any adoption, proposed implementation or change in Laws or any applicable regulatory rules, or any interpretation thereof by any Governmental Authority, or changes in capital requirements for Schedule I Canadian bank required by Laws or mandated by any Governmental Authority; (f) any change in IFRS or change in interpretation thereof; (g) actions, changes or inactions required by this Agreement (other than any such actions, changes or inactions taken in the Ordinary Course of Business) or that are taken with the prior written consent of Purchaser; (h) the announcement or pendency of the transactions contemplated by this Agreement; and (i) the failure by the Purchaser to meet any projections, estimates or budgets for any period prior to, on or after the date of this Agreement (it being understood that the cause or causes of any such failure to meet such projections, estimates or budgets may constitute, in and of itself or when taken together with any other fact, state of facts, change, event, occurrence, effect or circumstance, a Purchaser Material Adverse Change, and may be taken into account in determining whether or not a Purchaser Material Adverse Change has occurred); except in the case of clauses (a) through (f), to the extent such fact, state of facts, change, event, occurrence, effect or circumstance has a materially disproportionate effect on the business of the Purchaser and its subsidiaries (~~take~~taken as a whole) as compared to other businesses operating in the same industry as the ~~Business~~Purchaser and its subsidiaries.

"Purchaser ~~Plans~~Global Re Share Consideration Amount" means the aggregate value (expressed as an aggregate amount based on the Purchaser Share Price) of the Purchaser Global Re Consideration Shares, being (i) the Purchaser Share Price, multiplied by (ii) the number of Purchaser Global Re Consideration Shares issued to the Global Re Vendor, if any.

"Purchaser Global Re Consideration Shares" has the meaning set out in Section ~~3.3(23)~~ 2.4(b)(iii).

"Purchaser PCB Share Consideration Amount" means the aggregate value (expressed as an aggregate amount based on the Purchaser Share Price) of the Purchaser PCB Consideration Shares, being (i) the Purchaser Share Price, multiplied by (ii) the number of Purchaser PCB Consideration Shares issued to the PCB Vendor.

"Purchaser PCB Consideration Shares" has the meaning set out in Section 2.4(b)(i).

"Purchaser PCFI Share Consideration Amount" means the aggregate value (expressed as an aggregate amount based on the Purchaser Share Price) of the

Purchaser PCFI Consideration Shares, being (i) the Purchaser Share Price, multiplied by (ii) the Purchaser PCFI Consideration Shares issued to the PCFI Vendor, if any.

“Purchaser PCFI Consideration Shares” has the meaning set out in Section 2.4(b)(ii).

“**Purchaser Share Consideration Amount**” means the aggregate value (expressed as an aggregate amount based on the Purchaser Share Price) of the Purchaser Consideration Shares, being (i) the Purchaser Share Price, multiplied by (ii) the number of Purchaser Consideration Shares issued pursuant to Section 2.4.

“**Purchaser Share Price**” means \$[•].¹⁰

“**Purchaser Shares**” means common shares in the capital of Purchaser.

“Purchaser Tax Representations” has the meaning set out in Section 6.5(2)(b).

“**Purchaser’s Indemnified Parties**” means the Purchaser, the Purchaser’s Affiliates, the Acquired Entities and their respective Representatives.

“**Re-Aging Policy**” has the meaning set out in Section 3.2(36)(j).

“**Real Property**” means the Leased Premises.

“**Recipient**” has the meaning set out in the definition of Confidential Information.

“**Regulatory Approval**” means any approval, consent, ruling, authorization, notice, permit, waiver or acknowledgement that may be required from any Person pursuant to Applicable Law or under the terms of any Licence or the conditions of any Order (a) in connection with the transactions contemplated by this Agreement, (b) to permit the Acquired Entities to carry on the Business after Closing, or (c) which is otherwise necessary to permit the Parties to perform their obligations under this Agreement.

“**Regulatory Correspondence**” means copies of any correspondence or other documentation received or prepared by the Vendors or Acquired Entities in connection with the receipt of any comment letter, warning letter or pending hearings or investigations on regulatory matters from any Securities Regulator or any other Governmental Authority in connection with the Business.

“**Regulatory Requirement**” has the meaning set out in Section 7.6(7).

“**Release**” means an actual discharge, deposit, spill, leak, pumping, pouring, emission, emptying, injection, escape, leaching, seepage, or disposal of a Hazardous Substance.

“**Representation and Warranty Policy**” means the buyer-side representation and warranty insurance policy obtained by Purchaser, a copy of which is appended as Exhibit ■ hereto.

¹⁰ **Note to Vendor:** Purchaser Share Price to be based on the [•]-day VWAP prior to signing of this Agreement.

“Representative” when used with respect to a Person means each director, officer, employee, consultant, financial adviser, legal counsel, accountant and other agent, adviser or representative of that Person.

“Restricted Business” has the meaning set out in Section 7.13(1).

“Restricted Period” has the meaning set out in Section 7.13(1).

“Restrictive Covenants” has the meaning set out in Section 7.13(7).

“Retention Amount” means the deductible or retention amount under the Representation and Warranty Policy, which is equal to \$■ until the twelve-month anniversary of the Closing Date and reduces to \$■.¹¹

“Retention Bonuses” has the meaning set out in Section 7.7(7).

“Retention Bonus Pool Program” has the meaning set out in Section 7.7(7).

~~**“Retention Bonus Program”** means the cash retention bonus program to be established by the Vendors and Purchaser prior to the Closing Date in accordance with the parameters set forth in Schedule 7.7(7) of the Disclosure Letter for the benefit of certain of the Employees.¹²~~

“Reverse Termination Amount” has the meaning ascribed thereto in Section 8.3(2).

“Reverse Termination Amount Event” has the meaning ascribed thereto in Section 8.3(2).

“Revised Personnel List” has the meaning set out in Section 7.77.7(1).

“Rolling Vendor” has the meaning set out in Section 2.9(1).

“Sales Tax” means the Goods and Services Tax, Harmonized Sales Tax (GST/HST) imposed under the Excise Tax Act (Canada), Quebec Sales Tax (QST) imposed under the Act Respecting the Quebec Sales Tax and/or applicable provincial sales tax (PST) imposed under the applicable provincial sales tax legislation.

“Scraped Data” means data that was collected or generated using web scraping, web crawling, or web harvesting Software, or any Software, service, tool, or technology that turns unstructured data found on the internet into machine-readable, structured data.

“Securities Legislation” means, collectively, the applicable securities Laws of each of the provinces and territories of Canada and the respective regulations and rules made under those securities Laws, together with all applicable published policy statements, blanket orders and rulings of the Securities Regulators and all discretionary orders or

¹¹ **Note to Draft:** 0.5% of transaction value, dropping to 0.4%.

¹² ~~**Note to Purchaser:** Approach to retention bonus program(s) to be determined, including whether such program(s) will be established and administered by the Vendors or whether the Vendors and Purchaser will maintain separate programs. A sample covenant in respect of these matters is provided in Section 7.7(7) for consideration and discussion purposes (though the parties may wish to ultimately include these provisions in the disclosure letter to the extent practicable).~~

rulings, if any, of the Securities Regulators made in connection with the transactions contemplated by this Agreement.

"Securities Regulators" means the applicable securities commission, regulator or regulatory authority in each of the provinces and territories of Canada.

"Securitization Contracts" has the meaning set out in Section 3.2(40)(b).¹³

"Securitization Event" means, in respect of any Securitization Contract, an event, condition or circumstance that, with the lapse of time or giving of notice or both, would:

- (a) constitute an amortization event, liquidation event, servicer termination event, servicer replacement event, event of default, event of termination, mandatory prepayment event, redemption event, repurchase event, lock-up event, cash reserve funding event, suspension of program event, suspension of rights event, or any other event, condition or circumstance having a similar effect under or in connection with such Securitization Contract;
- (b) require the Vendors or any of the Acquired Entities to repurchase any property transferred under such Securitization Contract;
- (c) require the Vendors or any of the Acquired Entities to fund an increase in or require any draw on any spread account, reserve account or similar account under or in connection with such Securitization Contract; or
- (d) require the Vendors or any of the Acquired Entities to make any subordinated loan, or require any draw on any such loan, under or in connection with such Securitization Contract or to otherwise increase any credit enhancement required under such Securitization Contract.

"Security Incidents" has the meaning set out in Section 3.2(29)(d~~c~~).

"SEDAR+" means the System for Electronic Data Analysis and Retrieval + maintained on behalf of the Securities Authorities.

"Shares" has the meaning set out in the recitals hereto.

"Social Media Identities" means all social media usernames and other internet identities used by an Acquired Entity in the Business, and all account information relating thereto.

"Software" means any software, computer programs and applications (including mobile apps), whether in source code, executable (object) code, script, or otherwise, including any software as a service or other cloud-based system in use, embedded systems, and all software implementations of algorithms, models, and methodologies, and all proprietary rights, documentation and other materials related to any of the foregoing.

¹³ ~~Note to Purchaser: As noted above these contracts relate not just to Eagle but other transactions as well.~~

“Specified Matters” means, collectively, the matters described in Section 6.2(i) of the Disclosure Letter.

“Statutory Plans” means statutory benefit plans which an Acquired Entity is required to participate in or comply with, including the Canada and Quebec Pension Plans and plans administered pursuant to applicable health tax, workplace safety insurance and employment insurance legislation.

“Straddle Period” means a taxation year or fiscal period that begins before and ends after the Closing Time.

“Stub Period Returns” has the meaning set out in Section 7.9(1).

“Targeted Purchaser Share Number” means a number of Purchaser Shares equal to 17% of the sum of (x) the number of issued and outstanding Purchaser Shares immediately prior to the Closing Time and (y) the number of Purchaser Consideration Shares.

“Tax Matters” has the meaning set out in Section 7.11.

“Tax Returns” means all returns, reports, declarations, elections, notices, filings, information returns, and statements in respect of Taxes that are filed or required to be filed with any applicable Governmental Authority, including all amendments, schedules, attachments or supplements thereto and whether in tangible or electronic form.

“Taxes” means, with respect to any Person, all applicable supranational, national, federal, provincial, state, local or other taxes, including income taxes, branch taxes, profits taxes, capital gains taxes, financial institution surtax, gross receipts taxes, digital services taxes, windfall profits taxes, value added taxes, severance taxes, *ad valorem* taxes, property taxes, capital taxes, net worth taxes, production taxes, sales taxes, use taxes, licence taxes, excise taxes, franchise taxes, environmental taxes, transfer taxes, withholding or similar taxes, payroll taxes, employment taxes, employer health taxes, government pension plan premiums and contributions, social security premiums, workers’ compensation premiums, employment/unemployment insurance or compensation premiums and contributions, stamp taxes, occupation taxes, premium taxes, alternative or add-on minimum taxes, global minimum or “Pillar 2” taxes, Sales Tax, customs duties or other taxes of any kind whatsoever imposed or charged by any Governmental Authority, any requirement to pay or repay any amount to a Governmental Authority in respect of a tax credit, refund, rebate, governmental grant or subsidy, overpayment, or similar adjustment of Taxes, and any instalments in respect thereof, together with any tax indemnity obligation, interest, penalties, or additions with respect thereto and any interest in respect of such additions or penalties, and whether disputed or not, and **“Tax”** means any one of such Taxes.

“Telephone Numbers” means all telephone numbers, common short codes and quick response codes.

“Territory” means Canada.

“Third Party” has the meaning set out in Section 6.13(5).

“Third Party AI Product” means any product or service of any third party that employs or makes use of AI Technologies.

“Third Party Claim” has the meaning set out in Section 6.4.

“Threatened”, when used in relation to a Legal Proceeding or other matter, means that a demand or statement (oral or written) has been made or a notice (oral or written) has been given that a Legal Proceeding or other matter is to be asserted, commenced, taken or otherwise pursued in the future.

“Trademarks” means all trademarks, including (a) all service marks, official marks, certification marks and collective marks, (b) all trade dress, and (c) all corporate names, partnership names, business names, fictitious names and other trade names.

“Training Data” means any data used to train, validate, test or otherwise improve an algorithm or model used in an AI Technology.

“Transaction Expenses” means, without duplication, all out of pocket fees, costs, expenses, commissions and other amounts (whether accrued, invoiced, payable or contingent) incurred or payable by or on behalf of an Acquired Entity or Eagle in connection with (or triggered by) ~~with~~ the negotiation, preparation, approval, execution, delivery and consummation of this Agreement and the transactions contemplated hereby to the extent not paid prior to the Measurement Time, including: (a) fees, costs and expenses of legal counsel, accountants and auditors, tax advisors, investment bankers, financial advisors, brokers, finders, consultants and other professional advisors; (b) any success, completion, change-in-control, transaction, deal, retention or similar bonuses, severance, termination, or other compensatory amounts payable to directors, officers, employees, independent contractors or other service providers of the Acquired Entities and Eagle, together with the employer portion of any payroll, social security, unemployment or similar taxes, and any associated benefit plan funding or contributions, accrued vacation or paid time off, or other benefits continuation costs (but excluding, for the avoidance of doubt, any “double-trigger” severance or similar payments caused by actions taken by Purchaser or an Acquired Entity or Eagle at or after the Closing)¹²; (c) all amounts payable in respect of the cancellation, termination, surrender, acceleration or exercise or other settlement of options, equity appreciation rights, restricted share units, performance share units, profit interests, warrants and any other equity, equity-based or phantom share awards, including any applicable withholding and employer taxes thereon; and (d) any other fees, costs or expenses that this Agreement expressly allocates to the Acquired Entities or Eagle that are triggered (in whole or in part) or accelerated by the execution of this Agreement, in each case net of any refundable or creditable Sales Taxes thereon.

“Transferred-In Personnel” has the meaning set out in Section 7.7(1).

“Transition Services Agreement” has the meaning set out in Section ~~7.20~~7.19.

¹² Note to Vendor: Any severance payable amount earned by the employees for their services provided up to the Measurement Time will be included in Closing Book Value.

"TSA Term Sheet" means the term sheet attached as Schedule ~~7.20~~7.19 to the Disclosure Letter.

"TSX" means the Toronto Stock Exchange.

"Vendor Insurance Arrangement" means any policy of or agreement for insurance and interests in insurance pools and programs covering risks of Vendors or any of their respective Affiliates (in each case including self-insurance and insurance from an Affiliate) and all rights of any nature with respect to any of the foregoing, including in each case all recoveries thereunder and rights to assert claims seeking any such recoveries.

"Vendor Pension Plan" has the meaning set out in Section 3.2(25)(c).

~~**"Vendor Plans"** has the meaning set out in Section 3.2(25)(a)~~**"Plan"** means each Employee Plan that is maintained by any Vendor or any of its Affiliates (other than the Acquired Entities).

"Vendors" has the meaning set out in the preamble hereto.

"Vendors' Fundamental Representations" means the representations and warranties set forth in Section 3.1(1) (Incorporation and Corporate Power of Vendors), 3.1(2) (Authorization by Vendors), 3.1(3) (Enforceability of Vendors' Obligations), 3.1(5) (Ownership of Shares), 3.1(7) (Absence of Conflicting Agreements), 3.2(1) (Organization of the Acquired Entities and Eagle), 3.2(4)(a)-(g) (Authorized and Issued Capital), 3.2(21) (Absence of Conflicting Agreements), and 3.2(38) (Brokers).

"Vendors' Indemnified Parties" means the Vendors, the Vendors' Affiliates, and their respective Representatives.

"Vendors Indemnity Cap" has the meaning set out in Section 6.6(1)(a).

"Vendors Tax Representations" has the meaning set out in Section 6.5(1)(b).

"Works" means all works and subject matter in which copyright, neighbouring rights or moral rights subsist, including (a) all Software, (b) all databases and database layouts (the **"Databases"**), (c) all documents and other works relating to Software or Databases, (d) all other literary, artistic, pictorial, graphic, musical, dramatic and audio-visual works, (e) all performer's performances, sound recordings, broadcast signals, and other neighbouring works, (f) all compilations of the foregoing, and (g) all derivatives, enhancements and modifications of the foregoing.

"WRE" has the meaning set out in the recitals hereto.

"WRE Shares" has the meaning set out in the recitals hereto.

1.2 **Actions on Non-Business Days.** If any payment is required to be made or other action (including the giving of notice) is required to be taken pursuant to this Agreement on a day which is not a Business Day, then such payment or action shall be considered to have been

made or taken in compliance with this Agreement if made or taken on the next succeeding Business Day.

1.3 Currency and Payment Obligations. Except as otherwise expressly provided in this Agreement:

- (a) all dollar amounts referred to in this Agreement are stated in Canadian Dollars; and
- (b) any payment contemplated by this Agreement shall be made by wire transfer of immediately available funds to an account specified by the payee, or by any other method that provides immediately available funds.

1.4 Calculation of Interest. In calculating interest payable under this Agreement for any period of time, the first day of such period shall be included and the last day of such period shall be excluded.

1.5 Calculation of Time. In this Agreement, a period of days shall be deemed to begin on the first day after the event which began the period and to end at 5:00 p.m. Toronto time on the last day of the period. If any period of time is to expire hereunder on any day that is not a Business Day, the period shall be deemed to expire at 5:00 p.m. Toronto time on the next succeeding Business Day.

1.6 Knowledge.

(1) Where any representation, warranty or other statement in this Agreement is expressed to be made by a Vendor to its knowledge or is otherwise expressed to be limited in scope to facts or matters known to such Vendor or of which such Vendor is aware, it shall mean the actual knowledge of Barry Columb, Ian Hanning and Puneesh Arora, after having made reasonably inquiry.

(2) Where any representation, warranty or other statement in this Agreement is expressed to be made by the Purchaser to its knowledge or is otherwise expressed to be limited in scope to facts or matters known to the Purchaser or of which the Purchaser is aware, it shall mean the actual knowledge of Chadwick Westlake, Anilisa Sainani and Marlene Lenarduzzi, after having made reasonably inquiry.

1.7 Additional Rules of Interpretation.

(1) *Gender and Number.* In this Agreement, unless the context requires otherwise, words in one gender include all genders and words in the singular include the plural and vice versa.

(2) *Headings and Table of Contents.* The inclusion in this Agreement of headings of Articles and Sections and the provision of a table of contents are for convenience of reference only and are not intended to be full or precise descriptions of the text to which they refer.

(3) *Section References.* Unless the context requires otherwise, references in this Agreement to Articles and Sections are to Articles or Sections of this Agreement.

(4) *Words of Inclusion.* Wherever the words "include", "includes" or "including" are used in this Agreement, they shall be deemed to be followed by the words "without limitation"

and the words following “include”, “includes” or “including” shall not be considered to set forth an exhaustive list.

(5) *References to this Agreement.* The words “hereof”, “herein”, “hereto”, “hereunder”, “hereby” and similar expressions shall be construed as referring to this Agreement in its entirety and not to any particular Section or portion of it.

(6) *Statute References.* Unless otherwise indicated, all references in this Agreement to any statute include the regulations thereunder, in each case as amended, re-enacted, consolidated or replaced from time to time and in the case of any such amendment, re-enactment, consolidation or replacement, reference herein to a particular provision shall be read as referring to such amended, re-enacted, consolidated or replaced provision and also include, unless the context otherwise requires, all applicable guidelines, bulletins or policies made in connection therewith.

(7) *Document References.* All references herein to any agreement (including this Agreement), document or instrument mean such agreement, document or instrument as amended, supplemented, modified, varied, restated or replaced from time to time in accordance with the terms thereof and, unless otherwise specified therein, includes all schedules and exhibits attached thereto. Any reference in this Agreement to a document that has been “made available”, “provided” or “delivered” to Purchaser, shall mean that such document was made available for viewing and actually accessible by Purchaser in the Data Room at least three (3) Business Days prior to the date hereof and is continuously available through Closing.

(8) *Absence of Presumption.* The Parties acknowledge that each Party and its counsel have reviewed and revised this Agreement and that no rule of construction to the effect that any ambiguities are to be resolved against the drafting Party shall be employed in the interpretation of this Agreement or any amendments hereto.

ARTICLE 2 PURCHASE OF SHARES

2.1 **Purchase and Sale.** At the Closing Time, on and subject to the terms and conditions of this Agreement, (a) the PCB Vendor shall sell to the Purchaser, and the Purchaser shall purchase from the PCB Vendor, the PCB Shares, (b) the Global RE Vendor shall sell to the Purchaser, and the Purchaser shall purchase from the Global RE Vendor, the Global RE Shares, and (c) the PCFI Vendor shall sell to the Purchaser, and the Purchaser shall purchase from the PCFI Vendor, the PCFI Shares, in each case, free and clear of all Liens.

2.2 **Purchase Price.** Subject to adjustment in accordance with this Agreement, the aggregate purchase price payable by the Purchaser to the PCB Vendor, the Global RE Vendor and the PCFI Vendor for the Shares (the "**Purchase Price**") shall be an amount equal to (i) the Closing Book Value, multiplied by (ii) the Premium. The Purchase Price is payable in accordance with Sections 2.3, 2.4, 2.6 and 2.7.

2.3 **Delivery of Estimated Closing Statements.**

(1) No later than ~~five~~seven (57) Business Days prior to the Closing Date, the Vendors, acting reasonably, shall deliver to the Purchaser the following statements (collectively, the "**Estimated Closing Statements**"), prepared in accordance with the Accounting Principles, which shall include the Vendors' good faith calculation and preparation of:

- (a) the estimated Closing Balance Sheet;
- (b) an estimate of the Closing CET1 Capital Ratio; and
- (c) on the basis of the foregoing, a calculation of the estimated Closing Book Value (the "**Estimated Book Value**") and estimated Purchase Price (the "**Estimated Purchase Price**").

(2) From and after delivery of the Estimated Closing Statements until 11:59 p.m. Toronto time two (2) Business Days prior to the Closing Date, the Purchaser shall have the opportunity to review and comment in writing on the Estimated Closing Statements, including each of the components thereof, and the Vendors, shall consider the Purchaser's comments in good faith, and during such period, the Vendors shall, and shall cause the Acquired Entities to, make their respective Representatives available to the Purchaser to respond to any questions or requests that the Purchaser may have with respect to the Estimated Closing Statements.

2.4 **Satisfaction of Purchase Price.** The Purchase Price shall be satisfied and paid as follows:¹⁴

- (a) the Purchaser shall, at the Closing Time, issue from treasury to the ~~Vendor~~Vendors an aggregate of **【●】** Purchaser Shares (the "**Purchaser Consideration Shares**"), subject to adjustment as follows as applicable (as

¹⁴ ~~**Note to Purchaser:** Revisions to Section 2.4 will follow as a separate rider, including to contemplate allocation mechanics among Vendors.~~

adjusted pursuant to this Section 2.4(a), the “Adjusted Purchaser Consideration Shares”; ~~provided, however,;~~

(i) if the aggregate number of Purchaser Consideration Shares would be less than the lesser of:

(A) the Targeted Purchaser Share Number; and

(B) if the Purchaser Share Consideration Amount exceeds the Estimated Purchase Price, the number of Purchaser Consideration Shares that results in the Purchaser Share Consideration Amount being equal to the Estimated Purchase Price

(rounded down to the nearest whole share, the “Minimum Purchaser Share Number”), then the number of Purchaser Consideration Shares shall be increased to the minimum extent necessary (rounded up to the nearest whole share) such that the number of Purchaser Consideration Shares equals the Minimum Purchaser Share Number; and

(ii) if the number of Purchaser Consideration Shares would exceed 24.99% of the Purchaser’s issued and outstanding Purchaser Shares immediately prior to the Closing Time (rounded down to the nearest whole share, the “Maximum Purchaser Share Number”), ~~then the number of Purchaser Consideration Shares shall be decreased to the minimum extent necessary (rounded down to the nearest whole share) such that the number of Purchaser Consideration Shares equals the Maximum Purchaser Share Number; provided further that, if the Purchaser Share Consideration Amount exceeds the portion of the Estimated Purchase Price allocated to the PCB Shares in accordance with Section 2.8 (the “Estimated PCB Share Purchase Price”), then the number of Purchaser Consideration Shares shall be decreased to the minimum extent necessary (rounded down to the nearest whole share) such that the~~ Purchaser number of Purchaser Consideration Shares equals the Maximum Purchaser Share Number;

(b) the Adjusted Purchaser Consideration Shares shall be issued to the Vendors as follows:

(i) first, to the PCB Vendor, the lesser of (A) the total number of Adjusted Purchaser Consideration Shares and (B) the Estimated PCB Share Purchase Price divided by the Purchaser Share Price (rounded down to the nearest whole share, the “Purchaser PCB Consideration Shares”;

(ii) second, to the extent that the number of Adjusted Purchaser Consideration Shares exceeds the number of Purchaser PCB Consideration Shares, to the PCFI Vendor a number of Purchaser Shares equal to the lesser of (A) the Adjusted Purchaser Consideration Shares less the Purchaser PCB Consideration Shares and (B) the Estimated PCFI Share Purchase Price divided by the Purchaser Share

Price (rounded down to the nearest whole share, the “**Purchaser PCFI Consideration Shares**”); and

(iii) third, to the extent that the number of Adjusted Purchaser Consideration Shares exceeds the sum of the Purchaser PCB Consideration Shares and the Purchaser PCFI Consideration Shares, to the Global RE Vendor the remainder of the Adjusted Purchaser Consideration Shares (rounded down to the nearest whole share, the “**Purchaser Global Re Consideration Shares**”);

(c) if the Purchaser PCB Share Consideration Amount is ~~equal to or~~ less than the Estimated PCB Share Purchase Price; ~~(b)-~~, the Purchaser shall, at the Closing Time, pay to or at the direction of the ~~Vendor~~;

~~(c) if the Purchaser Share Consideration Amount is less than the Estimated PCB Share Purchase Price, the Purchaser shall, at the Closing Time, pay to the PCB Vendor an amount in cash equal to the Estimated PCB Share Purchase Price, minus the Purchaser PCB Share Consideration Amount;~~

(d) if the Purchaser PCFI Share Consideration Amount is less than the Estimated PCFI Share Purchase Price, the Purchaser shall, at the Closing Time, pay to or at the direction of the PCFI Vendor, ~~on behalf of the Global RE Vendor~~, an amount in cash equal to the ~~portion of the~~ Estimated PCFI Share Purchase Price ~~allocated to~~ minus the ~~Global RE Shares in accordance with Section 2.8~~ Purchaser PCFI Share Consideration Amount;

(e) if the Purchaser Global Re Share Consideration Amount is less than the Estimated Global Re Share Purchase Price, the Purchaser shall, at the Closing Time, pay to or at the direction of the Global Re Vendor, ~~on behalf of the PCFI Vendor~~, an amount in cash equal to ~~the portion of~~ the Estimated Global Re Share Purchase Price ~~allocated to~~, minus the ~~PCFI Shares in accordance with Section 2.8~~ Purchaser Global Re Share Consideration Amount; and

(f) on the Closing Adjustments Date, the ~~payment~~ payments, if any, required pursuant to and in accordance with Section 2.7(2) ~~or~~ and Section 2.7(3), as applicable.

2.5 Delivery of Closing Statements.

(1) *Closing Statements.* Within ~~60~~90 days following the Closing Date, the Purchaser shall prepare and deliver to the Vendors (collectively, the “**Closing Statements**”):

- (a) the final Closing Balance Sheet;
- (b) a calculation of the final Closing CET1 Capital Ratio; and
- (c) on the basis of the foregoing, a calculation of the final Closing Book Value and final Purchase Price (the “**Final Purchase Price**”).

(2) *Access to Records, etc.* During the period from the date of delivery of the Closing Statements until the date no later than 45 days after delivery of the Closing Statements (the “**Closing Statement Review Period**”), the Purchaser shall give the Vendors and their

respective Representatives, subject to customary confidentiality and other access conditions, reasonable access during normal business hours to the Books and Records as the Vendors and their respective Representatives may reasonably request in order to enable them to reasonably assess the Closing Statements, provided that such access is not unduly disruptive to the business of the Purchaser or any of the Acquired Entities.

(3) *Deemed Acceptance.* If the Vendors do not give a notice of objection in accordance with Section 2.6, the Vendors shall be deemed to have accepted the Closing Statements, including the calculation of the Closing Book Value set out therein, which shall be final and binding on the Parties and shall be conclusive for purposes of this Agreement immediately following the expiry date for the giving of such notice of objection.

2.6 **Dispute Settlement.** If the Vendors object to any matter in Closing Statements prepared pursuant to Section 2.5, the Vendors shall give written notice to the Purchaser within the Closing Statement Review Period. Any notice given by the Vendors shall set forth in detail the particulars of such objection. The Parties shall then use reasonable efforts to resolve such objection for a period of 30 days following the giving of such notice. If the matter is not resolved by the end of such 30 day period, then the dispute with respect to such objection shall be submitted by the Parties to Doane Grant Thornton LLP and if Doane Grant Thornton LLP [cannot act in such capacity](#), ~~to~~ BDO Canada and if BDO Canada cannot act in such capacity, an accounting partner associated with an accounting firm of recognized national standing in Canada, which is independent of the Parties, agreed to by the Purchaser and the Vendors, each acting reasonably (such firm, the **"Independent Accountant"**). If the Parties are unable to agree on the Independent Accountant within a further 10 day period, either Party may apply under the *Arbitration Act, 1991* (Ontario) to have a court appoint the Independent Accountant. For greater certainty, the Independent Accountant shall act in such capacity as an expert in accounting matters and not as an arbitrator. The Independent Accountant shall, as promptly as practicable (but in any event within 45 days following its appointment), make a determination of any matter in dispute in the Closing Statements, based solely on written submissions of the Parties given by them to the Independent Accountant. In making its determination, the Independent Accountant will only consider the matters in dispute and the determination of the Independent Accountant will be in accordance with the guidelines and procedures set forth in this Agreement. The Vendors and the Purchaser shall provide or make available all documents and information as are reasonably required by the Independent Accountant to make its determination. The submissions of each Party shall be disclosed to the other Party and each other Party shall be afforded a reasonable opportunity to respond thereto. For greater certainty, neither Party may engage in *ex parte* communication with the Independent Accountant. The decision of the Independent Accountant as to any disputed matter shall be final and binding upon the Parties and the Closing Statements shall be finalized in accordance with such determination. In resolving any disputed item, the Independent Accountant may not assign a value to any item greater than the greatest value for such item claimed by either Party or less than the smallest value for such item claimed by either Party as stated in the Closing Statement or the notice of objection, as applicable. The fees, costs and expenses of the Independent Accountant shall be allocated to and borne by the Purchaser, on the one hand, and the Vendors, on the other hand, in inverse proportion as they may prevail on the items in dispute, which proportionate allocations shall be calculated on an aggregate basis based on the relative dollar values of all items in dispute and the Purchaser and the Vendors shall direct the Independent Accountant to make such calculation and include such calculation in its written decision. For example, if the items in dispute total \$1,000 and the Independent Accountant awards \$600 in favour of the Purchaser's position and \$400 in favour of the Vendors' position,

60% (i.e., $600 \div 1,000$) of the fees, costs and expenses of the Independent Accountant would be borne by the Vendors and 40% (i.e., $400 \div 1,000$) would be borne by the Purchaser.

2.7 Payment of Purchase Price Adjustment.

(1) If the Final Purchase Price ~~set forth in the Closing Statements~~ as finally determined in accordance with Section 2.5(3) or Section 2.6, as applicable, is equal to the Estimated Purchase Price set forth in the Estimated Closing Statements for any of the PCB Shares, the Global RE Shares, and/or the PCFI Shares, then no further adjustment will be made to the Purchase Price for such Shares, as applicable.

(2) If the Final Purchase Price ~~set forth in the Closing Statements~~ as finally determined in accordance with Section 2.5(3) or Section 2.6, as applicable, is greater than the Estimated Purchase Price set forth in the Estimated Closing Statements for any of the PCB Shares, the Global RE Shares, and/or the PCFI Shares, then the Purchaser shall, on the Closing Adjustments Date, pay an amount in cash equal to such excess to the PCB Vendor, the Global RE Vendor and/or the PCFI Vendor, as applicable, by way of wire transfer of immediately available funds to the account(s) designated by the Vendors.

(3) If the Final Purchase Price ~~set forth in the Closing Statements~~ as finally determined in accordance with Section 2.5(3) or Section 2.6, as applicable, is less than the Estimated Purchase Price set forth in the Estimated Closing Statements for any of the PCB Shares, the Global RE Shares, and/or the PCFI Shares, then the PCB Vendor, the Global RE Vendor, and/or the PCFI Vendor, as applicable shall, on the Closing Adjustments Date, pay, or cause to be paid, to the Purchaser an amount in cash equal to such deficiency by way of wire transfer of immediately available funds to the account designated by the Purchaser.

(4) All payments made pursuant to this Section 2.7 shall constitute adjustments to the Purchase Price for all purposes, unless otherwise required by Applicable Law.

2.8 Purchase Price Allocation.

(1) The Parties agree that the Purchase Price shall be allocated among the Shares in accordance with the allocation methodology set forth in Schedule 2.8 of the Disclosure Letter and in accordance with Applicable Law (the "**Allocation Principles**"). Any amount of the Purchase Price resulting from Closing Book Value shall be allocated between the Acquired Entities to the extent it would be so allocated if the Purchase Price were determined separately for each Acquired Entity, *mutatis mutandis*, and the Vendors and Purchaser shall take such steps as are reasonably practicable to make such determination. Any amount of or adjustment to the Purchase Price resulting from the final Closing Book Value (as finally determined pursuant to Section 2.6 and 2.7) being different from the estimated Closing Book Value (as determined pursuant to Section 2.3) shall be allocated among the Acquired Entities to the extent it would be so allocated if the adjustments were made separately for each Acquired Entity, *mutatis mutandis*, and the Vendors shall cause the Acquired Entities to take such steps as are reasonably practicable to make such determination.

(2) No later than ten (10) Business Days prior to the Closing Date, the Vendors shall deliver to the Purchaser a proposed allocation of the Estimated Purchase Price among the Shares. No later than five (5) Business Days prior to the Closing Date, the Purchaser shall deliver to the Vendors written notice of any proposed modifications. The Parties shall negotiate in good faith to resolve all disputes. If no resolution is reached prior to Closing, the Parties shall

use the Vendors' proposed preliminary allocation in connection with Closing ~~(the "Initial Allocation Schedule")~~.

(3) No later than seven (7) Business Days prior to the Closing Adjustments Date, the Purchaser shall deliver to the Vendors a final allocation of the Purchase Price among the Shares ~~(the "Final Allocation Schedule")~~ in accordance with the Allocation Principles. After which time, the Vendors will have no more than three (3) Business Days to deliver to the Purchaser written notice of any proposed modifications. The Parties shall negotiate in good faith to resolve all disputes. If no resolution is reached prior to Closing Adjustments Date, the Parties shall use the Vendors' proposed allocation in connection with Closing (such proposed allocation, or the allocation otherwise agreed in accordance with this subsection (3), being the "Final Allocation Schedule").

(4) If any further adjustments to the Purchase Price (including pursuant to Section 6.17) are made after delivery of the Final Allocation Schedule, then the Parties shall cooperate in good faith to further adjust the Final Allocation Schedule to take into account such adjustment in a manner consistent with the Allocation Principles. Such revised allocation schedule shall be treated as the Final Allocation Schedule following such revision.

(5) Each of the Purchaser, the PCB Vendor, the Global RE Vendor, and the PCFI Vendor shall (i) file its respective Tax Returns in accordance with the Final Allocation Schedule and (ii) not take any position inconsistent therewith in any Tax Return, refund claim, Tax contest or otherwise, unless required by (A) a lower court judgment, (B) an agreement with a tax authority, ~~or~~ (C) a final disposition of a refund claim by a tax authority or (D) otherwise required by Applicable Law. Each of the Purchaser and the Vendors shall promptly notify the other in writing if a tax authority proposes any changes to the allocations made pursuant to the Final Allocation Schedule.

2.9 ITA Election.

(1) If requested by the PCB Vendor and/or the PCFI Vendor (each a **"Rolling Vendor"**), the applicable Rolling Vendor and the Purchaser will jointly elect or cause a joint election to be made in the forms prescribed under subsection 85(1) of the ITA and under any and all equivalent provisions of any other applicable provincial legislation, in respect of the transfer of the Shares in consideration for the Purchaser Consideration Shares and any cash consideration hereunder within the time and in the manner required by such legislation. For greater certainty, the amounts which the Rolling Vendor and the Purchaser will set out in the election forms prescribed under subsection 85(1) of the ITA, and under any and all equivalent provisions of any other applicable provincial legislation, in respect of the transfer of such Shares in consideration for the Purchaser Consideration Shares and cash will be the amounts determined by the applicable Rolling Vendor within the limits specified in the ITA and such provincial legislation, as applicable, and the Rolling Vendor and the Purchaser will, at the Rolling Vendor's expense (including in respect of any applicable interest and penalties), amend or revise such elections in the manner indicated by the Vendors and in accordance with Applicable Law.

2.10 **Withholding Taxes.** The Purchaser shall be entitled to deduct and withhold from any consideration or other amount payable or otherwise deliverable to any Person hereunder such amounts as the Purchaser may be required to deduct and withhold therefrom under any provision of Applicable Laws in respect of Taxes. If Tax is withheld, Purchaser will remit the amount so deducted to the appropriate Governmental Authority and such amounts shall be

treated for all purposes under this Agreement as having been paid to the Person to whom such amounts would otherwise have been paid. Purchaser will provide the applicable Person with a receipt or other document evidencing the amount deducted or withheld within the permitted time as required by Applicable Law. The Purchaser shall give the recipient of such payment ten days prior written notice of its intent to make any such deduction and withholding (and explaining in reasonable detail the basis therefor) and shall afford such recipient an opportunity to provide, and shall cooperate with such recipient to establish, any applicable reduction of or exemption from such deduction or withholding, and shall consider in good faith any comments made by such recipient to the effect that such deduction or withholding is not required under Applicable Law.

2.11 Adjustment to Purchaser Consideration Shares. If, on or after the date of this Agreement, the Purchaser:

- (a) splits, consolidates or reclassifies the Purchaser Shares;
- (b) undertakes any other capital reorganization; or
- (c) declares, sets aside or pays any extraordinary dividend or distribution to its shareholders of record as of a time prior to the Closing Time, including any stock dividend or rights offering,

then the number of Purchaser Consideration Shares payable to the PCB Vendor or PCFI Vendor, as applicable, pursuant to this Agreement shall be appropriately adjusted to provide the Vendors the same economic effect as contemplated by this Agreement and the transactions contemplated by this Agreement prior to such action.

ARTICLE 3 REPRESENTATIONS AND WARRANTIES¹⁵¹³

3.1 **Representations and Warranties of the Vendors as to themselves.** As a material inducement to the Purchaser's entering into this Agreement and completing the transactions contemplated by this Agreement and acknowledging that the Purchaser is entering into this Agreement in reliance upon the representations and warranties of the Vendors set out in this Section 3.1, ~~each Vendor represents~~the Vendors, jointly and severally, represent and ~~warrants~~warrant to the Purchaser as follows:

(1) *Incorporation and Corporate Power of Vendors.* Each Vendor is a corporation incorporated, organized and subsisting under the laws of the jurisdiction of its incorporation. Each Vendor has the corporate power, authority and capacity to execute and deliver this Agreement and all other agreements and instruments to be executed by it as contemplated herein and to perform its other obligations hereunder and under all such other agreements and instruments. Each Vendor has the corporate power, authority and capacity to own and dispose of the Shares to the Purchaser. No act or proceeding has been taken or authorized by or against any Vendor by any other Person in connection with the dissolution, liquidation, winding up, bankruptcy or insolvency of such Vendor or with respect to any amalgamation, merger, consolidation, arrangement or reorganization of, or relating to, such Vendor and, to the knowledge of such Vendor, no such proceedings have been Threatened by any other Person.

(2) *Authorization by Vendors.* The execution and delivery of this Agreement and all other agreements and instruments to be executed by it as contemplated herein and the completion of the transactions contemplated hereby and thereby have been duly authorized by all necessary corporate action on the part of the Vendors.

(3) *Enforceability of Vendors' Obligations.* This Agreement constitutes the valid and binding obligation of each Vendor enforceable against such Vendor in accordance with its terms subject to limitations on enforcement imposed by bankruptcy, insolvency, reorganization or other laws affecting the enforcement of the rights of creditors and others and to the extent that equitable remedies such as specific performance and injunctions are only available in the discretion of the court from which they are sought. No Vendor is an insolvent person within the meaning of the *Bankruptcy and Insolvency Act* (Canada) and will not become an insolvent person as a result of the Closing.

(4) *Legal Proceedings and Orders.* There is no Legal Proceeding in progress, pending, or, to the knowledge of each Vendor, Threatened against or affecting a Vendor which, in any such case, affects the title of such Vendor to any of the applicable Shares at law or in equity, or ~~would~~could reasonably be expected to affect adversely the ability of such Vendor to enter into this Agreement or to perform its obligations hereunder, and to the knowledge of such Vendor, there are no grounds on which any such Legal Proceeding ~~would~~could reasonably be expected to be commenced. There is no Order outstanding against or affecting a Vendor

¹⁵¹³ **Note to Purchaser:** The scope of representations and warranties that the Vendors propose to accept are in reliance on and conditional upon the Purchaser obtaining the Representation and Warranty Policy, with no recourse to the Vendors beyond 50% of the Retention Amount. These representations and warranties also remain subject to Vendors' review and continued preparation of the Disclosure Letter. **Note to Vendor:** 50% of Retention Amount cap would not apply to fundamental representations, exemptions from the policy coverage, breach of covenant, fraud, specific indemnities or pre-closing tax matters.

which, in any such case, affects the title of such Vendor to any of the applicable Shares at law or in equity, or ~~would~~could reasonably be expected to affect adversely the ability of such Vendor to enter into this Agreement or to perform its obligations hereunder.

(5) *Ownership of Shares.* Each Vendor is the registered and beneficial holder of the applicable Shares with good and marketable title thereto, free and clear of all Liens other than ~~Permitted Liens~~restrictions on the transfer of securities arising under Law or under the constating documents of an Acquired Entity. No Person other than the Purchaser has, or has any right capable of becoming, any agreement, option, right or privilege for the purchase or other acquisition from such Vendor of any of the applicable Shares. There are no restrictions of any kind on the transfer of the Shares except those set out in the articles of incorporation of each Acquired Entity. The Shares have been validly issued in compliance with Applicable Law and are fully paid and non-assessable.

(6) *Residence.* The PCB Vendor and PCFI Vendor are not non-residents of Canada for purposes of the ITA.

(7) *Tax Matters.* None of the Global RE Shares are "taxable Canadian property" within the meaning of the ITA.

(8) ~~(7)~~*Absence of Conflicting Agreements.* The execution, delivery and performance of this Agreement by each Vendor, and all other agreements and instruments to be executed by it as contemplated herein and the completion of the transactions hereunder and thereunder do not and will not result in or constitute any of the following:

- (a) a default, breach or violation or an event that, with notice or lapse of time or both, would be a default, breach or violation of any of the terms, conditions or provisions of the articles or by-laws of such Vendor; or
- (b) the violation of any Applicable Law,

(9) ~~(8)~~*Regulatory Approvals.* Other than the Competition Act Approval ~~and~~, the Bank Act Approval and the Regulatory Approvals set out in Schedule 3.1(9) of the Disclosure Letter¹⁴, no Regulatory Approval or filing with any Governmental Authority is required to be obtained or made by any Vendor in connection with the execution and delivery of, and performance by each Vendor of its respective obligations under, this Agreement or instruments to be executed by it as contemplated herein.

(10) ~~(9)~~*Brokers.* Except as set forth in Schedule ~~3.1(9)~~3.1(10) of the Disclosure Letter, no broker, finder or investment banker is entitled to any brokerage, finder's or other fee or commission from the Vendors or any of the Vendors' Affiliates in connection with the transactions contemplated by this Agreement.

3.2 Representations and Warranties of the Vendors as to the Acquired Entities and Eagle. As a material inducement to the Purchaser's entering into this Agreement and completing the transactions contemplated by this Agreement and acknowledging that the Purchaser is entering into this Agreement in reliance upon the representations and warranties of the Acquired Entities and Eagle set out in this Section 3.2, the Vendors, jointly and ~~not~~

¹⁴ Note to Vendor: Schedule should list the approvals required from the Financial Services Commission in Barbados for the transfer of the Global Re shares and WRE shares.

severally, represent and warrant to the Purchaser as to the Acquired Entities and Eagle as follows:¹⁶¹⁵

(1) *Organization of the Acquired Entities and Eagle*. The information set out in Schedule 3.2(1) of the Disclosure Letter concerning (i) the name and jurisdiction of incorporation, the authorized, issued and outstanding shares and the directors and officers of the Acquired Entities and (ii) the name and jurisdiction of formation and the trustee of Eagle is, in each case, true and complete. Each Acquired Entity is incorporated, organized and subsisting under the laws of its jurisdiction of incorporation. Eagle is a trust duly established and existing under the laws of the Province of Ontario.

(2) *Subsidiaries*. Except as set forth in Schedule 3.2(2) of the Disclosure Letter, no Acquired Entity owns or holds the right to acquire a direct or indirect equity interest in any other Person at the Closing Time. No Acquired Entity has any obligation to make any investment (in the form of a loan, capital contribution or otherwise) in any Person.

(3) *Qualification to do Business*. Each Acquired Entity ~~is~~and Eagle are registered, licensed or otherwise qualified to do business under the laws of the jurisdictions specified in Schedule 3.2(3) of the Disclosure Letter and neither the character nor the location of the properties and assets owned by an Acquired Entity or Eagle nor the nature of the Business requires registration, licensing or other qualification under the laws of any other jurisdiction. Each Acquired Entity has all necessary corporate power, authority, and capacity to carry on the Business and to own or lease and operate its property and assets as now carried on and owned or leased and operated. The trustee of Eagle has all necessary power, authority, and capacity to, in its capacity as trustee of Eagle, own or lease and operate the property and assets of Eagle as now carried on and owned or leased and operated. Complete and correct copies of PCB's letters patent, by-laws, and the order authorizing PCB to commence and carry on business, any undertaking provided by PCB to any Governmental Authority in Canada and any agreement between PCB and any Governmental Authority in Canada, in each case, in effect as of the date of this Agreement, have been made available to the Purchaser. A complete and correct copy of Eagle's declaration of trust has been made available to the Purchaser.

(4) *Authorized and Issued Capital and Loan Capital*.

(a) Schedule 3.2(1) of the Disclosure Letter sets out all of the issued and outstanding shares in the capital of each Acquired Entity, all of which were validly issued and are fully paid and non-assessable shares.

(b) The PCB Shares constitute all of the issued and outstanding shares in the capital of PCB.

(c) The Global RE Shares constitute all of the ~~ownership~~issued and ~~economic interests~~outstanding shares in the capital of Global RE owned by the Global RE

¹⁶¹⁵ **Note to Purchaser:** Eagle is not owned by PCB and Eagle just provides funding for PCB's credit card portfolio. PCB is a service provider to Eagle. Note that Eagle is also a standalone reporting issuer. **Note to Vendor:** Although Eagle is not a subsidiary of PCB, it is a special purpose trust setup by PCB for purposes of the securitization transactions and which is controlled by PCB pursuant to the financial services agreement. As such, PCB should be providing fundamental representations on Eagle, which is also consistent with Torys opinions given on Eagle in connection with the securitization transactions.

Vendor, and the Global RE Shares constitute all of the economic interests in Global RE.

- (d) The PCFI Shares constitute all of the issued and outstanding shares in the capital of PCFIA and PCFIB.
- (e) The WRE Shares constitute all of the issued and outstanding shares in the capital of WRE.
- (f) There are no shareholders' agreements governing the affairs of an Acquired Entity or the relationship, rights and duties of its respective shareholders, nor are there any voting trusts, pooling arrangements or other similar agreements with respect to the ownership or voting of any shares of an Acquired Entity. There are no rights, subscriptions, warrants, options, conversion rights, calls, commitments or plans or agreements of any kind outstanding which would enable any Person to purchase or otherwise acquire any shares or other securities of an Acquired Entity including, without limitation, any securities convertible into or exchangeable or exercisable for shares or other securities of an Acquired Entity. There are no outstanding or authorized equity appreciation, phantom stock, profit participation or similar rights with respect to an Acquired Entity. There are no restrictions of any kind on the transfer of the shares of an Acquired Entity except those set out in the constating documents or by-laws of such Acquired Entity.
- (g) All of the issued and outstanding shares in the capital of each Acquired Entity have been issued in compliance with Applicable Law and the constating documents of such Acquired Entity. None of the issued and outstanding shares of an Acquired Entity were issued in violation of any applicable purchase option, call option, right of first refusal, pre-emptive right, subscription right or any similar right under any Contract.
- (h) For each Acquired Entity, copies of all material documentation with respect to outstanding indebtedness evidenced by any bond, debenture, note, mortgage, indenture or other debt instrument or debt security, has been made available to the Purchaser.
- (i) The Acquired Entities comply with the requirements of Applicable Law with respect to capital and liquidity adequacy and its policies with respect to capital and liquidity adequacy which have been made available to the Purchaser.

(5) *Corporate Records and Books and Records.* The minute books of each Acquired Entity and Eagle have been maintained, in all material respects, in accordance with Applicable Law and contain true, correct and complete copies of each Acquired Entity's and Eagle's constitutional documents and, in respect of the Acquired Entities, the minutes of every meeting of its board of directors and every committee thereof and of its shareholders and every written resolution of its directors and shareholders. All meetings of directors and shareholders of each Acquired Entity have been duly called and held and all resolutions have been duly passed in accordance with Applicable Law at such meetings or by written resolution, in each case in all material respects. The share certificate book, register of shareholders, register of transfers and register of directors and officers of each Acquired Entity are complete and accurate, in each case, in all material respects. The Vendors have made available to the Purchaser all material Books and Records of each Acquired Entity ~~over the past three years~~ and

Eagle requested by the Purchaser. The Books and Records have been maintained, in all material respects, in accordance with Applicable Law.

(6) *Bankruptcy, Insolvency and Reorganization.* No Acquired Entity or Eagle is an insolvent person within the meaning of the *Bankruptcy and Insolvency Act* (Canada), the *Winding-up and Restructuring Act* (Canada) or other applicable insolvency legislation and no Acquired Entity (to the extent applicable) has been subject to an order made pursuant to section 39.13 of the *Canada Deposit Insurance Corporation Act* (Canada) nor an order or request made pursuant to section 648 or 651 of the Bank Act, or has made an assignment in favour of its creditors nor a proposal in bankruptcy to its creditors or any class thereof nor had any petition for a receiving order presented in respect of it. No Acquired Entity or Eagle has initiated proceedings with respect to a compromise or arrangement with its creditors or for its winding up, liquidation or dissolution. No receiver has been appointed in respect of any Acquired Entity or Eagle or any of their respective property or assets and no execution or distress has been levied upon any of the property or assets of the Acquired Entities or Eagle. No act or proceeding has been taken or authorized by or against any Acquired Entity or Eagle with respect to any amalgamation, merger, consolidation, arrangement or reorganization of, or relating to, such Acquired Entity or Eagle nor have any such proceedings been authorized by any other Person.

(7) *Financial Statements.* Except as set forth in Schedule 3.2(7) of the Disclosure Letter, the Financial Statements have been prepared in accordance with IFRS, consistently applied throughout the periods to which they relate ~~in the ordinary course of business, and, to the knowledge of the Vendor, and~~ fairly present in all material respects ~~and taken as a whole~~ the financial position of PCB (including Eagle and WRE consolidated therein), Global RE, PCFIA and PCFIB as of their respective dates and the results of operations and cash flows for the periods indicated, subject, in the case of the Interim Financial Statements, to normal year-end adjustments as disclosed in Schedule 3.2(7) of the Disclosure Letter and the absence of footnotes (the effect of which was not, is not and will not be materially adverse). The Financial Statements have been prepared from and are consistent with the ~~books~~Books and ~~records of the applicable entities~~Records. For greater certainty, the Vendor makes no representation as to forecasts, projections or other forward-looking information¹⁷.

(8) *Title to and Sufficiency of Assets.* Each Acquired Entity ~~has~~and Eagle have good and marketable legal and beneficial title to all of its property and assets, free and clear of any and all Liens, except for Permitted Liens. The property and assets owned and leased by and licenced to the Acquired Entities constitute all of the property and assets used or held for use in connection with, or necessary for, the Business and are sufficient to permit the continued operation of the Business in all material respects as conducted as of the date hereof and during the 12 month period ending on the date hereof. There is no agreement, option or other right or privilege outstanding in favour of any Person for the purchase from the Acquired Entities of the Business or any part thereof or of any of the property or assets of the Acquired Entities that are material to the operation of the Business.

(9) *Real Property.*

(a) No Acquired Entity, owns, or has ever owned, any real property.

¹⁷ ~~Note to Purchaser: (b) and (c) deleted as combined financial statements are not prepared.~~

- (b) Schedule 3.2(9) of the Disclosure Letter lists all of the Leased Premises ~~Leases~~ and sets out, in respect of each of the Leased Premises ~~Lease~~: (i) the municipal address and applicable unit or general location within any building of ~~all premises leased by an Acquired Entity~~ the applicable Leased Premises; and (ii) the ~~area of the space occupied by each Acquired Entity~~ store number, store name, type (i.e., Pavilion or automated teller machine (ATM)), reporting region and Banner of the applicable Leased Premises. The information set out in Schedule 3.2(9) of the Disclosure Letter is true and complete.
- (c) None of the Premises Leases have been assigned by the applicable Acquired Entity in favour of any Person, nor has the applicable Acquired Entity granted another Person the right to use or occupy any Leased Premises.
- (d) The current uses of each of the Leased Premises comply with Applicable Law.

(10) *Personal Property.* Except as set forth on Schedule 3.2(10) of the Disclosure Letter, each item of Personal Property is in good operating condition and repair, ordinary wear and tear excepted, and is suitable and adequate for the purpose for which it is being used. No material Personal Property owned by an Acquired Entity is in the possession of a third party and no Acquired Entity has any assets on consignment.

(11) *PCFIA and PCFIB Operational Matters.*

- (a) Schedule ~~(113.2(11))~~ (113.2(11)) of the Disclosure Letter sets forth a true, complete and correct list of the following information with respect to each Client with more than ~~[\$200,000]~~ 150,000 of premium placed through PCFIB or PCFIA (each a "Material Client") ~~and, to the extent applicable:~~ (i) the name of such Material Client; (ii) the name of each insurance company or other third party that is paying commissions or fees to PCFIB or PCFIA in respect of each currently in-force insurance product or policy brokered, placed or sold by PCFIB or PCFIA for such Material Client (the "In-Force Policies"); and (iii) with respect to each such In-Force Policy, the product or policy type, the product or policy number, the product or policy expiration date, if any, annual premium (or other similar payment amount) and annualized commissions and fees payable to PCFIB or PCFIA in respect of each such In-Force Policy's current policy period.
- (b) Except as set forth in Schedule ~~(113.2(11))~~ (113.2(11)) of the Disclosure Letter, ~~to the knowledge of the Vendors,~~ no third party (including the Vendors, their Affiliates or any Employees of their respective employees or independent contractors, or any Employees or Independent Contractors of the Acquired Entities) co-brokers, owns or otherwise has any right, title or interest in or to the book of business serviced by PCFIB or PCFIA or any of the revenues derived therefrom.
- (c) Except as set forth in Schedule ~~(113.2(11))~~ (113.2(11)) of the Disclosure Letter, (i) no ~~Acquired Entity nor Vendor~~ member of the LCL Group is engaged in any material dispute with any Client, and (ii) no ~~Acquired Entity nor Vendor~~ member of the LCL Group has received any written, or to the knowledge of the Vendors, verbal notice that any Client that generated more than ~~[\$200,000]~~ 150,000 in annualized core commissions or fees for PCFIB or PCFIA during the ~~six~~ 12-month period prior to the Closing Date (A) has cancelled or not renewed, or intends to cancel or not renew, any In-Force Policy or other products sold, policies placed or

services provided by PCFIB or PCFIA or (B) has terminated or otherwise materially adversely changed, or intends to terminate or otherwise materially adversely changes, its business relationship with PCFIB or PCFIA, in each case, whether as a result of the transactions contemplated by this Agreement or otherwise.

- (d) PCFIB and PCFIA each have a valid and effective appointment to act as an insurance agent or broker for each insurance company that issued an In-Force Policy brokered, placed or sold by either PCFIB or PCFIA. ~~Neither PCFIB, PCFIA nor the Vendors have~~ Except as set forth in Schedule 3.2(11) of the Disclosure Letter, no member of the LCL Group has received any written or, to the knowledge of the Vendors, verbal notice that any such insurance company (i) has cancelled or not renewed, or intends to cancel or not renew, PCFIB or PCFIA's appointment, or (ii) has terminated or otherwise materially adversely changed, or intends to terminate or otherwise materially adversely change, its business relationship (including the commission rates paid) with PCFIB or PCFIA, in each case whether as a result of the transactions contemplated by this Agreement, a change in its underwriting guidelines or otherwise.
- (e) PCFIA and PCFIB ~~has~~have disclosed, to the extent required by Applicable Law, to each Client the nature and extent of the compensation (including Contingent Revenues) received by PCFIA or PCFIB, as applicable, directly or indirectly, from insurance companies, insurance intermediaries and premium finance companies in respect of any business transacted by ether PCFIA or PCFIB on behalf of such Client.
- (12) Material Contracts.
- (a) Schedule 3.2(12) of the Disclosure Letter ~~lists~~sets forth a list, as of the date hereof, ~~of all of the currently effective~~ Contracts (including any amendments thereto) that meet any of the following ~~types to which an Acquired Entity is a party~~criteria and is not a Securitization Contract (each, a "Material Contract").¹⁸
 - (i) any Contract with a payment processor or with a payment network, including, without limitation, the Interac Participation Agreement;
 - (ii) any supplier Contracts (including any product, services, licensing, purchasing or other supplier Contract), or series of related supplier Contracts, between an Acquired Entity and a third party involving payments by such Acquired Entity in excess of \$~~[500,000]~~ 1,000,000 individually or \$~~[1,000,000]~~ 1,000,000 in the aggregate;
 - (iii) any Contract relating to capital expenditures by the Acquired Entity involving future payments in excess of \$~~[2,000,000]~~ 1,000,000 in the aggregate;
 - (iv) other than with respect to confidentiality restrictions contained in non-disclosure and/or confidentiality agreements entered into in the

¹⁸ ~~Note to Vendor: Dollar thresholds subject to ongoing due diligence. Note to Purchaser: Dollar thresholds remain subject to review.~~

ordinary course, any Contract which contains covenants of any Acquired Entity not to compete in any line of business, geographic area or with any person or which grants any exclusivity rights, rights of first refusal, rights of first negotiations, "most favoured nation" or similar rights to any person;

(v) any Contract relating to the acquisition, leasing or divestiture by an Acquired Entity of any operating business, line of business, assets or securities or other equity interests having a value of more than ~~[\$2,000,000]~~ 1,000,000 in the aggregate (other than Contracts for the acquisition, leasing or divestiture of assets, securities or other equity interests in the ordinary course) entered into within a period of three years before the date of this Agreement;

(vi) any Contract which contains a change of control provision or which requires consent of, or a payment to, a third party in connection with the transactions contemplated hereunder where the failure to comply with such provision, obtain such consent or make such payment would have a material and adverse effect on the Acquired Entities and Eagle, taken as a whole;

(vii) ~~(vii)~~ any Contract providing for any obligation to register any shares of the capital stock or other securities of any Acquired Entity with any securities exchange or otherwise relating to such stock or other securities;

(viii) ~~(vii)~~ any Contract that is a material partnership, joint venture or similar Contract to which an Acquired Entity is a party;

(ix) ~~(viii)~~ any Contract for the public issuance of debt by the Acquired Entities;

(x) ~~(ix)~~ any Contract under which Indebtedness of an Acquired Entity is outstanding or pursuant to which any property or asset of any Acquired Entity is mortgaged, pledged or otherwise subject to a Lien (other than a Permitted Lien), or any Contract restricting the incurrence of Indebtedness by any Acquired Entity or the incurrence of Liens (other than Permitted Liens) on any properties or securities of any Acquired Entity or restricting the payment of dividends;

(xi) ~~(x)~~ any Contract in respect of the Intellectual Property owned by, licensed to or used by an Acquired Entity that is material to the Business, taken as a whole (including such Contracts related to IT Systems that are material to the conduct of the Business), except for non-exclusive end user licenses of commercially available off the shelf Software subject to "shrink wrap" or "click wrap" license agreements solely for an Acquired Entity's internal use and with a total replacement cost of less than ~~[\$200,000]~~ that is not embedded in or used to provide any Acquired Entity's products or services, and is not modified or distributed by any Acquired Entity;

- (xii) ~~(xi)~~ any Contract in respect of which any Acquired Entity is a party and pursuant to which the Vendors or any of its Affiliates (other than an Acquired Entity) receives services or benefits;
- (xiii) ~~(xii)~~ any Contract involving any continuing representation, warranty or indemnification obligation of any Acquired Entity to any other Person, other than entered into in the Ordinary Course of Business;
- (xiv) ~~(xiii)~~ any Contract for any arrangement with a third party financial institution with respect to the marketing or promotion by the LCL Group of any financial services or products in channels of the LCL Group; or
- (xv) ~~(xiv)~~ any Contracts required to be disclosed on Schedule 3.2(13)(eg) of the Disclosure Letter.

(b) Copies of all ~~material~~Material Contracts ~~listed in Schedule 3.2(12) of the Disclosure Letter~~ have been made available to the Purchaser ~~(collectively, the "Material Contracts")~~. Each Material Contract is in full force and effect, as amended to-date, and the applicable Acquired Entity is entitled to the full benefit and advantage of each Material Contract in accordance with its terms. The applicable Acquired Entity is not, nor, to the knowledge of the Vendors, is any other party to any Material Contract in default under any Material Contract and there has not occurred any event which, with the lapse of time or giving of notice or both, would constitute a default under any Material Contract by an Acquired Entity or, to the knowledge of the Vendors, any other party to the Material Contract, or otherwise result in or permit any termination, modification or the acceleration of any right or obligation under or pursuant to any Material Contract. No Acquired Entity has received any notice of default or a notice of dispute by any Person under any Material Contract in respect of any Material Contract. Except as disclosed in Schedule 3.2(12) of the Disclosure Letter, no Acquired Entity has orally or in writing, and no counterparty to any Material Contract has, in writing or to the knowledge of the Vendors orally, provided any indication that it intends to terminate, not renew, or otherwise materially alter the terms of any Material Contract.

(c) Except as disclosed in Schedule 3.2(12) of the Disclosure Letter, ~~to the knowledge of the Vendors,~~ no Consent is required to be obtained by an Acquired Entity, nor is any notice required to be given by an Acquired Entity, under any Material Contract in connection with the completion of the transactions contemplated herein in order to maintain all rights of such Acquired Entity under such Material Contract. The completion of the transactions contemplated by this Agreement will not afford any party to any Material Contract ~~to the knowledge of the Vendors,~~ the right to terminate any Material Contract nor will the completion of such transactions result in any additional or more onerous obligation on the Acquired Entities under any Material Contract.

(d) Without limiting the generality or the applicability of the other representations and warranties set forth in this Section 3.2(12) to the Interac Participation Agreement, none of (i) the existence of this Agreement or any of its terms or conditions, or (ii) the completion of the transactions contemplated herein, could reasonably be expected to materially or adversely impact the rights and abilities of PCB to (A)

directly participate in the Interac network, (B) offer Interac e-Transfer to PCB customers from and after the Closing, or (C) otherwise take full benefit and advantage of all rights extended to PCB under the Interac Participation Agreement.

(13) *Intellectual Property.*

- (a) Schedule 3.2(13)(a) of the Disclosure Letter lists all Owned Intellectual Property which is the subject of registrations or applications for intellectual property; and all material Owned Intellectual Property. Each such registration and application for registration is subsisting, in good standing, and ~~to the knowledge of the Vendor,~~ enforceable, and valid. All Owned Intellectual Property is valid, enforceable and free and clear of all Liens other than Permitted Liens.
- (b) The Owned Intellectual Property and the Licensed-In Intellectual Property constitute all of the Intellectual Property (including Software) used and otherwise exploited by the Acquired Entities in, and all of the Intellectual Property (including Software) required for the operation of, the Business as now conducted. The Acquired Entities exclusively own all Intellectual Property, other than the Licensed-In Intellectual Property, used or required for the operation of the Business as now conducted. The Acquired Entities have sufficient rights to use and otherwise exploit the Owned Intellectual Property and the Licensed-In Intellectual Property used in the operation of the Business as now conducted.
- (c) Schedule 3.2(13)(c) of the Disclosure Letter identifies all material Contracts relating to (i) the Licensed-In Intellectual Property, (ii) the Licensed-Out Intellectual Property, (iii) the IT Systems (to the extent such Contracts are not duplicative with the Contracts required to be listed under clause (i)), and (iv) the acquisition or development of, or any restrictions or limitations on the Acquired Entities' or Business' use, licensing, or exploitation of, the Owned Intellectual Property.
- (d) The Vendor does not have any knowledge of any fact, matter or other circumstance that may result in the termination or restriction of any Acquired Entity's rights in the Licensed-In Intellectual Property prior to the termination of the term stated in any applicable Contract, covenant not to sue, Order or provision of Applicable Law. The consummation of the transactions contemplated by this Agreement will not affect the Acquired Entity's rights in any such Contract.
- (e) ~~(e)~~ Each Employee and ~~independent contractor~~ Independent Contractor retained by an Acquired Entity has ~~also~~ agreed in an enforceable manner to maintain the confidentiality of the Owned Intellectual Property, has assigned at law or in writing, as applicable, to such Acquired Entity, and its successors and assigns all his, her or its rights, titles, interests and benefits in all material Intellectual Property invented, authored, created, designed or developed in the activities for which such Employee or ~~independent contractor~~ Independent Contractor has been directly or indirectly retained by such Acquired Entity, and has waived all moral rights relating to the foregoing.

- (f) ~~(d)~~ Except as disclosed in Schedule 3.2(13)~~(ef)~~ of the Disclosure Letter, the material Know-How used in the Business is and remains confidential to the Acquired Entities. The Acquired Entities have taken commercially reasonable security precautions and steps to protect such Know-How from disclosure to, or access, use or modification by, unauthorized Persons. The Vendors do not have any knowledge of any ~~material~~ confidentiality in the material Know-How having been breached or any compromise in the security of the Know-How.
- (g) ~~(e)~~ Except as would not be material to the business, no Intellectual Property of any Person has been, or is, infringed, misappropriated or otherwise violated by the (i) operation of the Business, (ii) the Acquired Entity's advertisement or performance of services, or (iii) the Acquired Entity's access, use, practice, enjoyment or exploitation of their Intellectual Property.
- (h) ~~(f)~~ Except as disclosed in Section 3.2(22), there is no Legal Proceeding, in progress, pending or Threatened, alleging the infringement, misappropriation or other violation of any Owned Intellectual Property anywhere in the world and the Vendors are not aware of any fact, matter or circumstance which might result in any such Legal Proceeding which could constitute a bona fide claim for any such infringement, misappropriation or other violation.
- (i) ~~(g)~~ There is no prohibition or restriction by any Governmental Authority on the use of the Owned Intellectual Property.
- (j) ~~(h)~~ No Governmental Authority, or other Person, has provided any funding to the Acquired Entities which would give such Governmental Authority, or other Person, any rights, title or interest in or to the Acquired Entity's Intellectual Property; and no university, academic institution or similar type of Person nor any of its employees, contractors or students has any rights, title or interest in or to such Intellectual Property.

(14) *Licences.* Schedule 3.2(14) of the Disclosure Letter lists all the Licences that are material to the operation of the Business (including the administration, funding, servicing, subservicing, transfer or origination of Card Accounts) (collectively, the "Material Licences") including the type of Material Licence, the Material Licence number, the jurisdiction issuing such Material Licence. Each Acquired Entity, Eagle and, to the Vendors' knowledge, all Employees and ~~independent contractors~~ Independent Contractors, hold or possess, and are in material compliance with and have sought the timely renewal of, all Licences required to carry on ~~its~~ the Business as now conducted ~~(including the administration, funding, servicing, subservicing, transfer or origination of Card Accounts)~~, other than such Licences, the absence of which would not be material, individually or in the aggregate. ~~Such~~ All Material Licences are valid, in good standing, and in full force or effect and, ~~to the Vendors' knowledge~~, there are no outstanding or threatened, defaults, breaches, suspensions, revocations, cancellations or modifications thereof ~~that would materially affect the Acquired Entities as a whole.~~

(15) *Compliance with Applicable Law.*

- (a) Each Acquired Entity and Eagle is conducting and has, at all times since the date that is three years prior to the date of this Agreement, complied, in all material

respects, with all Applicable Laws affecting its businesses, assets and properties.

- (b) No Acquired Entity or, to the Vendors' knowledge, Eagle has received written notice since the date that is three years prior to the date of this Agreement that any material governmental, judicial or regulatory examination, investigation, injunction, enforcement or disciplinary proceeding concerning such Acquired Entity or Eagle or, to the Vendors' knowledge, any of its employees or agents has been made or is ongoing or pending, and to the Vendors' knowledge, none is ~~threatened~~ Threatened or contemplated.
- (c) No Acquired Entity or, to the Vendors' knowledge, Eagle has received written notice since the date that is three years prior to the date of this Agreement from any Governmental Authority that it is in violation of or alleges any non-compliance with any Applicable Law or any Order. To the Vendors' knowledge, there are no circumstances which currently exist that are reasonably likely to give rise to any such notice.

(16) *Compliance with Anti-Corruption Laws.* No Acquired Entity, or any of their respective Representatives or joint venture partners, in carrying out or representing the Business anywhere in the world, have violated the *Corruption of Foreign Public Officials Act* (Canada), the U.S. *Foreign Corrupt Practices Act*, the U.K. *Bribery Act 2010*, or the anti-corruption laws of any other jurisdiction where the Business is carried on.

(17) *Undisclosed Liabilities.* Except as set forth in Schedule 3.2(17) of the Disclosure Letter, (a) the Acquired Entities do not have any ~~material~~ liabilities (including Indebtedness) or obligations (whether known or unknown, liquidated or unliquidated, due or to become due and whether absolute, accrued, contingent or otherwise) except for those liabilities and obligations disclosed or provided for in the most recent Annual Financial Statements and current ~~material~~ liabilities incurred in the Ordinary Course of Business since the date of such Annual Financial Statements (none of which is a liability for breach of contract, breach of warranty, tort, infringement or misappropriation); and (b) no Acquired Entity or Eagle is a party to or bound by any Contract providing for the guarantee, indemnification, assumption or endorsement with respect to the obligations or liabilities (which includes Indebtedness), contingent or otherwise, of any other Person.

(18) *Banking Information.* Schedule 3.2(18) of the Disclosure Letter sets forth the name and location of each bank, trust company or other institution in which any Acquired Entity has an account, money on deposit or a safety deposit box.

(19) *Regulatory Approvals.* Other than the Competition Act Approval and the Bank Act Approval and as set forth in Schedule 3.2(19) of the Disclosure Letter, no ~~material~~ Regulatory Approval or filing with any Governmental Authority is required to be obtained or made by the Acquired Entities: (i) in connection with the consummation of the transactions contemplated hereby or (ii) to permit the Acquired Entities to carry on the Business (including the administration, funding, servicing, subservicing, transfer or origination of Card Accounts) after the Closing as the Business is currently carried on by the Acquired Entities.

(20) *Permitted Activities.* Except as disclosed in Schedule 3.2(20) of the Disclosure Letter, PCFIB and PCFIA have at all times acted solely in the capacity of a retail insurance broker and/or agent. Except as disclosed in Schedule 3.2(20), neither PCFIB nor PCFIA have

(i) engaged in any risk-bearing or risk-sharing activities; (ii) participated in any underwriting gains or losses; (iii) borne any portion of the total insurance risk placed through any insurance program administered by either PCFIB or PCFIA for any insurance company; (iv) placed or provided any securities products or services for any Client; or (v) engaged in any premium financing activities.¹⁹

(21) *Absence of Conflicting Agreements.* The execution, delivery and performance of this Agreement and the completion (with any required Consents and Regulatory Approvals and the giving of any required notices) of the transactions contemplated by this Agreement do not and will not result in or constitute any of the following:

- (a) a default, breach, trigger event or lock-up event, or violation or an event that, with notice or lapse of time or both, would be a default, breach or violation of any of the terms, conditions or provisions of the constating documents of the Acquired Entities, a Material Contract, a Securitization Contract or a ~~material~~ Material Licence;
- (b) an event which, pursuant to the terms of any Material Contract, any Securitization Contract or Licence, would cause any right or interest of any Acquired Entity to come to an end or be amended in any way that is detrimental to the Business or entitle any other Person to terminate or amend any such right or interest or relieve any other Person of its obligations thereunder;
- (c) the creation or imposition of any Lien on any property or asset of the Acquired Entities; or
- (d) the violation of any Applicable Law.

(22) *Legal Proceedings and Orders.* Except as set forth and described in Schedule 3.2(22) of the Disclosure Letter, there are no material Legal Proceeding in progress, pending or, to the knowledge of the Vendors, Threatened against or affecting the Acquired Entities or, to the Vendors' knowledge, Eagle, or any of their respective officers or directors in their capacity as such, or any of their respective properties or assets or title thereto. Except as set forth and described in Schedule 3.2(22) of the Disclosure Letter, there is no material Order outstanding against or affecting the Acquired Entities or, to the Vendors' knowledge, Eagle or any of their respective properties or assets. There are no internal investigations or inquiries being conducted by the Acquired Entities, the Vendors or ~~to the knowledge of the Vendors~~, any third party at the request of any of the foregoing concerning any material financial, accounting, Tax, conflict of interest, illegal activity, fraudulent or deceptive conduct or other misfeasance or malfeasance issues.

(23) *Environmental Matters.* The Business and the property and assets as carried on or used by the Acquired Entities and their respective predecessors have been, at all times since the date that is three years prior to the date of this Agreement, carried on and used and are currently carried on and used in compliance with all Environmental Laws.

(24) *Employment Matters.*

¹⁹ ~~Note to Purchaser: Deleted (b) as this is not applicable to or relevant in respect of an insurance intermediary/agent.~~

- (a) The Vendors have delivered to the Purchaser a true and correct list (the “**Employee List**”) of all of the Employees as of July 1, 2025, which includes, for each Employee, their employer entity, position, hire date (and service recognition date, if earlier), location of employment, annual base salary or hourly wage rate, annual incentive targets, annual vacation, active or inactive status (including reason for leave and return to work date, if known), and work authorization (including work permit, visa or similar authorization), if applicable. The Vendors have also delivered to the Purchaser a true and correct list of all ~~independent contractors engaged in the Business~~Independent Contractors as of July 1, 2025, which includes, for each ~~independent contractor~~Independent Contractor, the terms on which ~~each such Person is~~they are engaged, including the engaging entity, a description of the services provided, location of engagement, length of engagement, and fee arrangements (e.g., hourly fee rate) (the “**Contractor List**”). ~~[To the extent that an Employee on the~~
- (b) ~~Except as set out in Schedule 3.2(24)(b) of the Disclosure Letter, no~~ Employee ~~List or independent contractor on the~~Independent Contractor List is ~~employed or engaged by a party to any Contract with the~~ Vendors or any of their respective Affiliates (~~other than~~including the Acquired Entities) ~~prior to Closing, the Vendors shall cause the employment of such Employee or engagement of such independent contractor to be transferred to an Acquired Entity by Closing]~~(i) that provides such Employee or Independent Contractor with base salary or base fees in excess of \$250,000 per annum, or (ii) which provides such Employee or Independent Contractor with termination or severance entitlements in excess of those required by Applicable Law.²⁰
- (c) ~~(b)~~ ~~[Except as set out in Schedule 3.2(24)(b)~~(c) of the Disclosure Letter], no Acquired Entity will, as a result of the execution, delivery or performance of this Agreement or the consummation of the transactions contemplated by this Agreement, either alone or in conjunction with any subsequent event, be required to (i) pay any retention, termination, severance, change of control, golden parachute, bonus or similar payment to any Employee (other than salaries, wages or bonuses paid or payable in the Ordinary Course of Business in accordance with current compensation levels and practices or in connection with the Retention Bonus Program), or (ii) increase or accelerate any entitlement under any Vendor Plan (other than in connection with the Retention Bonus Program).
- (d) ~~(c)~~ No Employee holding an executive position ~~with an Acquired Entity~~ has provided written notice to the ~~applicable~~Vendors or their Affiliates (including the Acquired EntityEntities) that they intend to resign, retire or terminate their employment ~~with such Acquired Entity~~ as a result of the transactions contemplated by this Agreement or otherwise.
- (e) ~~(d)~~ To the knowledge of the Vendors, none of the Employees holding an executive position ~~with any of the Acquired Entities~~ is in violation of any

²⁰ ~~Note to Purchaser: In addition, Vendor plans to retain approx. 8-10 employees of the Acquired Entities, transferring them to LCL or another GWL affiliate before closing. This agreement will be updated in due course to reflect same to the extent applicable.~~

non-competition, non-solicitation, non-disclosure or any similar agreement with any third party.

- (f) ~~(e) No~~ Neither the Vendors nor their Affiliates (including the Acquired Entity ~~has~~ Entities) have received written notice disputing the characterization of any ~~independent contractor engaged by such applicable Acquired Entity as an independent contractor~~ current or former Independent Contractor under Applicable Laws from any Governmental Authority or from such independent contractor.
- (g) ~~(f) Each~~ In respect of the Employees, each of the Vendors and their Affiliates (including the Acquired Entity Entities) is in compliance with all Applicable Laws respecting employment and labour in all material respects, including Applicable Laws in respect of employment and labour standards, terms and conditions of employment, classification, wages and hours, occupational health and safety, human rights, accessibility, pay transparency, immigration, language, labour relations, employment equity, pay equity and workers' compensation. ~~[Except as set out in Schedule 3.2(24)(eg) of the Disclosure Letter]~~, no Acquired Entity is a party to any material Legal Proceeding under any such Applicable Law relating to ~~Employees or independent contractors~~ current or former Employees or ~~independent contractors~~ Independent Contractors.
- (h) ~~(g) No~~ None of the Vendors nor their Affiliates (including the Acquired Entity Entities) is a party to or bound by any collective agreement, labour contract, letter of understanding, letter of intent ~~or~~, voluntary recognition agreement ~~or other Contract~~ with any labour union, trade union or employee organization or group which may qualify as a trade union or similar entity (each, a "Collective Agreement") in respect of or affecting the Employees. ~~No Acquired Entity is~~ The Business has not been subject to any union organization effort, nor has there been any such effort in the last three years. ~~To~~ There has not been any strike, labour dispute, work slow down or stoppage within the last three years and, to the knowledge of the Vendors, there is no strike, labour dispute, work slow down or stoppage pending or Threatened against any Acquired Entity ~~nor has there been any such strike, labour dispute, work slow down or stoppage within the last three years. No.~~ In respect of the Employees, none of the Vendors nor their Affiliates (including the Acquired Entity Entities) has engaged in any unfair labour practice within the last three years nor to the Vendors' knowledge is there any pending or Threatened complaint regarding any alleged unfair labour practice ~~relating to Employees or former Employees.~~
- (i) ~~(h) All~~ current assessments under Applicable Laws respecting workers' compensation that relate to any Acquired Entity have been paid or accrued in all material respects, and the Acquired Entities have not been subject to any material specialty, surcharge or penalty assessment under such legislation which has not been paid. There are no material outstanding inspection Orders made or, to the knowledge of the Vendors, Threatened, under Applicable Laws respecting occupational health and safety relating to the Acquired Entities or the Business.
- (j) ~~(i) All~~ liabilities ~~of the Acquired Entities~~ due or accruing due to Employees ~~(other than~~ and Independent Contractors (or former Employees ~~who are not employed~~

~~by an Acquired Entity) or independent contractors~~ or Independent Contractors), including but not limited to fees, wages, salaries, incentives, overtime pay, vacation pay, paid time off, bonuses, commissions, statutory holiday pay, and termination and severance payments, have been paid or properly accrued in ~~the Books and Records of the Acquired Entities in~~ all material respects.

(k) The employees and independent contractors employed or engaged by the Acquired Entities as of the Closing will be sufficient to permit the Acquired Entities to conduct the Business following the Closing in a manner consistent with the Vendors' conduct of the Business immediately prior to the Closing.

(25) ~~Vendor~~Employee Plans.¹⁶

(a) Schedule 3.2(25)(a) of the Disclosure Letter sets forth a true and complete list of all ~~mate-rial-written employee benefit, welfare, supplemental unemployment benefit, bonus, pension, profit sharing, executive compensation, current or deferred compensation, incentive compensation, stock compensation, stock purchase, stock option, stock appreciation, phantom stock option, savings, severance or termination pay, retirement, supplementary retirement, paid time off, hospitalization insurance, salary continuation, legal, health or other medical, dental, life, disability or other insurance (whether insured or self-insured) or similar plan, program, agreement or arrangement (each, an "Employee Plan") maintained or contributed to or required to be contributed to by any Acquired Entity, or the Vendors or any of their respective Affiliates (other than the Acquired Entities), for the benefit of the Employees and their respective dependants or beneficiaries or with respect to which an Acquired Entity participates or has any actual or potential liability or obligations, other than Statutory Plans (collectively, the "Employee Plans, which separately lists all Vendor Plans") and Acquired Entity Plans.~~ The Vendors have furnished to the Purchaser true and correct copies of all the ~~Vendor~~Employee Plans as amended as of the date hereof, together with any related material documentation including (i) current and past documents and all amendments thereto, (ii) annuity contracts, trust agreements, insurance policies and contracts and other funding instruments, (iii) plan summaries, employee booklets, brochures and personnel manuals, (iv) collective agreements, (v) participation agreements of the Acquired Entities, and (vi) with respect to the Acquired Entity Plans, investment management agreements, subscription agreements, actuarial reports, funding and financial information returns and statements, current asset valuations, and copies of material correspondence with all Governmental Authorities.

(b) All of the ~~Vendor~~Employee Plans have been established, registered (where required), funded, in-vested and administered in accordance with all Applicable Laws and the terms of such ~~Vendor~~Employee Plans in all material respects.

(c) Schedule 3.2(25)(c)(i) of the Disclosure Letter identifies each ~~Vendor~~Employee Plan that is a "registered pension plan" as that term is defined in subsection 248(1) of the ITA ~~(each, a "Pension Plan")~~ maintained in respect of the Employees or former employees of the Acquired Entities (a "**Vendor Pension Plan**"). Except as disclosed in Schedule 3.2(25)(c)(ii) of the Disclosure Letter, no

¹⁶ Note to Vendor: We expect that all outstanding equity incentive awards be disclosed against the rep in (25)(a).

Vendor Pension Plan contains a “defined benefit provision” as that term is defined in subsection 147.1(1) of the ITA.

- (d) No ~~written~~ promises or commitments have been made by the Vendors or any of their respective Affiliates (including the Acquired Entities) to amend any ~~Vendor~~Employee Plan to provide increased benefits to any Employee or former ~~Employee as a result~~employee of the ~~execution, delivery or performance of this Agreement or the consummation of the transactions contemplated by this Agreement~~Acquired Entities, or to establish any new employee benefit plan in which any Employee or former ~~Employee~~employee of the Acquired Entities would be eligible to participate, in each case, except as required by Applicable Law (other than, in each case, in connection with the Retention Bonus Program).
- (e) ~~{Except as set out in Schedule 3.2(25)(e) of the Disclosure Letter}~~, none of the ~~Vendor~~Employee Plans (other than a Vendor Pension Plan) provides post-retirement benefits to or in respect of the Employees or any former employees of the Acquired Entities or to or in respect of the beneficiaries of such Employees and former employees.
- (f) No Acquired Entity Plan permits participation by employers other than the Acquired Entities.
- (g) ~~(f)~~—None of the ~~Vendor~~Employee Plans is (i) a Multi-Employer Plan, (ii) a “retirement compensation arrangement” as defined in subsection 248(1) of the ITA; (iii) a “employee life and health trust” as defined in subsection 248(1) of the ITA¹⁷; or ~~(iiiiv)~~ a “health and welfare trust” as defined in Canada Revenue Agency Income Tax Folio S2-F1-C1. No ~~Vendor~~Employee Plan is or has been found by a Governmental Authority to be a “salary deferral arrangement” as defined in subsection 248(1) of the ITA.
- (h) ~~(g)~~—All ~~material~~ Data necessary to administer each ~~Vendor Plan maintained by an~~ Acquired Entity Plan is in the possession of the applicable Acquired Entity or their respective agents and, ~~to the knowledge of the Vendors~~, such Data is (i) in a form which is sufficient for the administration of the ~~Employee~~Acquired Entity Plan in accordance with its terms and all Applicable Laws in all material respects and (ii) such Data is true and correct in all material respects.
- (i) ~~(h)~~—Except as set out in Schedule 3.2(25)(~~h~~) of the Disclosure Letter, all contributions or premiums required to be paid to or in respect of any ~~Vendor~~Employee Plan ~~by the Acquired Entities~~ under the terms of such ~~Vendor~~Employee Plan or by Applicable Laws have been made in a timely fashion in accordance with Applicable Laws and the terms of the applicable ~~Vendor~~Employee Plan(s) in all material respects, and no Acquired Entity has, and as of the Closing Date will have, any actual unfunded liabilities with respect to any of the ~~Vendor~~Employee Plans as of the date hereof. All liabilities of each Acquired Entity (whether accrued, absolute, contingent or otherwise) related to all Employee Plans have been fully and accurately disclosed in accordance with IFRS in the Financial Statements.

¹⁷ Note to Vendor: Is one of the Employee Plans an ELHT? If so, please confirm which plan.

(j) ~~(i)~~ Each Vendor Pension Plan which contains a “defined benefit provision” as that term is de-fined in subsection 147.1(1) of the ITA is fully funded or fully insured on a going concern, solvency and wind-up basis in accordance with the requirements of ~~applicable~~Applicable Laws as of the date of the most recently filed actuarial valuation report.

(k) ~~(j)~~ ~~To the knowledge of the Vendors, no Vendor Plan maintained by an Acquired Entity~~No Employee Plan is subject to any pending, or, to the knowledge of the Vendors, Threatened or anticipated ~~material~~ investigation, examination or other Legal Proceeding, initiated by any Governmental Authority or by any other Person (other than routine claims for benefits) that relates to or could reasonably be expected to affect any Employee or former employee of the Acquired Entities or any of their respective beneficiaries or dependents and, to the knowledge of the Vendors, there exists no state of facts which after notice or lapse of time or both could reasonably be expected to give rise to any such investigation, examination or other Legal Proceeding.

(l) ~~(k)~~²⁴ The execution of this Agreement and the completion of the transactions contemplated hereby will not (either alone or in conjunction with any subsequent events) result in any payment (whether of severance pay or otherwise) becoming due under any ~~Vendor~~Employee Plan, the acceleration of payment or vesting of any benefits under any ~~Vendor~~Employee Plan, or increase in benefits under any ~~Vendor~~Employee Plan, in each case, with respect to any Employee or former ~~Employee~~employee of the Acquired Entities or their respective beneficiaries.

(26) *Transactions with Affiliates et al.* Except ~~in respect of Indebtedness or other obligations in connection with the PC Optimum Program in the Ordinary Course of Business~~as set forth in Schedule 3.2(26) of the Disclosure Letter, no Acquired Entity is liable in respect of Indebtedness or other obligations to or on behalf of any shareholder, officer, director, Employee or Affiliate of such Acquired Entity, or associates or relatives of any of the foregoing, or any other Person with whom the Acquired Entities does not deal at arm's length. Other than the services that will be the subject of the Program Participation Agreement²²¹⁸, there are no intercompany services provided to the Acquired Entities by the Vendors or by any Affiliate of the Vendors, except as disclosed in Schedule 3.2(26) of the Disclosure Letter. Schedule 3.2(26) of the Disclosure Letter sets out all intercompany arrangements between an Acquired Entity or Eagle, on the one hand, and the Vendors or any Affiliate of the Vendors, on the other hand.

(27) *Insurance.*¹⁹

(a) Schedule 3.2(27) of the Disclosure Letter sets out a list of all material insurance policies which are maintained by, or cover, the Acquired Entities and/or the Business as at the date of this Agreement, all of which policies are in full force and effect and there is no claim pending under such policies as to which coverage has been questioned, denied or disputed. Except as set forth in Schedule 3.2(27) of the Disclosure Letter, there have been no claims under such

²⁴ ~~Note to Purchaser: Deleted since DB plan is not following the shares and there is a rep that the plan is fully funded.~~

²²¹⁸ **Note to Purchaser:** GWL and its Affiliates provide certain back office services such as finance and accounting, which will be included in the Disclosure Letter.

¹⁹ **Note to Vendors:** Subject to ongoing review by EQB and its insurance advisors.

policies since the date that is three years prior to the date of this Agreement which are individually or in the aggregate material. There are no facts or circumstances which would reasonably be expected to lead to any material liability under such insurance policies being avoided by the insurers.

- (b) No ~~Acquired Entity and no Vendor~~ member of the LCL Group is in default with respect to any of the provisions contained in the insurance policies maintained by it in respect of the coverage for the Acquired Entities and/or the Business, in any material respect, or the payment of any premiums under any insurance policy, nor has any ~~Acquired Entity or Vendor~~ member of the LCL Group failed, since the date that is three years prior to the date of this Agreement, to give any notice or to present any claim under any insurance policy maintained by it in respect of the coverage for the Acquired Entities and/or the Business in a due and timely fashion, where such default would be material.
- (28) *Tax Matters.* ²³²⁰
- (a) Each of the Acquired Entities and Eagle has prepared and filed when due with each relevant Governmental Authority all material Tax Returns required to be filed by or on behalf of it in respect of any Taxes. All such Tax Returns are correct and complete in all material respects, and no material fact has been omitted therefrom. No extension of time in which to file any such Tax Returns is in effect. No Governmental Authority has asserted that the Acquired Entities or Eagle is required to file Tax Returns or pay any Taxes in any jurisdiction where it does not do so.
- (b) Each of the Acquired Entities and Eagle has paid in full and when due all Taxes required to be paid by it that have become due and payable by it within the time required by Applicable Law. Each of the Acquired Entities has made accruals on the Closing Balance Sheet for all Taxes of the Acquired Entities for a Pre-Closing Tax Period or for the portion of any Straddle Period ending immediately prior to the Closing Date (as determined under Section 7.9(3)).
- (c) Except as specified in Schedule 3.2(28) of the Disclosure Letter, no assessments or reassessments of the Taxes of any Acquired Entity or Eagle are currently the subject of an objection or appeal, no audit by any Governmental Authority of the Acquired Entities or Eagle is currently ongoing and there are no outstanding issues which have been raised and communicated to any Acquired Entity or Eagle by any Governmental Authority. No Vendor ~~or, any~~ Acquired Entity or Eagle has received any indication in writing from any Governmental Authority that an audit, assessment or reassessment of any Acquired Entity or Eagle is proposed in respect of any Taxes, regardless of its merits. ~~No~~ Neither any Acquired Entity or Eagle has executed or filed with any Governmental Authority any agreement or waiver extending the period for assessment, reassessment or collection of any Taxes.
- (d) Each Acquired Entity and Eagle has withheld from ~~payments~~ each payment made to any Person, including any of the Employees or its ~~present or~~ former ~~Employees~~ employees, officers and directors, and all Persons who are or are

²³²⁰ Note to Vendor: Tax reps remain subject to ongoing due diligence.

deemed to be non-residents of Canada for purposes of the ITA, all amounts required by Applicable Law to be withheld, and has remitted such withheld amounts within the prescribed periods to the appropriate Governmental Authority. Each Acquired Entity and Eagle has remitted all Canada Pension Plan contributions, provincial pension plan contributions, employment insurance premiums, employer health taxes and other Taxes payable or required to be withheld and remitted by it in respect of the Employees to the appropriate Governmental Authority within the time required under Applicable Law. Each Acquired Entity and Eagle has charged, collected and remitted on a timely basis all Taxes as required under Applicable Law on any sale, supply or delivery whatsoever, made by it. All input tax credits, refunds, rebates and similar adjustments of Taxes claimed by each Acquired Entity and Eagle has been validly claimed and correctly calculated as required by Applicable Law.

- (e) PCB, PCFIA and PCFIB have maintained and continue to maintain at their place of business in Canada all records and books of account required to be maintained under the ITA, the *Excise Tax Act* (Canada) and any comparable Law of any province or territory in Canada, including Laws relating to sales and use taxes.
- (f) Except as specified in Schedule 3.2(28) of the Disclosure Letter, the terms and conditions made or imposed in respect of transactions (or series of transactions) between an Acquired Entity or Eagle and any Person that is (i) a non-resident of Canada for purposes of the ITA, and (ii) not dealing at arm's length with such Acquired Entity or Eagle, for purposes of the ITA, do not differ from those that would have been made between Persons dealing at arm's length for purposes of the ITA.
- (g) ~~No~~Neither any Acquired Entity or Eagle is party to or bound by any tax sharing agreement, tax indemnity obligation in favour of any Person or similar agreement in favour of any Person with respect to Taxes (including any advance pricing agreement or other similar agreement relating to Taxes with any Governmental Authority).
- (h) No Acquired Entity or Eagle will be required to include in a tax period ending after the Closing Time any amount of net taxable income (after taking into account deductions claimed for such a period that relate to a prior period) attributable to income that accrued, or that was required to be reported for financial accounting purposes in a prior taxable period but that was not included in taxable income for that or another prior tax period except to the extent a corresponding reserve was taken into account in determining Closing Book Value.
- (i) There are no transactions or events that have resulted, and no circumstances existing which could result, in the application to any Acquired Entity or Eagle of sections 78, 80, 80.01, 80.02, 80.03, 80.04 of the ITA or any analogous provision of any comparable Law of any province or territory of Canada.

- (j) ~~Neither~~ Acquired Entity or Eagle has any liability for the Taxes of any Person under subsection 160(1) of the ITA (or any corresponding or similar provision of any other Applicable Law), as a transferee, successor, by contract or otherwise.
- (k) Except as specified in Schedule 3.2(28) of the Disclosure Letter, no Acquired Entity or Eagle has claimed or received an amount, and no amount has been taken into account in calculating the Purchase Price, in respect of a Tax credit, refund, rebate overpayment or similar adjustment of Taxes, including any governmental assistance or subsidy, in each case to which such entity is not fully entitled, and each such entity has retained all documentation prescribed by Applicable Law and in accordance with Applicable Laws to support any claims for such amounts. No Acquired Entity or Eagle has received any indication from a Governmental Authority, regardless of its merits, that such Acquired Entity or Eagle is or may be required to repay any such amounts received by ~~the~~ such Acquired Entity or Eagle.
- (l) None of the Acquired Entities has made (i) an "excessive eligible dividend designation" as defined in subsection 89(1) of the ITA, (ii) a capital dividend election under subsection 83(2) of the ITA in an amount which exceeds the amount of the "capital dividend account" as defined in the ITA immediately before the time such dividend became payable or (iii) any excessive designations or elections in respect of dividends paid or deemed to be paid by it under any analogous provision of Law of any province or territory of Canada.
- (m) Eagle is not, nor has it at any time been, a "SIFT trust" as defined in section 122.1 of the ITA.
- (n) ~~(n)~~ Except as specified in Schedule 3.2(28) of the Disclosure Letter, no Acquired Entity or Eagle has ever had an obligation to file an information return pursuant to (i) sections 237.3, 237.4 or 237.5 of the ITA, or (ii) sections 1079.8.5 or 1079.8.6 of the *Taxation Act* (Quebec).
- (o) Eagle is not a non-resident of Canada for purposes of the ITA.

Nothing in this Agreement is or shall be construed as a representation or warranty with respect to the amount, useability, value or condition of, or any limitations on, any net operating losses, net capital losses, loss carryforwards, research and development, research and experimentation, investment, foreign or other Tax credits, cost amount or similar Tax assets and attributes, or the ability of the Purchaser, Acquired Entities or any of their Affiliates to utilize such Tax assets or attributes following Closing.

(29) *Privacy and Data Security.*

- (a) Except as set out in Schedule 3.2(29) of the Disclosure Letter, each Acquired Entity ~~has and~~ Eagle have complied at all times with, in all material respects, all (i) applicable Privacy Laws, and ~~to the extent they influence the requirements of such Privacy Laws, the~~ applicable guidance, findings, and policy positions of the Office of the Privacy Commissioner of Canada and its provincial counterparts; (ii) the Acquired Entity's or Eagle's privacy policies, notices, and statements, as applicable; and (iii) contractual terms and industry standards to which the Acquired Entity or Eagle, as applicable, is subject relating to privacy, data

security, or data breach notification, including the Payment Card Industry Data Security Standard (together, “**Privacy Requirements**”).

- (b) Each Acquired Entity ~~has~~have contractually required all service providers, vendors or subcontractors that process Personal Information on behalf of the Acquired Entity (“**Processors**”)~~-pursuant to a Material Contract~~ to process such Personal Information in accordance with applicable Privacy Requirements and to the Vendors’ knowledge, no Processor has processed Personal Information in violation of any applicable Privacy Requirement.
 - (c) The Acquired Entities have a written information security program in place, consistent with current industry standards and practices and that meets the requirements of Applicable Law, that is designed to ensure that Business Data, and all IT Systems, are adequately safeguarded, including against Malicious Code and Security Incidents.²⁴ Such program includes, at minimum, commercially reasonable policies, procedures and systems addressing information security, cybersecurity risk management, vendor management, employee training, business continuity and disaster recovery, data and system backup, data retention, archiving, data recovery, and data breach response, including the recording and reporting of data breaches. The Acquired Entities act, and in the past three years have acted, in compliance with such program and test the foregoing policies, procedures, and systems on a regular basis.
 - (d) ²⁵~~Except for events, complaints or other matters that occur in the ordinary course of business and~~ have an immaterial impact on the Business (including not resulting in any material costs or expenses to the Business, material customer or regulatory complaints, or material reputational harm), and except as set out in Schedule 3.2(29) of the Disclosure Letter, in the past three years there has been no: (i) loss or theft of, or unauthorized access, use, processing, destruction, exfiltration, or disclosure of, Confidential Information, Personal Information or Business Data (whether any of the foregoing was possessed or controlled by an Acquired Entity or by a Processor on behalf of an Acquired Entity), (ii) breach of security, phishing incident, ransomware or malware attack affecting any, or unauthorized access to or use of, the IT Systems (collectively, “**Security Incidents**”); or (iii) investigation, audit or other inquiry from a Governmental Authority regarding the Acquired Entities’ or, to the Vendors’ knowledge, Eagle’s collection, use, disclosure or protection of Personal Information.
 - (e) To the extent such matters are within the control of the Vendors, the consummation of the transactions contemplated by this Agreement will not result in a violation of any Privacy Requirement.
- (30) *IT Systems.*
- (a) The IT Systems meet the data processing and other computing needs of the Business in all material respects. The IT Systems function, operate, process and

²⁴ ~~Note to Purchaser: Business continuity and disaster recovery is addressed in IT Systems reps below.~~

²⁵ ~~Note to Purchaser: Narrowed scope here intended to reduce disclosure burden for matters immaterial to the transaction, recognizing that given the size of the Acquired Entities, there will inevitably be numerous matters of de minimis impact.~~

compute in accordance with all Applicable Laws, industry standards and trade practices in all material respects. The IT Systems operate and perform in all material respects in accordance with their documentation and functional specifications and, with respect to tangible IT Systems, are in good operating condition and good repair, reasonable wear and tear excepted. The IT Systems have not materially malfunctioned or failed, and the data which the IT Systems process has not been corrupted or lost to any material extent, within the past three years. There are no material deficiencies or defects in the IT Systems.

- (b) The Acquired Entities own, or pursuant to a current, valid, written agreement, have the right to use, each element of the IT Systems ~~in all material respects~~²¹. The use in the Ordinary Course of Business any Software licensed to any Acquired Entity does not exceed the scope of any rights granted to it with respect thereto in any material respect, including any applicable limitation upon the usage, type or number of licenses, users, hardware, time, services, or systems. All elements of the IT Systems have been maintained in a commercially reasonable manner in accordance with industry standards and designed to ensure proper operation, monitoring and use, and all tangible IT Systems are in good operating condition and in good repair in all material respects.
 - (c) The Acquired Entities (i) maintain commercially reasonable disaster recovery and business continuity plans, procedures and facilities in connection with the operation of the Business that provide for the business continuity of the Business, and that are designed to ensure all IT Systems will be continuously available and functioning normally in the event of any malfunction of, any suspension or cessation in the operation of, or other form of disaster affecting, the IT Systems, (ii) act in compliance therewith and (iii) have taken commercially reasonable steps to test such plans on a periodic basis, and such plans and procedures have been proven effective upon such testing in all material aspects.
 - (d) The Acquired Entities have implemented commercially reasonable tools and procedures to protect the IT Systems from, and the IT Systems are ~~to the knowledge of the Vendors~~ free of, any Malicious Code.
 - (e) The Acquired Entities have deployed commercially reasonable encryption for storage and transmission of Personal Information and ~~sensitive~~ Business Data with respect to all IT Systems, which is consistent with the standards deployed ~~in the industry~~ by companies in the same industries in which the Business operates. The Acquired Entities have, or have caused to be, conducted security assessments and tests of the IT Systems on a regular basis to test the IT Systems for vulnerabilities and cyber threats, and no material vulnerabilities or cyber threats have been identified ~~that have not been remediated~~ as a result of such assessments and tests that have not been fully remediated.
- (31) *Software.*
- (a) Except as set out in Schedule 3.2(31)(a) of the Disclosure Letter, there ~~are~~^{is} no ~~material~~ Software owned or purported to be owned by any Acquired Entity

²¹ Note to Vendor: Materiality qualifier is not appropriate for this rep. The Acquired Entities either do or do not own or have the right to use the IT Systems.

("Owned Software"). For the avoidance of doubt, the Owned Software does not include any Software licensed to any Acquired Company from a third party. Material Software licensed to any Acquired Entity from a third party is set out in 3.2(31)(a) of the Disclosure Letter.²²

- (b) An Acquired Entity is in possession of the object code and user manuals for all Owned Software, and the source code and all documentation required for effective use, distribution, development, enhancement, distribution, development, enhancement, maintenance, and support thereof. The source code for all Owned Software contains clear and accurate annotations and programmer's comments, and otherwise has been documented in a manner that is both: (i) consistent with customary code annotation conventions and standard practices in the software industry and (ii) sufficient to independently enable a programmer of reasonable skill and competence to understand, analyze, and interpret program logic, correct errors and improve, enhance, modify and support the Owned Software. All Owned Software is maintained in a source code management system with industry standard management, version control, tracking and security measures and safeguards.²³
- (c) No Acquired Entity has entered into any source code escrow agreements pursuant to which any Owned Software has been deposited by such Acquired Entity in favour of a third party. No source code for any Owned Software has been disclosed, delivered, licensed, sold, transferred, or made available to any escrow agent or other Person who is not, as of the date of this Agreement, an Employee, contractor or service provider of an Acquired Entity with authorization to access such Owned Software and subject to confidentiality obligations with respect to such source code. Neither any Acquired Entity nor any other Person (including the Vendors or any of their respective Affiliates) has any duty or obligation (whether present, contingent or otherwise) to disclose, deliver, license, sell, transfer, or make available the source code for any Owned Software to any escrow agent or other Person, and no event has occurred, and no circumstance or condition exists, that (with or without notice or lapse of time) will, or would reasonably be expected to, result in the delivery, license or disclosure of the source code for any Owned Software to any other Person.
- (d) None of the Owned Software incorporates or is comprised of or distributed with any Software or code (including any Open Source Software) in a manner which: (i) subjects such Software to a requirement that such Software or any Owned Intellectual Property be disclosed or distributed in source code form, or be permitted to be reverse engineered; (ii) requires that any Owned Software or Owned Intellectual Property be licensed for the purpose of making derivative works; (iii) imposes any restriction on the consideration to be charged for the distribution or use of any product or service; (iv) creates, or purports to create, obligations for any Acquired Entity with respect to Owned Software or grants, or purports to grant, to any third party, any rights or immunities under any Owned Intellectual Property; or (v) imposes any other material limitation, restriction, or

²² **Note to Vendor:** The purpose of this rep is to solicit disclosure of the proprietary software owned by the Acquired Entities, if any. Given the work has already been done to list on the disclosure letter all material licensed software, we have included a reference to that third-party software as well.

²³ **Note to Vendor:** Note that these reps relate only to Owned Software, not third-party software.

condition on the right of any Acquired Entity to use or distribute any other product or service.

(32) *Artificial Intelligence.*

- (a) The Acquired Entities use and have used all Third Party AI Products in compliance with the applicable terms governing such use in all material respects.
- (b) All Training Data used by the Acquired Entities to train AI Technologies ~~under their direct control~~ is either proprietary to the Acquired Entities or has been obtained by the Acquired Entities in accordance, in all material respects, with the applicable terms and Applicable Laws governing such use (including each end user license agreement, terms of use, privacy policies, consents, or other terms that govern the Acquired Entities' collection and use of third party data, including Scraped Data) ~~in all material respects~~, and in compliance with all required consent and notification obligations in all material respects. No Acquired Entity has permitted any Business Data or Owned Intellectual Property to be used as Training Data by any other Person.
- (c) Each Acquired Entity subjects any Software created (in whole or in part) by AI Technologies on its behalf to a standard code review process before using such Software, including (i) supplementary quality review by a qualified human developer, and (ii) scans for Open Source Software and security vulnerabilities. Each Acquired Entity maintains a technical description of the AI Technologies used by, in or with any of its products or services that is sufficiently detailed such that the relevant AI Technologies can be modified, debugged and improved from time to time by programmers skilled in the development of AI Technologies.
- (d) No Acquired Entity has (i) used any Third-Party AI Product to create any Intellectual Property that such Acquired Entity intends to maintain as proprietary or confidential (or otherwise intends to apply for available registration protections for Intellectual Property rights associated therewith), or (ii) used or disclosed any Business Data in connection with any Third-Party AI Product other than in connection with Third-Party AI Products the use of which are expressly authorized by the Acquired Entities and in accordance with Applicable Law and the Acquired Entities' policies with respect to uploading Business Data to Third-Party AI Products.
- (e) ~~(e)~~ Each Acquired Entity has implemented commercially reasonable internal policies and procedures concerning the use, development, and testing of AI Technologies and is in ~~material~~ compliance in all material respects with all such policies and procedures and Applicable Laws relating thereto. No Acquired Entity has received any complaints, inquiries, or investigations from any Person (including any Governmental Authority) related to its use of AI Technologies.

(33) *Anti-Spam Laws.* Except as set out in Schedule ~~3.2(33)~~3.2(32)(c) of the Disclosure Letter, in carrying on the Business each Acquired Entity has complied at all times and in all material respects with CASL in connection with the sending of all CEMs. Each Acquired Entity has maintained and continues to maintain records that are sufficient to demonstrate its compliance with CASL, including copies of consent forms, CEM templates, and records of all consents given or withdrawn, as applicable. The Acquired Entities have

established commercially reasonable policies and procedures designed to ensure compliance with CASL and have trained all Employees on the underlying substantive requirements of CASL where relevant to their role.

(34) *No Material Adverse Change.* Since the balance sheet date of the most recent Annual Financial Statements, there has been no Material Adverse Change.

(35) *Absence of Certain Changes or Events.* Except as set forth on Section 3.2(35), since the balance sheet date of the most recent Annual Financial Statements, (i) the Vendors have carried on the PC Optimum Program in the ordinary course of business consistent with past practice, and (ii) each Acquired Entity and Eagle has carried on the Business in the Ordinary Course of Business, and, in particular, but without limitation, has not:

- (a) amended its articles or by-laws or similar organizational document;
- (b) directly or indirectly, declared, set aside for payment or paid any dividend or made any other payment or distribution on or in respect of any of its shares;
- (c) redeemed, purchased, retired or otherwise acquired, directly or indirectly, any of its shares;
- (d) issued or sold any shares or other securities or issued, sold or granted (or promised to grant) any option, warrant or right to purchase any of its shares or other securities or issued (or promised to issued) any security convertible into its shares, granted any registration rights or otherwise made any change to its authorized or issued share capital;
- (e) issued, or authorized (or promised to issue or authorize) equity appreciation, phantom stock, profit participation or similar rights with respect to an Acquired Entity (excluding any such awards granted pursuant to a Vendor Plan);
- (f) established, entered into, ~~materially~~-amended or terminated any ~~Vendor~~Acquired Entity Plan or materially increased or decreased the compensation or benefits of any Employee, former employee of the Acquired Entities, Independent Contractor or former independent contractor of the Acquired Entities under any Acquired Entity Plan, Contract or otherwise;
- (g) disposed of or revalued any of the assets reflected on the balance sheet forming part of the most recent Annual Financial Statements other than in the Ordinary Course of Business;
- (h) made any material changes in its accounting principles, policies, practices or methods, or in its credit risk policies;
- (i) suffered any material operating loss or extraordinary loss or cancelled or waived any Indebtedness, claim or other right;
- (j) incurred or assumed any liabilities (including any Indebtedness) or obligations of any nature, whether absolute, accrued, contingent or otherwise, except liabilities that incurred in the Ordinary Course of Business and which are not, individually or in the aggregate, material;

- (k) mortgaged, pledged, granted a security interest in or otherwise created a Lien on any of its property or assets, except in the Ordinary Course of Business and in amounts which, individually and in the aggregate are not material;
- (l) entered into any contract or any other transaction that was not in the Ordinary Course of Business;
- (m) terminated, cancelled, modified or amended in any material respect or received written or, to the knowledge of the Vendors, oral notice or a request for termination, cancellation, modification or amendment of any Material Contract (including any Contract which would have been a Material Contract if in force on the date hereof) or any Securitization Contract or taken or failed to take any action that would entitle any party to a Material Contract or a Securitization Contract to terminate, modify, cancel or amend any Material Contract or any Securitization Contract;
- (n) given or agreed to give or become a party to or bound by any guarantee, surety or indemnity in respect of Indebtedness or other obligations or liabilities of any Person (other than another Acquired Entity) or become a party to any other commitment by which an Acquired Entity, is, or is contingently, responsible for such Indebtedness or other liability or obligation;
- (o) incurred any material damage, destruction or loss with respect to any of the material assets or properties of the Acquired Entities or Eagle (whether or not insured);
- (p) purchased or otherwise acquired any interest in any securities of any other Person;
- (q) made any capital expenditure or authorized any capital expenditure or made any commitment for the purchase, construction or improvement of any capital assets except in the Ordinary Course of Business and which are not, individually or in the aggregate, material;
- (r) discharged, settled or satisfied any material Legal Proceedings, other than material Legal Proceedings reflected in the most recent Annual Financial Statements and for amounts not in excess of the amount reserved against therein;
- (s) entered into any Contract or commitment to hire, or terminated the services of, any Employee or ~~independent contractor~~ Independent Contractor earning annual base compensation in excess of \$~~500,000~~ 250,000²⁴; or
- (t) agreed, committed or entered into any understanding to take any actions enumerated in paragraphs (a) to (s) of this Section 3.2(35).

²⁴ Note to Vendor: Base compensation of \$500,000 would only capture one or two senior employees.

(36) *Card Accounts and Receivables.*²⁶²⁵

- (a) All Card Accounts are governed by a Card Account Agreement and the related Product Collateral. Each Card Account Agreement is a valid and legally binding obligation of PCB, subject to applicable bankruptcy, insolvency, reorganization, arrangement or other similar Applicable Laws, now or hereafter in effect, relating to or affecting the rights of creditors generally and the availability of equitable remedies. Each Card Account Agreement, and all unpaid amounts owed by the Cardholder party thereto, are valid and legally binding obligations of such Cardholder (assuming legal capacity of such Cardholder and excluding deceased Cardholders), other than any unpaid amounts that are being or may hereafter be disputed by the Cardholder in the Ordinary Course of Business, and is enforceable against such Cardholder in accordance with the terms of each Card Account Agreement, subject to applicable bankruptcy, insolvency, reorganization, arrangement or other similar Applicable Laws, now or hereafter in effect, relating to or affecting the rights of creditors generally and the availability of equitable remedies. PCB is not in breach of, or default under, any Card Account Agreement in any material respect. The purchase of the Shares hereunder does not require the consent or approval of any Cardholder. Each form of Card Account Agreement that currently governs or, for three years prior to the date of this Agreement, has governed, each Card Account has been made available to the Purchaser, and all such forms contain all terms of such Card Accounts.
- (b) Each Card Account Agreement and any related Product Collateral complies in all material respects with all applicable requirements of Applicable Law and the Payment Network Rules. The terms and conditions applicable to each Card Account are set forth in the applicable Card Account Agreement and the related Product Collateral. PCB has not, for three years prior to the date of this Agreement, waived any of its rights under the Card Account Agreements or engaged in any course of conduct inconsistent with the terms of any Card Account Agreement except for promotional rate offers reflected in Schedule 3.2(36) of the Disclosure Letter, in each case, in the Ordinary Course of Business consistent with past practice. The terms and provisions of each Card Account, each Card Account Agreement and the related Product Collateral can be changed by PCB in compliance with requirements of Applicable Law. Except in connection with collection efforts in accordance with PCB's policies and procedures as of the Measurement Time, PCB has not taken, or caused to be taken, any action to prevent PCB from collecting any portion of the balances of the Card Accounts after the Closing.
- (c) All Card Accounts have been solicited, opened, underwritten, administered, maintained, marketed and serviced by PCB or its agents and all Card Accounts have been maintained by PCB, in each case in compliance in all material respects with the Card Account Agreements, the related Product Collateral and requirements of Applicable Law. Each purchase and cash advance (including

²⁶²⁵ **Note to Purchaser:** Under review by GWL. Please consider if these reps are necessary in the context of a share deal.

any balance transfer transaction or convenience credit card cheque) associated with a Card Account has been approved and processed.

- (d) For three years prior to the date of this Agreement, all Card Accounts have been opened and maintained in compliance with the *Proceeds of Crime (Money Laundering) and Terrorist Financing Act* (Canada) and any other applicable anti-money laundering laws ("**Anti-Money Laundering Laws**") in all material respects, including with respect to compliance with all know-your-client and identity verification requirements. The identity of each accountholder has been confirmed in accordance with the requirements of the Anti-Money Laundering Laws in all material respects and, to the knowledge of the Vendors, the information used to verify identity was valid and current at the time that the accountholder's identity was verified.
- (e) Each Card Account relates to the extension of credit and the advancement of monies on a revolving basis and with respect to each Card Account would be considered a credit card account, and each PCB Card would be considered a credit card, under the Bank Act and regulations thereunder.
- (f) Each Card Account complies, in all material respects, with the applicable Card Account Agreements to which it relates, including to the extent such Card Account Agreement has been amended or modified. PCB (i) is not in material default under any such Card Account Agreement and (ii) has serviced the Card Accounts in the Ordinary Course of Business, consistent with past practice, with a commercially reasonable degree of skill and attention and in accordance in all material respects with the Policies in effect at the relevant time.
- (g) All billing and other activity, and all terms and conditions (including pricing terms), reflected in the books and records of PCB are in accordance with the terms of the applicable Card Account Agreement and related Product Collateral in all material respects.
- (h) A correct and complete copy of the credit risk management policy of PCB and a correct and complete copy of the charge-off operating directive of PCB, each in effect on the date hereof (the "**Charge-Off Policies**"), has been made available to the Purchaser.
- (i) There are no co-borrowers on the Card Accounts and there are no guarantors with respect to the Card Accounts.
- (j) A correct and complete copy of the re-aging operating directive of PCB in effect on the date hereof (the "**Re-Aging Policy**") has been made available to the Purchaser. Since the balance sheet date of the most recent Annual Financial Statements through the date hereof, PCB has not re-aged any Card Accounts other than in the Ordinary Course of Business in compliance with the Re-Aging Policy.
- (k) A correct and complete copy of the underwriting policy of PCB in effect on the date hereof has been made available to the Purchaser.

- (l) Since the date that is three year prior to the date of this Agreement, PCB has not effected any material change to the Charge-Off Policies, the Re-Aging Policy or its policies and procedures relating to risk management (including its anti-money laundering and risk assessment policies and procedures), underwriting, re-aging, collection, origination and delinquency (collectively, the “**Policies**”), except for: (A) changes made in the Ordinary Course of Business consistent with past practice, (B) changes required by, or advisable pursuant to, Applicable Law, (C) changes after the date hereof required or permitted to be made in compliance with this Agreement or (D) as set out in Schedule 3.2(36)(l) of the Disclosure Letter.
- (m) PCB is a member in good standing with the Payment Network and is and has been for three years prior to the date of this Agreement, in material compliance with all Payment Network Rules.
- (n) The records, files, data tape and documents relating to the origination, servicing and administration of Card Accounts underwritten, originated, held, administered or serviced by PCB or that PCB otherwise has an interest in are in accordance with the Policies in all material respects in effect at the relevant time and contain all of the documents and information that a prudent lender, administrator or servicer of similar assets would obtain or maintain at the time of the origination thereof and throughout the term of such Card Accounts and are in compliance with the applicable Card Account Agreement.

(37) *Deposit Products.* ²⁷²⁶

- (a) All Deposit Products are governed by a Deposit Account Agreement and the related Product Collateral. PCB is not in breach of, or default under, any Deposit Account Agreement in any material respect. The transactions contemplated by this Agreement do not require the consent or approval of any Depositor. Each form of Deposit Account Agreement that currently governs or for three year prior to the date of this Agreement, has governed, each Deposit Account has been made available to the Purchaser, and all such forms contain all terms of such Deposit Accounts.
- (b) Each Deposit Account Agreement and any related Product Collateral complies in all material respects with all applicable requirements of Applicable Law. Without limiting the generality of the foregoing, each tax-free savings account opened for a Depositor is appropriately registered with the applicable tax authority and otherwise complies with all applicable requirements of Applicable Law, including Canadian tax laws. The terms and conditions applicable to each Deposit Account are set forth in the applicable Deposit Account Agreement and the related Product Collateral, except as may be modified on an individual Deposit Account basis. PCB has not, in the three year period prior to the date of this Agreement, waived any of its rights under the Deposit Account Agreements or engaged in any course of conduct inconsistent with the terms of any Deposit Account Agreement, in each case, in the Ordinary Course of Business consistent with past practice. The terms and provisions of each Deposit Account, each Deposit

²⁷²⁶ **Note to Purchaser:** Under review by GWL. Please consider if these reps are necessary in the context of a share deal.

Account Agreement and the related Product Collateral can be changed by PCB in compliance with requirements of Applicable Law.

- (c) For three years prior to the date of this Agreement, all Deposit Accounts have been solicited, opened, administered, maintained, marketed and serviced by PCB or its agents, and all Deposit Accounts have been maintained by PCB, in each case in compliance in all material respects with the Deposit Account Agreements, the related Product Collateral and requirements of Applicable Law.
 - (d) For three years prior to the date of this Agreement, all Deposit Accounts have been opened and maintained in compliance with Anti-Money Laundering Laws in all material respects, including with respect to compliance with all know-your-client and identity verification requirements. The identity of each Depositor has been confirmed in accordance with the requirements of the Anti-Money Laundering Laws in all material respects and, to the knowledge of the Vendors, the information used to verify identity was valid and current at the time that the identity of the Depositor was verified.
 - (e) Each Deposit Account complies, in all material respects, with the applicable Deposit Account Agreements to which it relates, including to the extent such Deposit Account Agreement has been amended or modified. PCB (i) is not in material default under any such Deposit Account Agreement and (ii) has serviced the Deposit Accounts with a commercially reasonable degree of skill and attention.
 - (f) All Deposit Account statement information or investment information, as applicable, and other activity, and all terms and conditions (including pricing terms), reflected in the books and records of PCB and Schedule 3.2(37) of the Disclosure Letter are in accordance with the terms of the applicable Deposit Account Agreement and related Product Collateral in all material respects.
- (38) *Brokers.* Except as set forth in Schedule 3.2(38) of the Disclosure Letter, no broker, finder or investment banker is entitled to any brokerage, finder's or other fee or commission from the Acquired Entities in connection with the transactions contemplated by this Agreement.
- (39) *Loyalty Matters.*
- (a) Except for the PC Optimum Program, in the past three years, the LCL Group has not offered, participated in or been party to, any points-based loyalty program whereby members of such program can earn or redeem points; and are not currently in negotiations to enter into any such arrangements related to the foregoing. The number of PC Optimum points issued by PC Bank under the PC Optimum Program as of the date of this Agreement is set forth on Schedule 3.2(39) of the Disclosure Letter.²⁷
 - (b) The PC Optimum Terms and Conditions have been made available to the Purchaser and are current. There have been no material changes to the PC

²⁷ Note to Vendors: The number of PC Optimum Points factor into the calculation for the monthly redemption payments from EQB to LCL and it is reasonable for EQB to have line of sight into the starting point/baseline.

Optimum Terms and Conditions in the past three years. The LCL Group has not made any commitments or announcements with respect to any material changes to the PC Optimum Program, except in each case as set out in Schedule 3.2(39) of the Disclosure Letter. The PC Optimum Program has been administered in all material respects in accordance with the PC Optimum Program Terms and Conditions and Applicable Law. In the past three years, the LCL Group has not received any material complaints with respect to the PC Optimum Program.

- (c) Schedule 3.2(39) of the Disclosure Letter sets forth a list of all current Banners of the Vendors, Affiliates of the Vendors and the Acquired Entities, and identifies which Banners are (i) operated by a third party (including any franchisees or dealers), and (ii) participate in the PC Optimum Program.
- (d) The LCL Group is not aware of any material issues with any of their respective franchisees or dealers relating to, or that would reasonably be expected to arise in connection with, the entering into or implementation of this Agreement or the Program Participation Agreement. The entering into or implementation of this Agreement or the Program Participation Agreement does not require the Consent of any franchisees or dealers of the LCL Group. For the purpose of this Section 3.2(39), a devaluation in, or decrease in the consumer value proposition under, the PC Optimum Program would be considered a material change.

(40) *Securitization Contracts.*²⁸

- (a) Schedule 3.2(40) of the Disclosure Letter lists as of the date hereof all of the currently effective Contracts of the following types to which an Acquired Entity is a party:
 - (i) all Contracts and undertakings relating directly or indirectly to transactions providing funding to the Vendors or any Acquired Entity through or by way of the sale, bulk sale, securitization, secured financing, conditional sale or other financing of Card Accounts undertaken by or involving the Vendors or any Acquired Entity; and
 - (ii) all Contracts and undertakings relating directly or indirectly to transactions providing for the administration, funding, servicing, subservicing, transfer or origination of Card Accounts.
- (b) Copies of all Contracts and undertakings listed in Schedule 3.2(40) of the Disclosure Letter have been made available to the Purchaser (collectively, the “**Securitization Contracts**”). Each Securitization Contract is in full force and effect, unamended by written or oral agreement, and the applicable Acquired Entity ~~is~~ and Eagle are entitled to the full benefit and advantage of each Securitization Contract to which it is a party in accordance with its terms.
- (c) None of the Vendors, Eagle or any of the Acquired Entities has received or provided any written notice of the occurrence of any Securitization Event under or in connection with any Securitization Contract, of any dispute in respect of any Securitization Contract, or of any termination, modification, cessation or

²⁸ **Note to Vendor:** Tax matters in respect of Eagle are under ongoing consideration.

suspension of any rights or obligations under any Securitization Contract. To its knowledge, no Securitization Event has been threatened under or in connection with any Securitization Contract. Except as disclosed in Schedule 3.2(40), no Acquired Entity nor Eagle has orally or in writing, and no counterparty to any Securitization Contract has, in writing or to the knowledge of the Vendors orally, provided any indication that it intends to terminate, not renew, or otherwise materially alter the terms of any Securitization Contract.

- (d) Except as disclosed in Schedule 3.2(40) of the Disclosure Letter, no Consent is required to be obtained by the Vendors, an Acquired Entity, Eagle or any of their Affiliates, nor is any notice required to be given by any of them, under any Securitization Contract in connection with the completion of the transactions contemplated herein in order to maintain all rights of such Acquired Entity and Eagle, if applicable, under such Securitization Contract. The completion of the transactions contemplated by this Agreement will not afford any party to any Securitization Contracts the right to terminate any Securitization Contract nor will the completion of such transactions result in any additional or more onerous obligation on the Acquired Entities or Eagle under any Securitization Contract.
- (e) ~~Each~~ Eagle and each Acquired Entity that ~~is~~ are a party to a Securitization Contract and, to the knowledge of the Vendors, each other party thereto, ~~has~~ have performed in all material respects its obligations under each Securitization Contract. None of the Acquired Entities not Eagle that are a party to a Securitization Contract and, to the knowledge of the Vendors, no other party thereto is in default in the performance of any of its material obligations thereunder or has any valid defence or any valid right of rescission, set-off, abatement, diminution or counterclaim that would prevent the enforcement of any provisions thereof by any other party thereto.
- (f) All representations and warranties made and given in the Securitization Contracts by any of the Acquired Entities or Eagle that are a party to a Securitization Contract and, to the knowledge of the Vendors, by each other party thereto, and in each agreement, document, instrument, certificate and financial or other statement delivered by it in connection therewith, were at the time made and given true and correct in all material respects. There are no Legal Proceedings, in progress, pending or Threatened against any of the Acquired Entities or Eagle that are a party to a Securitization Contract or, to the knowledge of the Vendors, against any other party thereto, asserting the invalidity of a Securitization Contract, seeking to prevent the consummation of any of the transactions contemplated by any Securitization Contract or seeking any determination or ruling, that would adversely affect the performance by any of the Acquired Entities or Eagle that are party to an Securitization Contract of their obligations under this Agreement or any Securitization Contract or the validity or enforceability (subject to bankruptcy, insolvency, moratorium and other similar laws relating to or affecting creditors' rights generally, and the fact that equitable remedies, including the remedies of specific performance and injunction, may only be granted in the discretion of a court) of this Agreement or any Securitization Contract.
- (g) Financing statements and all other applicable instruments or documents, and any required amendments thereto, have been filed or registered under each

applicable personal property security act as may be necessary to preserve, protect and perfect all of the transfers of property and other interests by PCB to or in favour of Eagle and the other co-owners pursuant to any Securitization Contract.

- (h) ~~The~~Eagle and the Acquired Entities that are party to a Securitization Contract have treated the transfers contemplated to be made by it under the Securitization Contracts as sales for accounting and financial reporting purposes.
- (i) There has been no action or other demand for indemnity against any of the Acquired Entities or Eagle that are party to a Securitization Contract under any of the Securitization Contracts and no existing fact, matter, thing, event or omission that, with the giving of notice or the passage of time or the making of any determination or any combination thereof, would reasonably be expected to give rise to an action for indemnity against any of the Acquired Entities or Eagle that are party to a Securitization Contract under any of the Securitization Contracts. None of the Acquired Entities nor Eagle that are party to a Securitization Contract and, to the knowledge of the Vendors, no other party to a Securitization Contract has assigned its right, title or interest to or in any Securitization Contract, and none of the Acquired Entities nor Eagle that are party to a Securitization Contract and, to the knowledge of the Vendors, no other party to a Securitization Contract has delegated or sub-delegated to any Person any of its duties under any Securitization Contract, in each case, other than in compliance with the Securitization Contracts.
- (j) None of the Acquired Entities nor Eagle that are party to a Securitization Contract has (i) terminated, cancelled, modified or amended in any material respect its operations or activities in connection with any Securitization Contract or (ii) terminated, cancelled, modified, amended, waived, impaired or altered in any material respect or took or failed to take any action which would entitle any party to any Securitization Contract to terminate, cancel, modify or amend the terms thereof to the detriment of any of the Acquired Entities or Eagle that are party to a Securitization Contract.
- (k) Eagle is not, and has never been, in default, breach or violation of any of the terms, conditions or provisions of its declaration of trust or any other organization documents, including any provisions set out therein relating to Eagle being a special purpose trust.

(41) *Provision of Certain Regulatory Information.* Each applicable Acquired Entity waived OSFI's duty of confidentiality and authorized OSFI to share "prescribed supervisory information" (as defined in Section 1(1) of the *Supervisory Information (Banks) Regulations*) relating to the Acquired Entities with the Purchaser. Other than "prescribed supervisory information", the Vendors have provided to the Purchaser all material banking regulatory materials that a reasonable purchaser would expect to receive in connection with the acquisition of a financial institution.

~~(42) — Knowledge of Breach. Without making specific inquiry into any matter, each of the Vendors represents that as of the date hereof it has no actual knowledge (it being understood that the presence of a document in any electronic documentation site established~~

~~on behalf of the Purchaser shall not, in and of itself, be deemed to impute knowledge to the Vendors) of a breach of or inaccuracy in any representation or warranty of the Purchaser contained in this Agreement.~~

3.3 Representations and Warranties of the Purchaser. As a material inducement to the Vendors' entering into this Agreement and completing the transactions contemplated by this Agreement and acknowledging that the Vendors are entering into this Agreement in reliance upon the representations and warranties of the Purchaser set out in this Section 3.3, the Purchaser represents and warrants to the Vendors as follows:²⁹³⁰

(1) *Incorporation and Corporate Power.* The Purchaser is a corporation incorporated, organized and subsisting under the laws of the jurisdiction of its incorporation. The Purchaser has the corporate power, authority and capacity to execute and deliver this Agreement and all other agreements and instruments to be executed by it as contemplated herein and to perform its obligations under this Agreement and under all such other agreements and instruments.

(2) *Authorization by Purchaser.* The execution and delivery of this Agreement and all other agreements and instruments to be executed by it as contemplated herein and the completion of the transactions contemplated by this Agreement and all such other agreements and instruments have been duly authorized by all necessary corporate action on the part of the Purchaser.

(3) *Enforceability of Obligations.* This Agreement constitutes a valid and binding obligation of the Purchaser enforceable against the Purchaser in accordance with its terms subject ~~only to any limitation under Applicable Laws relating to (i) limitations on enforcement imposed by~~ bankruptcy, winding up, insolvency, ~~arrangement, fraudulent preference and conveyance, assignment and preference and other similar Laws of general application~~ reorganization or other laws affecting the enforcement of the rights of creditors' rights, and others and ~~(ii) to the discretion~~ extent that a court may exercise in the granting of equitable remedies such as specific performance and injunctions are only available in the discretion of the court from which they are sought. There is no Legal Proceeding in progress, pending, or, to the knowledge of the Purchaser, Threatened against or affecting the Purchaser, commenced and there is no Order outstanding against or affecting the Purchaser which, in any such case, affects adversely or might affect adversely the ability of the Purchaser to enter into this Agreement or to perform its obligations hereunder.

(4) *Absence of Conflicting Agreements.* The execution, delivery and performance of this Agreement and all other agreements and instruments to be executed as contemplated herein by the Purchaser do not result in or constitute:

²⁹ **Note to Purchaser:** Purchaser representations and warranties remain subject review based on Vendors' ongoing diligence.

³⁰ **Note to Vendors:** Purchaser representations and warranties, and associated indemnification thresholds and caps, remain subject to ongoing review by EQB, including having regard to the nature of the minority interest in a public company that will be held by the Vendors and absence of R&W insurance coverage.

- (a) a default, breach or violation or an event that, with notice or lapse of time or both, would be a default, breach or violation of any of the terms, conditions or provisions of the articles or by-laws of the Purchaser;
- (b) result in a breach of any material contract to which Purchaser is a party or by which any of Purchaser's assets or properties are bound; or
- (c) the violation of any Applicable Law,

except in each case, as would not have a Purchaser Material Adverse Change.

(5) *Legal Proceedings and Orders.* Except as set forth in the Purchaser Filings, there are no material Legal Proceeding in progress, pending or, to the knowledge of the Purchaser, Threatened against or affecting the Purchaser, its subsidiaries or any of their respective officers or directors in their capacity as such, or any of their respective properties or assets or title thereto. Except as set forth in the Purchaser Filings, there is no material Order outstanding against or affecting the Purchaser, its subsidiaries or any of their respective properties or assets. There are no internal investigations or inquiries being conducted by the Purchaser, its subsidiaries or any third party at the request of any of the foregoing concerning any material financial, accounting, Tax, conflict of interest, illegal activity, fraudulent or deceptive conduct or other misfeasance or malfeasance issues.

(6) *Consideration Shares.*

- (a) The Purchaser Consideration Shares to be issued to the Vendors on the Closing Date pursuant to this Agreement will be validly issued and outstanding as of the Closing as fully paid and non-assessable shares in the capital of the Purchaser.
- (b) As of the Closing, the TSX will have conditionally approved the listing and posting for trading of the Purchaser Consideration Shares pursuant to the Exchange Approval.
- (c) The issue and sale of the Purchaser Consideration Shares pursuant to this Agreement will be exempt from the prospectus requirements of applicable Securities Legislation.

(7) *Purchase Price.* None of the funds that form the [cash portion of the](#) Purchase Price have been derived from proceeds of crime, as defined in the *Criminal Code* (Canada).

(8) *Compliance with Applicable Law.*

- (a) The Purchaser and each of its subsidiaries is conducting and has, at all times since the date that is three years prior to the date of this Agreement, complied, in all material respects, with all Applicable Laws affecting its businesses, assets and properties.
- (b) Neither the Purchaser nor any of its subsidiaries has received written notice since the date that is three years prior to the date of this Agreement that any material governmental, judicial or regulatory examination, investigation, injunction, enforcement or disciplinary proceeding concerning the Purchaser, its subsidiaries or, [to the knowledge of the Purchaser](#), any of their respective

employees or agents has been made or is ongoing or pending, and to the ~~Vendors~~Purchaser's knowledge, none is ~~threatened~~Threatened or contemplated.

- (c) Neither the Purchaser nor any of its subsidiaries has received written notice since the date that is three years prior to the date of this Agreement from any Governmental Authority that it is in material violation of or alleges any material non-compliance with any Applicable Law or any Order. To the Purchaser's knowledge, there are no circumstances which currently exist that are reasonably likely to give rise to any such notice.

(9) *Compliance with Anti-Corruption Laws.* Neither the Purchaser, its subsidiaries or any of their respective Representatives or joint venture partners, in carrying out or representing its business anywhere in the world, have, at all times since the date that is three years prior to the date of this Agreement, violated in any material respect the *Corruption of Foreign Public Officials Act* (Canada), the U.S. *Foreign Corrupt Practices Act*, the U.K. *Bribery Act 2010*, or the anti-corruption laws of any other jurisdiction where its business is carried on.

(10) *Anti-Money Laundering.* For three years prior to the date of this Agreement, all accounts opened by the Purchaser and its subsidiaries in respect of its products and services (including deposit accounts, registered accounts, card accounts, and mortgage accounts) have been opened and maintained in compliance with applicable Anti-Money Laundering Laws in all material respects, including with respect to material compliance with all applicable know-your-client and identity verification requirements. The identity of each accountholder has been confirmed in accordance with the applicable requirements of the Anti-Money Laundering Laws in all material respects and, to the knowledge of the Purchaser, the information used to verify identity was valid and current at the time that the accountholder's identity was verified.

(11) *Public and Regulatory Filings.* The Purchaser is (i) a "reporting issuer" in each of the provinces and territories of Canada, (ii) is in compliance, in all material respects, with Securities Legislation of such provinces and territories and the applicable rules and regulations of the TSX, and (iii) as of the date hereof, is not on the list of defaulting reporting issuers maintained by Securities Regulators.

(12) *Books and Records.* Since January 1, 2023, all accounting and financial books and records (i) have been maintained in all material respects in accordance with IFRS, (ii) are stated in reasonable detail, (iii) accurately and fairly reflect all the material transactions, acquisitions and dispositions of the Purchaser and its subsidiaries, and (iv) accurately and fairly reflect the basis of the Purchaser's financial statements.

(13) *Financial Statements.* The Purchaser's audited consolidated financial statements as at and for the fiscal years ended October 31, 2024 and 2023 (including the notes thereto, the auditor's report thereon and the related management's discussion and analysis) and the unaudited consolidated interim financial statements as at and for the three and nine months ended July 31, 2025 and 2024 (including any of the notes thereto and the related management's discussion and analysis), included in the Purchaser Filings: (i) were prepared in all material respects in accordance with IFRS, and (ii) fairly present, in all material respects, the financial position of the Purchaser and its subsidiaries on a consolidated basis as at the respective dates thereof and the revenues, results of operations, changes in shareholders' equity and cash flow of the Purchaser and its subsidiaries on a consolidated basis for the respective periods covered thereby or as the respective dates therein set forth (except as may

be indicated in the notes to such financial statements and, in the case of unaudited quarterly financial statements, to normal year-end adjustments).

(14) *Authorized and Issued Capital and Loan Capital.*

- (a) The authorized capital of the Purchaser consists of an unlimited number of Purchaser Shares, of which, as at the date of this Agreement, approximately **[38,311,000]** Purchaser Shares have been duly issued and are outstanding as fully paid and non-assessable. The Purchaser Shares are listed and posted for trading on the TSX.
- (b) There are no shareholders' agreements governing the affairs of the Purchaser or the relationship, rights and duties of its respective shareholders, nor are there any voting trusts, rights plans, pooling arrangements or other similar agreements with respect to the ownership or voting of any shares of the Purchaser. Except as set forth in the Purchaser Filings, there are no rights, subscriptions, warrants, options, conversion rights, calls, commitments or plans or agreements of any kind outstanding which would enable any Person to purchase or otherwise acquire any shares or other securities of the Purchaser including, without limitation, any securities convertible into or exchangeable or exercisable for shares or other securities of the Purchaser. Except as set forth in the Purchaser Filings, there are no outstanding or authorized equity appreciation, phantom stock, profit participation or similar rights with respect to the Purchaser.
- (c) All of the issued and outstanding shares in the capital of the Purchaser have been issued in compliance with Applicable Law and the constating documents of the Purchaser. None of the issued and outstanding shares of the Purchaser were issued in violation of any applicable purchase option, call option, right of first refusal, pre-emptive right, subscription right or any similar right under any Contract.
- (d) The Purchaser and each of its subsidiaries comply in all material respects with the requirements of Applicable Law with respect to capital and liquidity adequacy and its policies with respect to capital and liquidity adequacy which have been made available to the Vendors.

(15) *Regulatory Approvals.* Other than the Competition Act Approval, the Bank Act Approval, the Exchange Approval, and as set forth on Schedule 3.3(15) of the Disclosure Letter, no ~~material~~ Regulatory Approval or filing with any Governmental Authority is required to be obtained or made by the Purchaser in connection with the execution and delivery of, and performance by the Purchaser of its obligations under this Agreement or the agreements and instruments to be executed by it as contemplated herein.

(16) *No Purchaser Material Adverse Change.* Since the balance sheet date of the most recent annual financial statements of the Purchaser, there has been no Purchaser Material Adverse Change.

(17) *ICA.* The Purchaser is not a "non-Canadian" within the meaning of the ICA.

(18) *Brokers.* Except as set forth in Schedule 3.3(18) of the Disclosure Letter, no broker, finder or investment banker is entitled to any brokerage, finder's or other fee or

commission from the Purchaser or any of the Purchaser's Affiliates in connection with the transactions contemplated by this Agreement.

(19) *Purchaser Status.* The Purchaser is a "taxable Canadian corporation" for purposes of the ITA.

~~(20) — Intellectual Property.~~

~~(a) — Except as would not be material to the business, the Owned Intellectual Property and the Licensed-In Intellectual Property constitute all of the Intellectual Property (including Software) used and otherwise exploited by the Purchaser and its subsidiaries in, and all of the Intellectual Property (including Software) required for the operation of, its business as now conducted. Except as would not be material to the business, the Purchaser has sufficient rights to use and otherwise exploit the Owned Intellectual Property and the Licensed-In Intellectual Property used in the operation of its business as now conducted.~~

~~(b) — Except as would not be material to the business, no Intellectual Property of any Person has been, or is, infringed, misappropriated or otherwise violated by the (i) operation of the Purchaser's business, (ii) the Purchaser's advertisement or performance of services, or (iii) the Purchaser's access, use, practice, enjoyment or exploitation of their Intellectual Property.~~

~~(c) — Except as disclosed in Section 3.3(5) or as would not be material to the business, there is no Legal Proceeding, in progress, pending or Threatened, alleging the infringement, misappropriation or other violation of any Owned Intellectual Property anywhere in the world and the Purchaser is not aware of any fact, matter or circumstance which might result in any such Legal Proceeding which could constitute a bona fide claim for any such infringement, misappropriation or other violation.~~

(20) ~~(21)~~ Purchaser IT Systems.³¹

(a) ~~The~~[The Purchaser IT Systems function, operate, process and compute in accordance with all Applicable Laws, industry standards and trade practices in all material respects. The Purchaser IT Systems operate and perform in all material respects in accordance with their documentation and functional specifications and, with respect to tangible Purchaser IT Systems, are, in all material respects, in good operating condition and good repair, reasonable wear and tear excepted. The Purchaser IT Systems have not, to the knowledge of the Purchaser, materially malfunctioned or failed, and the data which the Purchaser IT Systems process has not, to the knowledge of the Purchaser, been corrupted or lost to any material extent, within the past three years. There are, to the knowledge of the Purchaser, no material deficiencies or defects in the ~~IT Systems~~.

³¹ Note to Vendor: IT reps, as revised above, more appropriately belong in the Program Participation Agreement. We have left them in this draft of the SPA to more easily identify our proposed changes, but would anticipate them moving to the Program Participation Agreement in the next turn of both documents.

~~(b) The Purchaser owns, or pursuant to a current, valid, written agreement, has the right to use, each element of the IT Systems in all material respects. The use in the ordinary course of Purchaser's business any Software licensed to Purchaser does not exceed the scope of any rights granted to it with respect thereto in any material respect, including any applicable limitation upon the usage, type or number of licenses, users, hardware, time, services, or systems. All elements of the IT Systems have been maintained in a commercially reasonable manner, and all tangible IT Systems are in good operating condition and in good repair in all material respects~~Purchaser IT Systems.

(b) ~~(c) The Purchaser maintains commercially reasonable disaster recovery and business continuity plans, procedures and facilities in connection with the operation of the business of the Purchaser that provides for the business continuity of the business of the Purchaser, act in compliance therewith and have taken commercially reasonable steps to test on a periodic basis, and such plans and procedures have been proven effective upon such testing in all material aspects.~~

(c) ~~(d) The Purchaser has implemented commercially reasonable tools and procedures to protect the~~ Purchaser IT Systems from, and the Purchaser IT Systems are, to the knowledge of the Purchaser free of, any Malicious Code.

(d) ~~(e) The Purchaser has deployed commercially reasonable encryption for storage and transmission of Personal Information and sensitive Business Data with respect to all IT Systems, which is consistent with the standards deployed in the industry by companies in the same industries in which the Purchaser's business operates. The Purchaser has, or has caused to be, conducted security assessments and tests of the~~ Purchaser IT Systems on a regular basis to test the Purchaser IT Systems for vulnerabilities and cyber threats, and no material vulnerabilities or cyber threats have been identified ~~that have not been remediated~~ as a result of such assessments and tests that have not been remediated in all material respects.]

(21) ~~(22) Tax Matters.~~ ³²

(a) The Purchaser and its Affiliates have prepared and filed when due with each relevant Governmental Authority all material Tax Returns required to be filed by or on behalf of it in respect of any Taxes. All such Tax Returns are correct and complete in all material respects, and no material fact has been omitted therefrom. No extension of time in which to file any such Tax Returns is in effect. No Governmental Authority has asserted that the Purchaser or it Affiliates ~~is~~are required to file Tax Returns or pay any Taxes in any jurisdiction where it does not do so.

(b) The Purchaser and its Affiliates have paid in full and when due all Taxes required to be paid by it, that have become due and payable by it within the time required

³² Note to Vendor: Representation remains under review by Purchaser.

by Applicable Law, ~~including all assessments and reassessments received in respect of Taxes.~~

- (c) No assessments or reassessments of the Taxes of the Purchaser or its Affiliates are currently the subject of an objection or appeal, no audit by any Governmental Authority of the Purchaser or its Affiliates is currently ongoing and there are no outstanding issues which have been raised and communicated to the Purchaser or its Affiliates by any Governmental Authority. None of the Purchaser or its Affiliates have received any indication in writing from any Governmental Authority that an audit, assessment or reassessment of the Purchaser or its Affiliates is proposed in respect of any Taxes, regardless of its merits. Neither the Purchaser nor its Affiliates have executed or filed with any Governmental Authority any agreement or waiver extending the period for assessment, reassessment or collection of any Taxes.
- (d) Neither the Purchaser nor its Affiliates have ever had an obligation to file an information return pursuant to (i) sections 237.3, 237.4 or 237.5 of the ITA, or (ii) sections 1079.8.5 or 1079.8.6 of the Taxation Act (Quebec).

~~(23) — Employment Matters and Purchaser Plans.~~

- ~~(a) — The Purchaser is in compliance with all Applicable Laws respecting employment and labour in all material respects, including Applicable Laws in respect of employment and labour standards, terms and conditions of employment, classification, wages and hours, occupational health and safety, human rights, accessibility, pay transparency, immigration, language, labour relations, employment equity, pay equity and workers' compensation. The Purchaser is not a party to any material Legal Proceeding under any such Applicable Law relating to its employees or independent contractors or former employees or independent contractors or any complaint regarding any alleged unfair labour practice.~~
- ~~(b) — The Purchaser is not a party to or bound by any Collective Agreement in respect of or affecting the employees of the Purchaser. The Purchaser is not subject to any union organization effort, nor has there been any such effort in the last three years. To the knowledge of the Purchaser, there is no strike, labour dispute, work slow down or stoppage pending or Threatened against the Purchaser nor has there been any such strike, labour dispute, work slow down or stoppage within the last three years.~~
- ~~(c) — The Purchaser Filings describe all material Employee Plans maintained or contributed to or required to be contributed to by the Purchaser for the benefit of the employees of the Purchaser and their respective dependants or beneficiaries or with respect to which the Purchaser participates or has any actual or potential liability or obligations, other than Statutory Plans (collectively, the "**Purchaser Plans**"). None of the Purchaser Plans is a Pension Plan or provides post-retirement benefits to or in respect of the employees or any former employees of the Purchaser (or any of their dependants or beneficiaries).~~
- ~~(d) — All of the Purchaser Plans have been established, registered (where required), funded, invested and administered in accordance with all Applicable Laws and the terms of such Purchaser Plans in all material respects. To the knowledge of~~

~~the Purchaser, no Purchaser Plan is subject to any pending, Threatened or anticipated material investigation, examination or other Legal Proceeding (other than routine claims for benefits).~~

~~(e) The execution of this Agreement and the completion of the transactions contemplated hereby will not (either alone or in conjunction with any subsequent events) result in (i) any retention, change of control, golden parachute, bonus or similar payment to any employee of the Purchaser (other than salaries, wages or bonuses paid or payable in the ordinary course and consistent with the Purchaser's past practice in accordance with current compensation levels and practices); or (ii) any payment (whether of severance pay or otherwise) becoming due under any Purchaser Plan, the acceleration of payment or vesting of any benefits under any Purchaser Plan, or increase in benefits under any Purchaser Plan, in each case, with respect to any employee or former employee of the Purchaser or their beneficiaries.~~

~~(22)~~ ~~(24)~~ *Provision of Certain Regulatory Information.* The Purchaser's subsidiary, Equitable Bank, waived OSFI's duty of confidentiality and authorized OSFI to share "prescribed supervisory information" (as defined in Section 1(1) of the *Supervisory Information (Banks) Regulations*) relating to Equitable Bank and its subsidiaries with the Vendors. Other than "prescribed supervisory information", the Purchaser has provided to the Vendors all material banking regulatory materials that a reasonable ~~purchaser~~investor would expect to receive in connection with the acquisition of an indirect minority interest in a financial institution.

~~(25) Representation and Warranty Policy.~~ A true, correct and complete copy of the Representation and Warranty Policy is set forth in Exhibit 3.3(25), which policy is in full force. Purchaser has obtained and paid for a written commitment from the insurer of the Representation and Warranty Policy to, subject to the terms and conditions set forth therein, fully bind the Representation and Warranty Policy, effective as of the date hereof. The Representation and Warranty Policy acknowledges that (A) the insurer of the Representation and Warranty Policy has no right of subrogation or any recourse against the Vendors, or any of their respective Affiliates or Representatives, other than in the case of fraud committed by the Vendors in the making of their respective representations and warranties hereunder and (B) Vendors are express third party beneficiaries under the Representation and Warranty Policy to the extent of, and have a right of enforcement under, the terms prohibiting the insurer of the Representation and Warranty Policy from pursuing claims against Vendors, as described in the foregoing clause (A).

~~(26) Knowledge of Breach.~~ Without making specific inquiry into any matter, the Purchaser represents that as of the date hereof it has no actual knowledge (it being understood that the presence of a document in the Data Room shall not, in and of itself, be deemed to impute knowledge to the Purchaser) of a breach of or inaccuracy in any representation or warranty of the Vendors contained in this Agreement owned by a public company.

ARTICLE 4 CLOSING ARRANGEMENTS

4.1 **Closing.** The Closing shall take place on the Closing Date electronically at such time on the Closing Date as may be agreed orally or in writing by the Vendors and the Purchaser. For purposes of allocation of expenses, adjustments, and other financial effects of the transactions contemplated hereby, the Closing shall be deemed to have occurred at the

Measurement Time. For all other purposes, including passage of title and risk of loss, the effective time shall be at the Closing.

4.2 **Vendors' Closing Deliveries.**³⁰³³ At the Closing, the Vendors shall deliver or cause to be delivered to the Purchaser the following documents:

- (a) certificates representing the Shares, together with share transfer forms duly executed by the applicable Vendor;
- (b) the minute books, share certificate books and corporate seal (or equivalent documents), as applicable, of each Acquired Entity and Eagle, provided that delivery may be satisfied by causing each Acquired Entity and Eagle to retain the minute books, share certificate books and corporate seal (or equivalent documents), as applicable;
- (c) the certificate referred to in Sections 5.1(1) and 5.1(2);
- (d) a certificate, duly executed by the PCB Vendor, certifying that the CET1 Capital Ratio as at the Closing Date is equal to or greater than the CET1 Capital Ratio Threshold;
- (e) the written resignation of each director and officer of each Acquired Entity designated by the Purchaser and a release of all claims against the applicable Acquired Entity by each such director and officer, in form and substance satisfactory to the Purchaser, acting reasonably;
- (f) a release of claims against each Acquired Entity and Eagle by the Vendors, in form and substance satisfactory to the Purchaser, acting reasonably;
- (g) a certificate of status, compliance, good standing or like certificate with respect to each Vendor and the Acquired Entities issued by appropriate government officials of their respective jurisdictions of incorporation, if available in such jurisdiction;
- (h) true and complete copies of all corporate authorizations and resolutions of each Vendor authorizing the execution, delivery and performance of this Agreement and each other document to be entered into pursuant to this Agreement and the consummation of the transactions contemplated hereby and thereby;
- (i) true and complete copies of all corporate authorizations and resolutions of each ~~Vendor~~ applicable Acquired Entity authorizing the sale of the applicable Shares to the Purchaser;
- (j) evidence in form satisfactory to the Purchaser, acting reasonably, that each of the intercompany arrangements listed in Schedule 3.2(26) of the Disclosure Letter has been terminated;³⁴

³⁰³³ **Note to Vendor:** Subject to ongoing due diligence.

³⁴ **Note to Vendors:** Purchaser assumes that Schedule 3.2(26) will include all of the Premises Leases, such that no Acquired Entity will have any obligations or liabilities under the Premises Leases following Closing. Post-closing arrangements in respect of the Pavilions are to be set out in the license agreement contemplated by the Program Participation Agreement.

- (k) the Program Participation Agreement, duly executed by [●];
- (l) the Investor Rights Agreement, duly executed by each of the PCB Vendor and, if applicable, the PCFI Vendor and the GRE Vendor;
- (m) the Transition Services Agreement, duly executed by the applicable Vendors; and
- (n) the Insurance Support Agreement, duly executed by the applicable Vendors; ~~and~~
- ~~(o) [the amendments to the Securitization Contracts described in Schedule 4.2(o) of the Disclosure Letter, in form and substance satisfactory to the Purchaser, acting reasonably.]³¹~~

4.3 **Purchaser's Closing Deliveries.** At the Closing, the Purchaser shall deliver or cause to be delivered to the Vendors the following documents and payments:

- (a) the certificate referred to in Sections 5.3(1) and 5.3(2);
- (b) true and complete copies of all corporate authorizations and resolutions of the Purchaser authorising the execution, delivery and performance of this Agreement and each other document to be entered into pursuant to this Agreement and the consummation of the transactions contemplated hereby and thereby;
- (c) the cash payment referred to in Section 2.4;
- (d) a copy of the TSX's conditional approval letter, evidencing the Exchange Approval;
- (e) evidence that the Purchaser Consideration Shares have been issued to or at the direction of the Vendors in accordance with this Agreement;
- (f) a release of all claims of each director and officer of each Acquired Entity by Purchaser and each such Acquired Entity, subject to customary exclusions and otherwise in form and substance satisfactory to the Vendors, ~~acting reasonably~~;
- ~~(g) a release of claims against each Vendor by and the Purchaser, in form and substance satisfactory to the Vendors, acting reasonably;~~
- (g) ~~(h)~~ the Program Participation Agreement, duly executed by [●];
- (h) ~~(i)~~ the Investor Rights Agreement duly executed by the Purchaser;
- (i) ~~(j)~~ a true and complete copy of the Representation and Warranty Policy;
- (j) ~~(k)~~ the Transition Services Agreement duly executed by the Purchaser; and

³¹ ~~Note to Purchaser: To be further discussed.~~

| (k) ~~(j)~~ the Insurance Support Agreement duly executed by the Purchaser.

ARTICLE 5 CONDITIONS OF CLOSING

5.1 **Purchaser's Conditions.** The Purchaser shall not be obligated to complete the transactions contemplated by this Agreement, including the purchase of the Shares, unless, at or before the Closing Time, each of the conditions listed below in this Section 5.1 has been satisfied, it being understood that the said conditions are included for the exclusive benefit of the Purchaser. The Vendors shall take all such actions, steps and proceedings as are reasonably within ~~its~~their control as may be necessary to ensure that the conditions listed below in this Section 5.1 are fulfilled at or before the Closing Time.

(1) *Representations and Warranties.* The Vendor Fundamental Representations shall be true and correct in all respects (except for *de minimis* inaccuracies) as of date hereof and as of the Closing as if made at the Closing (other than those representations and warranties made as of a specific date, which shall be true and correct as of such date). The representations and warranties of the Vendors in Section 3.1 and Section 3.2 that are not Vendor Fundamental Representations shall be true and correct as of the date hereof and as of the Closing as if made at of the Closing (other than those representations and warranties made as of a specific date, which shall be true and correct as of such date), except to the extent that the failure or failures of such representations and warranties to be so true and correct, individually or in the aggregate, would not have a Material Adverse Change (disregarding for this purpose any materiality or material adverse effect qualifications in such representations and warranties); and each Vendor shall have executed and delivered to the Purchaser a certificate to that effect.

(2) *Performance of Covenants.* The Vendors shall have performed and complied in all material respects with all of the covenants and agreements required to, on ~~its~~their part, be performed or complied with under this Agreement at or before the Closing; and the Vendors shall have executed and delivered to the Purchaser a certificate to that effect.

(3) *Material Adverse Change.* During the Interim Period, no Material Adverse Change shall have occurred.

(4) *No Litigation.* During the Interim Period, there shall have been no Order (whether temporary, preliminary or permanent) made or any Legal Proceedings commenced or Threatened that has not been resolved: (a) against the Acquired Entities, Eagle or any Party or against any of their respective Affiliates or any of their respective directors or officers, for the purpose of enjoining, prohibiting, preventing or restraining, temporarily or permanently, the completion of the transactions contemplated by this Agreement; or (b) against the Acquired Entities, Eagle or any Party or against any of their respective Affiliates or any of their respective directors or officers which in the result, would reasonably be expected to adversely affect the right of the Purchaser to acquire or retain the Shares or prevent the Acquired Entities from operating the Business after Closing (including the securitization arrangements under the Securitization Contracts) in substantially the same manner in which it was operated prior to Closing.

(5) *No Law.* During the Interim Period, no Governmental Authority shall have enacted, issued or promulgated any Law which has the effect of (i) making any of the

transactions contemplated by this Agreement illegal, or (ii) otherwise prohibiting, preventing or restraining the consummation of any of the transactions contemplated by this Agreement.

(6) *Regulatory Approvals.* Each of the Competition Act Approval ~~and~~, the Bank Act Approval and the Regulatory Approvals set out in Schedule 3.1(9) of the Disclosure Letter shall have been obtained and remain in effect as at Closing.

(7) *Closing Deliverables.* The Vendors shall have delivered to the Purchaser all documents and deliveries set forth in Section 4.2.

5.2 Condition Not Fulfilled. If any condition in Section 5.1 has not been fulfilled at or before the Closing Time or if any such condition is, or becomes, impossible to satisfy prior to the Closing Time, other than as a result of the failure of the Purchaser to comply with its obligations under this Agreement, then the Purchaser in its sole discretion may, without limiting any rights to indemnification hereunder, either:

- (a) terminate this Agreement by written notice to the Vendors, as provided in Section 8.1; or
- (b) waive compliance with any such condition without prejudice to its right of termination in the event of non-fulfilment of any other condition.

5.3 Vendors' Conditions. The Vendors shall not be obligated to complete the transactions contemplated by this Agreement unless, at or before the Closing Time, each of the conditions listed below in this Section 5.3 has been satisfied, it being understood that the said conditions are included for the exclusive benefit of the Vendors. The Purchaser shall take all such actions, steps and proceedings as are reasonably within the Purchaser's control as may be necessary to ensure that the conditions listed below in this Section 5.3 are fulfilled at or before the Closing Time.

(1) *Representations and Warranties.* The Purchaser Fundamental Representations shall be true and correct in all respects (except for *de minimis* inaccuracies) as of date hereof and as of the Closing as if made at the Closing (other than those representations and warranties made as of a specific date, which shall be true and correct as of such date). The representations and warranties of the Purchaser in Section 3.3 that are not Purchaser Fundamental Representations shall be true and correct as of the date hereof and as of the Closing as if made at of the Closing (other than those representations and warranties made as of a specific date, which shall be true and correct as of such date), except to the extent that the failure or failures of such representations and warranties to be so true and correct, individually or in the aggregate, would not have a Purchaser Material Adverse Change (disregarding for this purpose any materiality or material adverse effect qualifications in such representations and warranties); and the Purchaser shall have executed and delivered to the Vendors a certificate to that effect.

(2) *Purchaser's Compliance and Deliverables.* The Purchaser shall have performed and complied in all material respects with all of the covenants and agreements required to, on its part, be performed or complied with under this Agreement at or before the Closing; and the Purchaser shall have executed and delivered to the Vendors a certificate to that effect.

(3) *No Litigation.* During the Interim Period, there shall have been no Order (whether temporary, preliminary or permanent) made or any Legal Proceedings commenced or

Threatened that has not been resolved against any Acquired Entity or any Party or against any of their respective Affiliates or any of their respective directors or officers, for the purpose of enjoining, prohibiting, preventing or restraining, temporarily or permanently, the completion of the transactions contemplated by this Agreement.

(4) *Material Adverse Change.* During the Interim Period, no Purchaser Material Adverse Change shall have occurred.

(5) *Intervening Event.* During the Interim Period, no Intervening Event shall have occurred.

(6) *No Law.* During the Interim Period, no Governmental Authority shall have enacted, issued or promulgated any Law which has the effect of (a) making any of the transactions contemplated by this Agreement illegal, or (b) otherwise prohibiting, preventing or restraining the consummation of any of the transactions contemplated by this Agreement.

(7) *Regulatory Approvals.* Each of the Competition Act Approval ~~and~~, the Bank Act Approval and the Regulatory Approvals set out in Schedule 3.1(9) of the Disclosure Letter shall have been obtained and remain in effect as of Closing.

(8) *Closing Deliverables.* The Purchaser shall have delivered to the Vendors all documents and deliveries set forth in Section 4.3.

5.4 **Condition Not Fulfilled.** If any condition in Section 5.3 has not been fulfilled at or before the Closing Time or if any such condition is, or becomes, impossible to satisfy prior to the Closing Time, other than as a result of the failure of the Vendors to comply with ~~its~~their obligations under this Agreement, then the Vendors in ~~its~~their sole discretion may, without limiting any rights to indemnification hereunder, either:

- (a) terminate this Agreement by written notice to the Purchaser as provided in Section 8.1; or
- (b) waive compliance with any such condition without prejudice to its right of termination in the event of non-fulfilment of any other condition.

ARTICLE 6 INDEMNIFICATION³²³⁵

6.1 **Survival.** Subject to Section 6.5, all provisions of this Agreement and of any other agreement, certificate or instrument delivered pursuant to this Agreement, other than the conditions in Article 5 hereof, shall not merge on Closing but shall survive the execution, delivery and performance of this Agreement, the Closing and the execution and delivery of any transfer documents or other documents of title to the Shares and all other agreements, certificates and instruments delivered pursuant to this Agreement and the payment of the consideration for the Shares.

6.2 **Indemnity by the Vendors.** The Vendors shall, jointly and ~~not~~ severally, indemnify the Purchaser's Indemnified Parties and save them fully harmless against, and will reimburse them for, any Damages arising from, in connection with or related to:

- (a) any incorrectness in or breach of any representation or warranty of the Vendors contained in Section 3.1 or Section 3.2 or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement by the Vendors or with respect to the Acquired Entities or Eagle, other than the Program Participation Agreement, Investor Rights Agreement, Transition Services Agreement and Insurance Support Agreement;
- (b) any breach or any non-fulfilment of any covenant or agreement (including, for greater certainty, in Section 7.7(6) or in Section 7.7) on the part of the Vendors contained in this Agreement or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement, other than the Program Participation Agreement, Investor Rights Agreement, Transition Services Agreement and Insurance Support Agreement;
- (c) any Taxes which may be suffered or incurred by any of the Purchaser's Indemnified Parties as a result of, or arising out of, in connection with, or related to any Taxes required to be paid by any Acquired Entity in respect of a Pre-Closing Tax Period or in respect of the portion of a Straddle Period ending immediately prior to the Closing, except to the extent such Taxes were specifically taken into account in calculating the Purchase Price ("**Indemnified Taxes**");
- (d) any NITCs claimed in a Pre-Closing Tax Period or in respect of the portion of a Straddle Period ending immediately prior to the Closing;
- (e) any amount of input tax credits claimed in a Pre-Closing Tax Period or in respect of the portion of a Straddle Period ending immediately prior to the Closing where the approved methodology under subsection 141.01(20) of the Excise Tax Act (Canada) is not followed by either an Acquired Entity, or by the Canada Revenue Agency;

³²³⁵ **Note to Vendor:** Indemnification provisions remain subject to ongoing tax review, due diligence and specific exclusions proposed by the R&W insurer.

- (f) any Taxes that are the subject of the information return RC3133E "Reportable Uncertain Tax Treatments Information Return (2023 and later tax years)" for taxation years that begin after 2022, to the extent such Taxes are not taken into account in calculating the Purchase Price;
- (g) any Taxes required to be paid by PCB in respect of a Pre-Closing Tax Period arising in connection with the computation of "foreign accrual property income" (as defined in the ITA) with respect to its interest in WRE;
- (h) any Taxes required to be paid by any Acquired Entity in respect of a Pre-Closing Tax Period arising in connection with a loan loss provision (including any reserve claimed pursuant to subparagraph 20(1)(l)(ii) of the ITA);
- (i) ~~(d) any amount of the NITC Receivable that is finally determined (and to which determination the Vendors acquiesce or from which there is no further right to object or appeal) not to be payable or creditable by a relevant Governmental Authority~~ the Specified Matters³⁶; and
- (j) ~~(e)~~ the Pre-Closing Reorganization.

The waiver of any condition based upon the accuracy of any representation and warranty or the performance of any covenant shall not affect the right to indemnification, reimbursement or other remedy based upon such representation, warranty or covenant. The Vendors shall not have any right of indemnification, contribution or subrogation against the Acquired Entities, the Purchaser or any of their respective Affiliates with respect to any indemnification payment made by or on behalf of the Vendor under this Article 6.

6.3 Indemnity by the Purchaser. The Purchaser shall indemnify the Vendors' Indemnified Parties and save them fully harmless against, and will reimburse them for, any Damages arising from, in connection with or related to:

- (a) any incorrectness in or breach of any representation or warranty of the Purchaser contained in Section 3.3 or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement, other than the Program Participation Agreement, Investor Rights Agreement, Transition Services Agreement and Insurance Support Agreement; and
- (b) any breach or non-fulfilment of any covenant or agreement on the part of the Purchaser contained in this Agreement or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement, other than the Program Participation Agreement, Investor Rights Agreement, Transition Services Agreement and Insurance Support Agreement.

The waiver of any condition based upon the accuracy of any representation and warranty or the performance of any covenant shall not affect the right to indemnification, reimbursement or other remedy based upon such representation, warranty or covenant.

³⁶ **Note to Vendors:** Specified Matters to include the Sarah Craig class action litigation and other matters excluded from coverage under the R&W policy.

6.4 **Claim Notice.** If an Indemnified Party becomes aware of any act, omission or state of facts that may give rise to Damages in respect of which a right of indemnification is provided for under this Article 6, the Indemnified Party shall promptly give written notice thereof (a “**Claim Notice**”) to the Indemnifying Party. The Claim Notice shall specify whether the potential Damages arise as a result of a claim by a Person against the Indemnified Party (a “**Third Party Claim**”) or whether the potential Damages arise as a result of a claim directly by the Indemnified Party against the Indemnifying Party (a “**Direct Claim**”), and shall also specify with reasonable particularity (to the extent that the information is available):

- (a) the factual basis for the Direct Claim or Third Party Claim, as the case may be; and
- (b) the amount of the potential Damages arising therefrom, if known.

If, through the fault of the Indemnified Party, the Indemnifying Party does not receive a Claim Notice in time effectively to contest the determination of any liability susceptible of being contested or to assert a right to recover an amount under applicable insurance coverage, then the liability of the Indemnifying Party to the Indemnified Party under this Article 6 shall be reduced only to the extent that Damages are actually incurred by the Indemnifying Party resulting from the Indemnified Party's failure to give the Claim Notice on a timely basis. Nothing in this Section 6.4 shall be construed to affect the time within which a Claim Notice must be delivered pursuant to Sections 6.5(1) and 6.5(2) in order to permit recovery pursuant to Section 6.2 or 6.3 as the case may be. In respect of any Claim Notice concerning Indemnified Taxes, a Purchaser's Indemnified Party shall deliver with its Claim Notice a copy of any assessment, reassessment, notice of confirmation thereof, proposal to assess or reassess, appeal or notification of a similar proceeding, together with all correspondence related to such documents.

6.5 **Time Limits for Claim Notice for Breach of Representations and Warranties.**

(1) *Notice by the Purchaser.* No Damages may be recovered from the Vendors pursuant to Section 6.2(a) unless (subject to the fraud exception below) a Claim Notice is delivered by the Purchaser in accordance with the timing set out below:

- (a) with respect to the Vendor Fundamental Representations, on or before the date that is ~~five~~six (6) years following the Closing Date;
- (b) with respect to the representations and warranties in Sections 3.1(6) and 3.2(28) (the “Vendors Tax Representations”) or a claim for indemnification under Section 6.2(c), (d), (e), (f), (g), (h), and (i) at any time before the date that is ~~45~~sixty (60) days after the relevant Governmental Authorities are no longer entitled to assess or reassess the applicable Acquired Entity in respect of the Taxes in question, having regard, without limitation, to: (i) any waiver given by an Acquired Entity before the Closing Date in respect of such Taxes; and (ii) any entitlement of a Governmental Authority to assess or reassess the Acquired Entities without limitation in the event of fraud or misrepresentation attributable to neglect, carelessness or wilful default;
- ~~(c) with respect to a claim for indemnification under Section 6.2(d), at any time before the date that is 45 days after such indemnifiable portion of the NITC Receivable is finally determined (and to which determination the Vendors~~

~~acquiesce or from which there is no further right to object or appeal) not to be payable or creditable by a relevant Governmental Authority; and~~

- (c) ~~(d)~~ with respect to all other representations and warranties, on or before the date that is twenty-four (24) months following the Closing Date,

provided, however, that in the event of fraud relating to a representation and warranty of the Vendors in this Agreement, then notwithstanding the foregoing time limitations, the Purchaser's Indemnified Parties shall be entitled to deliver a Claim Notice at any time for purposes of such a claim. Unless (subject to the fraud exception above) a Claim Notice has been given in accordance with the timing set out in this Section 6.5(1), with respect to the representations and warranties referred to in any such Section, the Vendors shall be released on the date set out in this Section 6.5(1) from all obligations in respect of representations and warranties referenced in those Sections and from the obligation to indemnify the Purchaser's Indemnified Parties in respect thereof pursuant to Section 6.2(a). This Section 6.5(1) shall not be construed to impose any time limit on the Purchaser's right to assert a claim to recover Damages under Sections 6.2(b) through 6.2(e), whether or not the basis on which such a claim is asserted could also entitle the Purchaser to make a claim for Damages pursuant to Section 6.2(a).

(2) *Notice by the Vendors.* No Damages may be recovered from the Purchaser pursuant to Section 6.3(a) unless a Claim Notice is delivered by the in accordance with the timing set out below:

- (a) with respect to the Purchaser Fundamental Representations, on or before the date that is ~~five~~six (6) years following the Closing Date;
- (b) with respect to the representations and warranties in Sections ~~3.3(19)~~3.2(28) and ~~3.3(22)~~3.3(21) (the "**Purchaser Tax Representations**"), at any time before the date that is ~~45~~sixty (60) days after the relevant Governmental Authorities are no longer entitled to assess or reassess the Purchaser or its Affiliates in respect of the Taxes in question, having regard, without limitation, to: (i) any waiver given by the Purchaser or its Affiliates before the Closing Date in respect of such Taxes; and (ii) any entitlement of a Governmental Authority to assess or reassess the Purchaser or its Affiliates without limitation in the event of fraud or misrepresentation attributable to neglect, carelessness or wilful default; and
- (c) with respect to all other representations and warranties, on or before the date that is twenty-four (24) months following the Closing Date,

provided, however, that in the event of fraud relating to a representation and warranty of the Purchaser in this Agreement, then notwithstanding the foregoing time limitations, the Vendors' Indemnified Parties shall be entitled to deliver a Claim Notice at any time for purposes of such a claim. Unless (subject to the fraud exception above) a Claim Notice has been given in accordance with the timing set out in this Section 6.5(2) with respect to the representations and warranties referred to in such Section, the Purchaser shall be released on the date set out in this Section 6.5(2) from all obligations in respect of the representations and warranties referenced in this Section and from the obligation to indemnify the Vendors' Indemnified Parties in respect thereof pursuant to Section 6.3(a). This Section 6.5(2) shall not be construed to impose any time limit on the Vendors' rights to assert a claim to recover Damages under

Section 6.3(b), whether or not the basis on which such a claim is asserted could also entitle the Vendors to make a claim for Damages pursuant to Section 6.3(a).

6.6 Monetary Limitations.

(1) *Damages from Vendors.* The liability of the Vendors for indemnification pursuant to this Agreement shall be limited as follows:

- (a) No Damages may be recovered from the Vendors pursuant to Sections 6.2(a) ~~or 6.2(e)~~ (other than in respect of Vendors Fundamental Representations or Vendors Tax Representations) unless and until the accumulated aggregate amount of Damages of the Purchaser's Indemnified Parties arising pursuant to ~~Sections~~ Section 6.2(a) ~~or 6.2(e)~~ exceeds 50% of the Retention Amount (the "Deductible"), in which event the ~~Purchaser shall be able to recover 50% of the accumulated aggregate amount of all such Damages from that exceed the first dollar~~ Deductible may be recovered up to a maximum of the Retention Amount (the "**Vendors Indemnity Cap**").
- (b) Notwithstanding the foregoing, the Deductible and the Vendors Indemnity Cap shall have no application to any claim to recover Damages based on: (a) any inaccuracy in or breach of any Vendors Fundamental Representation or Vendors Tax Representation, (b) any inaccuracy in or breach of any other representation or warranty of the Vendors contained in this Agreement (or in any agreement, certificate or instrument executed and delivered pursuant to this Agreement) resulting from fraud by any Vendor; or (b) for greater certainty, any of the indemnities in Sections 6.2(b) ~~, through 6.2(dj) and~~.
- (c) The maximum amount of Damages of the Purchaser's Indemnified Parties that may be recovered from the Vendors pursuant to Section 6.2(e) shall not exceed an amount equal to [15]% of the Purchase Price.
- (d) ~~(e)~~ Notwithstanding any other provision of this Agreement, except in the case of fraud, the maximum aggregate liability hereunder of the Vendors shall not exceed the portion of an amount equal to the Purchase Price ~~satisfied by~~.
- (e) For the payment avoidance of cash ~~doubt~~, nothing in this Section 6.6(1) shall limit or otherwise affect any claim made or available under the Representation and Warranty Policy.

(2) *Damages from Purchaser.* The liability of the Purchaser for indemnification pursuant to this Agreement shall be limited as follows:

- (a) No Damages may be recovered from the Purchaser pursuant to Section 6.3(a) (other than in respect of Purchaser Fundamental Representations or Purchaser Tax Representations) unless and until the accumulated aggregate amount of Damages of the Vendors' Indemnified Parties arising pursuant to Section 6.3(a) exceeds ~~\$~~ 0.25% of the Purchaser Share Consideration Amount (the "**Purchaser Claim Threshold**"), in which event the accumulated aggregate amount of all such Damages that exceed the Purchaser Claim Threshold may be recovered ~~from the first dollar~~.

~~(b) The up to a maximum aggregate amount of Damages of the Vendors' Indemnified Parties that may be recovered from equal to [15]% of the Purchaser to Section 6.3(a) shall not exceed \$■ Share Consideration Amount (the "Purchaser Indemnity Cap").~~

(b) ~~(c)~~ Notwithstanding the foregoing, the Purchaser Claim Threshold and Purchaser Indemnity Cap shall have no application to any claim to recover Damages based on: (a) any inaccuracy or breach of any of the Purchaser Fundamental Representations or ~~any of the representations and warranties in Section 3.3(19) and 3.3(22)~~ Purchaser Tax Representations; (b) any inaccuracy or breach of any other representation or warranty of the Purchaser contained in this Agreement or in any agreement, certificate or instrument executed and delivered pursuant to this Agreement resulting from fraud by the Purchaser; or (c) for greater certainty, the indemnity in Section 6.3(b).

(c) ~~(d)~~ Notwithstanding any other provision of this Agreement, except in the case of fraud, the maximum aggregate liability hereunder of the Purchaser ~~for indemnification hereunder (other than for fraud)~~ shall not exceed an amount equal to the portion of the Purchase Price satisfied by the payment of cash Purchaser Share Consideration Amount.

6.7 ~~Calculation of Damages~~ Materiality Scrape. For the purpose ~~only of~~ determining whether there has been any incorrectness in, or breach of, any representation or warranty, and calculating the amount of Damages under this Article 6, the representations and warranties of the ~~Parties~~ Vendors contained in this Agreement or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement (other than the Program Participation Agreement, Investor Rights Agreement, Transition Services Agreement and Insurance Support Agreement) shall be deemed to have been made without qualifications as to materiality where the words or phrases "material", "immaterial", "in all material respects", or words or phrases of similar import are used, such that the amount of Damages payable to an Indemnified Party is not subject to any deduction in respect of amounts below the level of materiality stated in the relevant representation and warranty. For greater certainty, this Section 6.7 shall not apply to the representations and warranties of the Purchaser contained in this Agreement or in any other agreement, certificate or instrument executed and delivered pursuant to this Agreement.

6.8 Recourse.

(1) *Vendors' Obligations.* The indemnification obligations of the Vendors shall be satisfied solely in cash, subject to the limitations contained in this Article 6.

(2) *Purchaser's Obligations.* The indemnification obligations of the Purchaser shall be satisfied solely in cash, subject to the limitations contained in this Article 6.

6.9 **Duty to Mitigate.** Nothing in this Agreement in any way restricts or limits the general obligation at Law of a Party to mitigate any loss which it may suffer or incur by reason of the breach by another Party of any representation, warranty, covenant or obligation under this Agreement. ~~Purchaser shall take all appropriate steps to enforce recovery under or pursuant to the Representation and Warranty Policy if any claim by a Purchaser for indemnification or~~

~~otherwise under this Agreement can be reduced by any recovery under or pursuant to the Representation and Warranty Policy.~~

6.10 Order of Recovery.

(1) In the event of a claim for indemnification by Purchaser pursuant to Section 6.2(a) or 6.2(c), any Damages payable to Purchaser shall (except in the case of claims based on fraud) be satisfied solely in the following manner (subject to the applicable limitations set forth in this Article 6 and Purchaser's obligations in Section 6.9):

- (a) first, subject to Section 6.6(1)(a), by recourse to the Vendors pursuant to this Article 6 until the Vendor Indemnity Cap has been reached; ~~and~~
- (b) second, by recovery under the Representation and Warranty Policy up until the point at which the coverage under the Representation and Warranty Policy has been exhausted by virtue of the policy limit being exceeded or coverage being denied; and
- (c) third, as permitted by this Article 6, by the Vendors (subject to the applicable limitations set forth in this Article 6).

(2) In the event of a claim for indemnification by Purchaser pursuant to ~~Sections~~Section 6.2(b), ~~or Section~~ 6.2(d) ~~or through~~ 6.2(ej), any Damages payable to Purchaser shall (except in the case of claims based on fraud) be satisfied solely by recourse to the Vendors (subject to the applicable limitations set forth in this Article 6 ~~and Purchaser's obligations in Section 6.9~~).

6.11 **Agency for Non-Parties.** Notwithstanding Section 9.12, each Party hereby accepts each indemnity in favour of each of its Indemnified Parties who are not Parties as agent and trustee of that Indemnified Party. Each Party may enforce an indemnity in favour of any of that Party's Indemnified Parties on behalf of each such Indemnified Party.

6.12 **Direct Claims.** In the case of a Direct Claim, the Indemnifying Party shall have 60 days from receipt of a Claim Notice in respect thereof within which to make such investigation as the Indemnifying Party considers necessary or desirable. For the purpose of such investigation, the Indemnified Party shall make available to the Indemnifying Party the information relied upon by the Indemnified Party to substantiate its right to be indemnified under this Article 6, together with all such other information as the Indemnifying Party may reasonably request. If the Parties fail to agree at or before the expiration of such 60 day period (or any mutually agreed upon extension thereof), the Indemnified Party shall be free to pursue such remedies as may be available to it.

6.13 Third Party Claims.

(1) *Rights of Indemnifying Party.* In the event a Claim Notice is delivered with respect to a Third Party Claim, other than in respect of the NITC Receivable which shall be governed exclusively by Section 7.10, the Indemnifying Party shall have the right, at its expense, to participate in but not control the negotiation, settlement or defence of the Third Party Claim, which control shall rest at all times with the Indemnified Party (except as otherwise described in Section 6.13(4)), unless the Indemnifying Party:

- (a) irrevocably and unconditionally acknowledges in writing complete responsibility for, and agrees to indemnify the Indemnified Party in respect of all Damages relating to, the Third Party Claim; and
- (b) in the case of a Third Party Claim that concerns Indemnified Taxes or any incorrectness in or breach of any representation or warranty contained in Sections 3.1(6) and 3.2(28), complies and continues to comply with its obligations under Section 7.11,

in which case the Indemnifying Party may assume such control at its expense through counsel of its choice; provided, however, that notwithstanding the foregoing, the Indemnifying Party shall not be permitted to assume control of the negotiation, settlement or defence of the Third Party Claim if: (A) such Third Party Claim seeks equitable relief against the Indemnified Party as a primary form of relief; (B) there is a reasonable probability that such Third Party Claim would result in monetary damages or payments in excess of 100% of the amount for which the Indemnifying Party is obligated to indemnify the Indemnified Party pursuant to this Article 6; (C) such Third Party Claim involves criminal liability; (D) such Third Party Claim is by a current material customer or supplier of the Business, the Purchaser or its Affiliates (including for the avoidance of doubt, the Acquired Entities); (E) such Third Party Claim concerns Indemnified Taxes referred to in Section 6.13(4); (F) such Third Party Claim involves a matter for which coverage is available under the Representation and Warranty Policy; (G) a Purchaser's Indemnified Party or the insurer is required to assume the control the negotiation, settlement or defence of such Third Party Claim pursuant to the Representation and Warranty Policy; or ~~(EH)~~ there is a reasonable probability that such Third Party Claim would result in material reputational harm to the Purchaser, the Acquired Entities or any of their Affiliates.

(2) *Respective Rights on Indemnifying Party's Assumption of Control.* If the Indemnifying Party elects to assume control as contemplated in Section 6.13(1), the Indemnifying Party shall reimburse the Indemnified Party for all of the Indemnified Party's out-of-pocket expenses incurred as a result of such assumption. The Indemnified Party shall continue to have the right to participate in the negotiation, settlement or defence of such Third Party Claim and to retain counsel to act on its behalf, provided that the fees and disbursements of such counsel shall be paid by the Indemnified Party unless the Indemnifying Party consents to the retention of such counsel at its expense or unless the named parties to any action or proceeding include both the Indemnifying Party and the Indemnified Party and a representation of both the Indemnifying Party and the Indemnified Party by the same counsel would be inappropriate due to the actual or potential differing interests between them (such as the availability of different defences), in which case the fees and disbursements of such counsel shall be paid by the Indemnifying Party. The Indemnified Party shall co-operate with the Indemnifying Party so as to permit the Indemnifying Party to conduct such negotiation, settlement and defence and for this purpose shall preserve all relevant documents in relation to the Third Party Claim, allow the Indemnifying Party access on reasonable notice to inspect and take copies of all such documents and require its personnel to provide such statements as the Indemnifying Party may reasonably require and to attend and give evidence at any trial or hearing in respect of the Third Party Claim.

(3) *Lack of Reasonable Diligence.* If, having elected to assume control as contemplated by Section 6.13(1), the Indemnifying Party thereafter fails to conduct the negotiation, settlement or defence of the relevant Third Party Claim with reasonable diligence, then the Indemnified Party shall be entitled to assume such control and the Indemnifying Party

shall be bound by the results obtained by the Indemnified Party with respect to such Third Party Claim.

(4) *Joint Control for Certain Tax Claims.* The Vendor and the Purchaser's Indemnified Party shall jointly control and participate in the negotiation, settlement and defence of (a) any Third Party Claim relating to Taxes for any Straddle Period and (b) any Third Party Claim relating partly to Pre-Closing Tax Periods and partly to other tax periods. Neither the Vendor nor the Purchaser's Indemnified Party shall settle any such Third Party Claim without the written consent of the other, which consent shall not be unreasonably withheld or delayed.

(5) *Commercially Necessary Payments Prior to Settlement.* If any Third Party Claim is of a nature such that it is necessary in the reasonable view of the Indemnified Party acting in a manner consistent with reasonable commercial practices, in respect of (A) a Third Party Claim by a customer relating to products or services supplied by the Business or (B) a Third Party Claim relating to any Contract which is necessary to the ongoing operations of the Business or any material part thereof in order to avoid material damage to the relationship between the Indemnified Party and any of its major customers or to preserve the rights of the Indemnified Party under such Contract, to make a payment to any Person (a "**Third Party**") with respect to the Third Party Claim before the completion of settlement negotiations or related Legal Proceedings, as the case may be, then the Indemnified Party may make such payment and the Indemnifying Party shall, promptly after demand by the Indemnified Party, reimburse the Indemnified Party for such payment. If the amount of any liability of the Indemnified Party under the Third Party Claim in respect of which such a payment was made, as finally determined, is less than the amount which was paid by the Indemnifying Party to the Indemnified Party, the Indemnified Party shall, promptly after receipt of the difference from the Third Party, pay the amount of such difference to the Indemnifying Party.

(6) *Compulsory Payments Prior to Settlement.*

- (a) In the case of a Claim Notice concerning an amount of Damages (i) required to be paid by an Indemnified Party under Applicable Law or any Order, or (ii) in respect of which any amount is garnished by a Governmental Authority (each such amount a "**Preliminary Compulsory Payment Amount**"), the Indemnifying Party shall, within 10 days of receipt of the Claim Notice, pay the Indemnified Party an amount equal to the Preliminary Compulsory Payment Amount.
- (b) Upon the occurrence of a Final Compulsory Payment Indemnification Event (if any), (i) if the aggregate of all Preliminary Compulsory Payment Amounts is less than the amount so determined under the Final Determination to be the amount owing (the "**Final Compulsory Payment Amount**"), the Indemnifying Party shall, within 10 days of the time that the Indemnified Party notifies the Indemnifying Party of the occurrence of the Final Compulsory Payment Indemnification Event, pay to the Indemnified Party an amount equal to the difference between the aggregate for all Preliminary Compulsory Payment Amounts and the Final Compulsory Payment Amount, and (ii) if the aggregate of all Preliminary Compulsory Payment Amounts paid by the Indemnifying Party exceeds the Final Compulsory Payment Amount, the Indemnified Party shall within 10 days of the receipt of any related refund or credit, pay to the Indemnifying Party the amount of such refund or credit (including any interest

paid or credited with respect thereto but net of any Taxes payable by the Indemnified Party in respect of such refund, credit or interest).

(7) *Other Rights of Indemnified Party.* If the Indemnifying Party does not, or is not permitted to, assume control of the defence of any Third Party Claim pursuant to Section 6.13(1), the Indemnified Party shall have the exclusive right to contest, settle or pay the amount claimed and the Indemnifying Party shall be bound by the results obtained by the Indemnified Party with respect to such Third Party Claim. Whether or not the Indemnifying Party assumes control of the negotiation, settlement or defence of any Third Party Claim, the Indemnifying Party shall not settle any Third Party Claim without the written consent of the Indemnified Party, which consent shall not be unreasonably withheld or delayed.

6.14 **No-Set-off.** The Purchaser shall ~~not~~ be entitled to set off the amount of any Damages subject to indemnification under this Agreement against any other amounts payable by the Purchaser or its Affiliates to the Vendors or its Affiliates whether under this Agreement or otherwise.

6.15 **No Double Recovery.** An Indemnified Party shall not be entitled to double recovery for the same Damages from the same Indemnifying Party to the extent such Damages have already been recovered and received by such Indemnified Party even though such Damages may have resulted from the breach of more than one representation, warranty or covenant made by such Indemnifying Party in this Agreement. In addition, an Indemnified Party shall not be entitled to recovery of any amounts already factored into the Purchase Price in accordance with this Agreement.

6.16 **Right to Recover.** ~~The~~Subject to Section 6.10, the Indemnifying Party shall make any indemnification payments determined to be payable to the Indemnified Party hereunder without regard to any expectation that the Indemnified Party (including, for this Section 6.16 in the case of the Purchaser, the Acquired Entities) will recover insurance proceeds or other amounts (whether by payment, discount, credit, relief, insurance or otherwise) as a result of the matter giving rise to the claim for which indemnification payments are to be made. The Indemnified Party will use commercially reasonable efforts to promptly seek to recover or make a claim for insurance proceeds as a result of any matter giving rise to an indemnification claim of the Indemnified Party against the Indemnifying Party (including, in the case of the Purchaser's Indemnified Parties, the Representation and Warranty Policy). If the Indemnified Party receives any insurance proceeds as a result of the matter giving rise to any indemnification claim of the Indemnified Party prior to the date upon which the Indemnifying Party is given written notice of the claim, the Indemnifying Party's indemnification obligation with respect to such claim shall be reduced by the amount of any such insurance proceeds actually received by the Indemnified Party, less the amount of any increase in premiums and costs of recovery directly resulting from the applicable insurance claim. If the Indemnified Party receives any insurance proceeds as a result of the matter giving rise to any indemnification claim of the Indemnified Party against the Indemnifying Party after the Indemnifying Party has paid such indemnification claim to the Indemnified Party, then the Indemnified Party shall promptly turn over any such insurance proceeds received (less the amount of any increase in premiums and costs of recovery directly resulting from the applicable insurance claim) to the Indemnifying Party to the extent of the payments made by the Indemnifying Party to the Indemnified Party on the claim.

6.17 Characterization of Indemnity Payments. All indemnity payments made pursuant to this Article 6 shall constitute adjustments to the Purchase Price, unless otherwise required by Applicable Law.

6.18 Exclusive Remedy.

(1) The Parties acknowledge and agree that their sole and exclusive remedy with respect to any and all monetary Damages for any breach of any representation, warranty, covenant, agreement or obligation set forth in this Agreement (except for matters covered by Section 2.4(a), Section 2.6 and Section 8.3), shall be under the indemnification provisions set forth in this Article 6 other than, in each case, claims based on fraud. Notwithstanding any of the foregoing, nothing in this Section 6.18 shall limit any Party from seeking: (i) specific performance, injunctive or equitable relief in accordance with the terms of this Agreement for any breach or threatened breach of any covenant, agreement or obligation of this Agreement, or (ii) any other remedy available at law or in equity as may be granted by a court of competent jurisdiction.

ARTICLE 7 COVENANTS

7.1 **Investigation.** During the Interim Period, the Vendors shall ~~use commercially reasonable efforts to~~ give, or cause to be given, to the Purchaser and its Representatives reasonable access during normal business hours to the Business and the property and assets of the Acquired Entities, including the Books and Records, its Contracts, and the Leased Premises, to conduct such investigations, inspections thereof and of the financial and legal condition of the Acquired Entities and their respective predecessor corporations as the Purchaser deems reasonably necessary or desirable to familiarize itself with such properties, assets and other matters, ~~in each case for integration planning purposes only,~~ provided that in no circumstance shall the Purchaser and its Representatives conduct any investigation or inspection of any property or asset that involves sampling or otherwise testing soil, groundwater, building materials or other medium. Without limiting the generality of the foregoing, the Purchaser shall be permitted reasonable access during normal business hours, to all documents relating to information scheduled or required to be disclosed under this Agreement and to the Employees. Such investigations and inspections shall be carried out during normal business hours and without undue interference with the operations of the Acquired Entities and the Business and the Vendors shall co-operate in facilitating such investigations and inspections and shall furnish copies of all such documents and materials relating to such matters as may be reasonably requested by or on behalf of the Purchaser. Neither the Purchaser nor any of its Representatives will contact directors, officers or employees, customers, suppliers or other business partners of the Vendors, the Acquired Entities or any of their respective Affiliates except after receiving the prior written consent of the Vendors (such approval not to be un-reasonably withheld, delayed or conditioned).

7.2 **Confidentiality.**

(1) *Existing Confidentiality Agreement.* The terms of the Confidentiality Agreement dated November 25, 2024 between the Purchaser and George Weston Limited (the “**Confidentiality Agreement**”) are hereby incorporated herein by reference and shall continue in full force and effect until the Closing, at which time such Confidentiality Agreement and the obligations of Purchaser under the Confidentiality Agreement shall automatically terminate without any further action on the part of parties thereto.

(2) From and after the Closing Date:

- (a) Each Recipient shall treat confidentially and not disclose, and shall cause each of its Representatives to treat confidentially and not disclose, other than as expressly contemplated by this Agreement, any Confidential Information of a Discloser.
- (b) A Recipient may disclose Confidential Information only to those of its Representatives who need to know such Confidential Information for the purpose of implementing the transactions contemplated by this Agreement. No Recipient shall use, nor permit its Representatives to use, Confidential Information for any other purpose nor in any way that is, directly or indirectly, detrimental to the applicable Discloser.

- (c) If a Recipient or any of its Representatives receives a request or is legally required to disclose all or any part of the Confidential Information of a Discloser, such Recipient shall (a) immediately notify the Discloser of the request or requirement, (b) consult with the Discloser on the advisability of taking legally available steps to resist or narrow the request or lawfully avoid the requirement, and (c) if requested by the Discloser, take all necessary steps to seek a protective order or other appropriate remedy. If a protective order or other remedy is not available, or if the Discloser waives compliance with the provisions of this Section 7.2(2)(c), (i) the Recipient receiving the request for disclosure or its Representatives, as the case may be, may disclose to the Person requiring disclosure only that portion of the Confidential Information which such Recipient is advised by written opinion of counsel is legally required to be disclosed, and (ii) such Recipient shall not be liable for such disclosure unless such disclosure was caused by or resulted from a previous disclosure by such Recipient or its Representatives not permitted by this Agreement.
- (d) Following the termination of this Agreement in accordance with the provisions of this Agreement, each Recipient shall (and shall cause each of its Representatives to) (a) return promptly to the Discloser all physical copies of the Confidential Information of the Discloser, excluding Notes, then in such Recipient's possession or in the possession of its Representatives, (b) destroy all (i) electronic copies of such Confidential Information, and (ii) Notes (including electronic copies thereof) prepared by such Recipient or any of its Representatives, in a manner that ensures the same may not be retrieved or undeleted by such Recipient or any of its Representatives, and (c) deliver to the Discloser a certificate executed by one of the Recipient's duly authorized senior officers indicating that the requirements of this Section 7.2(2)(d) have been satisfied in full; provided that, the Recipient and its Representatives shall not be required to return or destroy any Confidential Information retained in accordance with their respective bona fide record retention and compliance policies and procedures but for certainty all such retained Confidential Information shall remain subject to the confidentiality and restriction on use provisions set out above.
- (e) For greater certainty, this Section 7.2(2) shall not apply to the Purchaser, its Affiliates (including the Acquired Entities) and their respective Representatives, from and after the Closing in respect of Confidential Information with respect to any of the Acquired Entities.

7.3 Vendors Action During Interim Period.³³³⁷

(1) *Operate in Ordinary Course.* Except as otherwise contemplated by this Agreement, **[as may be required or advisable in connection with the Pre-Closing Reorganization]**³⁸ and as set out in Schedule 7.3 of the Disclosure Letter during the Interim Period, (x) the Vendors shall operate the PC Optimum Program in the ordinary course of business consistent with past practice, and (y) the Vendors shall, and shall cause the Acquired Entities to operate the Business: (i) in Ordinary Course of Business, and (ii) in compliance with Applicable Law in all material respects and the terms and conditions of all Contracts relating to

³³³⁷ **Note to Purchaser:** Interim operating covenants remain subject to review by Vendors.

³⁸ **Note to Vendor:** Subject to review of Pre-Closing Reorganization steps.

the Business, in each case, in a manner that keeps intact the current business organization of the Business and maintains good relations with, and the goodwill of, Employees, clients, suppliers, service providers, landlords and all other Persons having business relationships with the Acquired Entities in accordance with past custom and practice.

(2) *Negative Covenants.* During the Interim Period, none of the Vendors or Acquired Entities shall, and will not cause or permit their respective Affiliates to, without the prior written consent of the Purchaser (not to be unreasonably withheld, conditioned or delayed) take: (i) any action that if taken prior to the date hereof, would have caused the representation and warranty in Section 3.2(35) to be ~~materially~~ incorrect, or (ii) any of the following actions; in each case, except **[as may be required or advisable in connection with the Pre-Closing Reorganization]**³⁹ or as expressly contemplated by this Agreement:

- (a) effect any recapitalization, reclassification or like change in the capitalization of any Acquired Entity;
- (b) terminate or allow to be terminated any insurance policy in effect as of the date of this Agreement of which any Acquired Entity is a beneficiary;
- (c) ~~[transfer the employment or engagement of any employee or individual service provider independent contractor of Vendors or any of their respective Affiliates (other than the Acquired Entities) to any Acquired Entity (other than, except as is required to be consistent with the permitted by Section 7.7 hereof);~~
- (d) ~~transfer any Employee List and the Independent Contractor List or otherwise into the Ordinary Course of Business) Vendors or any of their respective Affiliates (other than the Acquired Entities), except as is permitted by Section 7.7 hereof;~~³⁴
- (e) ~~(d) materially~~ amend or terminate any existing Vendor Plans or adopt any new Vendor Plans in a manner which, in each case, would affect the Employees or former employees of the Acquired Entities, other than in the Ordinary Course of Business or in connection with the Retention Bonus Program;
- (f) ~~(e) materially~~ increase or decrease any benefit provided under any Vendor Plan to any Employee or former employee of the Acquired Entities other than in the Ordinary Course of Business or in connection with the Retention Bonus Program;
- (g) issue, grant, deliver, or authorize any grant of options, warrants, equity or equity-based awards, phantom award or other rights to acquire, or exercisable or exchangeable for, or convertible into, any securities of the Vendors or any of its Affiliates (including the Acquired Entities) to any Employee or former employee of the Acquired Entities, [other than in the Ordinary Course of Business];
- (h) ~~(f)~~ make, modify or grant any ~~material~~ fee or compensation increase, or termination payment or benefit onto any ~~independent contractor listed on~~

³⁹ **Note to Vendor:** Subject to review of Pre-Closing Reorganization steps.

³⁴ **Note to Purchaser:** To be updated to reflect approach to any Acquired Entity employees who will be maintained by Vendor.

~~the~~Employee or Independent Contractor List (other than in connection with a termination of the ~~services employment or engagement~~ of such a Person by the Vendors or their Affiliates (including the Acquired Entities) for cause); ~~and (g) or~~ in connection with the Retention Bonus Program;

(i) enter into any Contract or commitment to hire, or terminate the services of, any Employee or Independent Contractor earning annual base compensation in excess of \$250,000;

(j) (i) amend, in any material respect any written agreement between PCB, on the one hand, and a Cardholder, on the other hand, governing the terms and conditions of such Card Account Agreement; nor (ii) the PC Optimum Terms and Conditions, to the extent that such amendment would be a Material Loyalty Program Change (as defined in the Program Participation Agreement);

(k) ~~(h)~~ enter into any Contract, which if entered into prior to the date hereof, would constitute a Material Contract or a Securitization Contract; ³⁵⁴⁰

(l) ~~(i)~~ modify, amend, waive, impair or alter in any material respect its operations or activities in connection with any Securitization Contract; and

(m) ~~(j)~~ terminate, cancel, modify or amend in any material respect or take or fail to take any action which would entitle any party to any Securitization Contract to terminate, cancel, modify or amend any terms thereof to the detriment of the Vendors, Eagle or any of the Acquired Entities.

(3) Interac Participation Agreement. The Vendors covenant and agree that the Vendors shall not take, or fail to take, any actions during the Interim Period that would reasonably be expected to interfere with the ability of PCB to (i) directly participate in the Interac network from and after Closing, (ii) offer Interac e-Transfer to PCB customers from and after the Closing, or (iii) otherwise take full benefit and advantage of all rights extended to PCB under the Interac Participation Agreement from and after Closing.

(4) ~~(3)~~ CET1 Capital Ratio. Notwithstanding any other provision set forth in this Agreement, the Purchaser acknowledges and agrees that, prior to Closing, the Acquired Entities may distribute capital (including by way of dividend or return of capital) to the PCB Vendor or to PCB, as applicable, provided that the CET1 Capital Ratio must be equal to or greater than the CET1 Capital Ratio Threshold. Notwithstanding the foregoing, prior to Closing the Vendors shall provide written notice to the Purchaser prior to any distribution by an Acquired Entity to the PCB Vendor or to PCB which notice must include a pro forma calculation of the CET1 Capital Ratio immediately following such distribution. The Vendors and the Acquired Entities shall be deemed not to be in breach of any of the representations and warranties provided by them in Article 3 or covenants provided in Section 7.3 as result of such actions.

(5) ~~(4)~~ PCFIA, PCFIB and Global Re Capital Distributions. Notwithstanding any other provision set forth in this Agreement, the Purchaser acknowledges and agrees that, prior to Closing, PCFIB, PCFIA, and/or Global Re may distribute capital (including by way of dividend or return of capital) to the PCFI Vendor and/or Global Re Vendor, as applicable. The Vendors and

³⁵⁴⁰ **Note to Purchaser:** PCB intends to extend Series A, Series B-1 and Series C and/or issue new series in the interim period. These will be disclosed in the Disclosure Letter.

the Acquired Entities shall be deemed not to be in breach of any of the representations and warranties provided by them in Article 3 or covenants provided in Section 7.3 as result of such actions.

~~(5) — Amounts with Affiliates~~

(6) Eagle Securitization. Notwithstanding any other provision set forth in this Agreement, during the Acquired Entities Interim Period, (i) PCB will be permitted to collect, repay, satisfy, or otherwise settle any intercompany obligations, payables, or receivables of any kind or nature between or among the Acquired Entities, create a new series co-ownership interest pursuant to the pooling and servicing agreement described in Schedule 3.2(40) (the Vendors "Pooling and/or its Affiliates prior to Closing. The Vendors and the Acquired Entities shall be deemed not to be in breach of any of the representations and warranties provided by them in Article 3 or covenants provided in Section 7.3 as result of such actions Servicing Agreement") and transfer such co-ownership interest to Eagle pursuant to a co-ownership agreement with Eagle and (ii) Eagle will be permitted to enter into a supplemental indenture pursuant to the trust indenture describe in Schedule 3.2(40) and issue notes pursuant thereto, in each case, in the Ordinary Course of Business, provided that such documents shall explicitly permit the replacement of the PCB Vendor, as performance guarantor, with the Purchaser or an Affiliate of the Purchaser at any time without consent.

(7) Data Sharing Implementation Plan. Prior to the Closing, the Parties shall in good faith meet and complete the Data Sharing Implementation Plan (as defined in the Program Participation Agreement), which shall set out a comprehensive plan for the implementation of the activities set out in Schedule 12 of the Program Participation Agreement.

7.4 Purchaser Action During Interim Period.

During the Interim Period, the Purchaser shall not, without the prior written consent of the Vendors (not to be unreasonably withheld, conditioned or delayed) take any of the following actions:

- (a) amend its constating documents in any manner that would have a material and adverse impact on the value of the Purchaser Shares or that would materially impair Purchaser's ability to perform its obligations under this Agreement or consummate the transactions contemplated by this Agreement on a timely basis;
- (b) split, combine or reclassify any of its shares, including the Purchaser Shares;
- (c) declare, set aside or pay any extraordinary dividend or other distribution on the Purchaser Shares (whether in shares, property or any combination thereof); or
- (d) enter into any agreement, arrangement or understanding to do any of the foregoing; ~~or~~
- ~~(e) — any other action that would materially impair or delay the ability of Purchaser to consummate the transactions contemplated by this Agreement.~~⁴¹

⁴¹ Note to Vendor: (e) removed because Vendors have protection by way of Purchaser MAC.

7.5 Exclusive Dealings. During the Interim Period, neither the Vendors nor any of their respective Affiliates, Representatives or shareholders shall directly or indirectly in any manner (nor permit any Affiliate to): (a) entertain, solicit or encourage; (b) furnish or cause to be furnished any information to any Persons (other than the Purchaser or their Representatives) in connection with; or (c) negotiate or otherwise pursue any proposal or discussions for or in connection with any possible sale of any Shares or of the Business, no matter how structured, including without limitation by sale of all or any significant or controlling part of the shares of the Vendors (as applicable), by sale or license of all or any significant part of the property and assets of the Acquired Entities, or by any merger or other business combination involving the Acquired Entities or otherwise. The Vendors shall be responsible for any breach by ~~its~~their Affiliates, Representatives or shareholders of any of the provisions of this Section 7.4.

7.6 Regulatory Approvals.

(1) The Parties shall use commercially reasonable efforts to obtain the Regulatory Approvals as soon as reasonably practicable and, following receipt of such approvals, to keep such approvals current and in force.

(2) In respect of the Competition Act Approval, the Parties shall, or cause their respective subsidiaries or Affiliates to, as soon as practicable and, in any event, ~~within fifteen (15) Business Days of the date of this Agreement~~no later than January 20, 2026:

- (a) Each submit to the Commissioner of Competition a pre-merger notification in respect of the transactions contemplated by this Agreement pursuant to Part IX of the Competition Act; and
- (b) Submit to the Commissioner of Competition a letter requesting that the Commissioner of Competition issue an advance ruling certificate under section 102 of the Competition Act in respect of the transactions contemplated by this Agreement or, in the alternative, a No Action Letter indicating that the Commissioner of Competition does not intend to make an application under section 92 of the Competition Act in respect of the transactions contemplated by this Agreement.

(3) In respect of the Bank Act Approval, the Purchaser shall, or cause its subsidiaries or Affiliates to, as soon as practicable and, in any event, ~~within fifteen (15) Business Days of the date of this Agreement~~no later than January 20, 2026, submit to OSFI an application to obtain the Bank Act Approval and request that such application be processed on an expedited basis.

(4) The Purchaser shall: (i) have responsibility for the preparation and presentation of all filings, applications or submissions required or considered appropriate to be made by the Purchaser or its Affiliates in order to obtain the Regulatory Approvals, including responding on a timely basis to all inquiries from any Governmental Authority (unless such inquiry is made directly of a Vendor, in which case it shall be the responsibility of the Vendors), and (ii) provide reasonable support in connection with filings, applications or submissions by the Vendors as contemplated by Section 7.6(5) below, as reasonably requested by the Vendors.

(5) The Vendors shall: (i) have responsibility for the preparation and presentation of all filings, applications or submissions required or considered appropriate to be made by the Vendors in order to obtain the Regulatory Approvals, including responding on a timely basis to

all inquiries from any Governmental Authority (unless such inquiry is made directly of the Purchaser, in which case it shall be the responsibility of the Purchaser), and (ii) provide reasonable support in connection with the Purchaser's filings, applications or submissions as contemplated by 7.6(4) above, as reasonably requested by the Purchaser.

(6) The Purchaser and the Vendors shall coordinate in connection with the preparation of any filing or submission necessary or advisable to obtain the Regulatory Approvals, including: (i) keeping each other reasonably informed as to the status of the proceedings related to obtaining the Regulatory Approvals, (ii) promptly providing each other Party with copies of any notices, submissions, filings information, documentation, material correspondence (including emails) in advance, and a reasonable opportunity of at least 72 hours (or such shorter period as reasonably required in connection with any request from a Governmental Authority) to comment on all notices, submissions, filings and other information prior to supplying to or filing with a Governmental Authority, as applicable (except for notices, submissions, filings or other information or parts thereof which the disclosing party, acting reasonably, considers confidential and competitively sensitive, which then shall be provided on an outside counsel only basis to external counsel of the applicable other Parties), and shall consider in good faith and take account of all reasonable comments of the applicable other Parties timely made in this respect, (iii) promptly providing each other copies of all notices, submissions, filings, information, documentation, material correspondence (including emails) and requests received from any Governmental Authority (except for notices, submissions, filings or other information or parts thereof which the disclosing party, acting reasonably, considers confidential and competitively sensitive, which then shall be provided on an outside counsel only basis to external counsel of the applicable other Parties), and (iv) cooperate on a timely basis in the preparation of any response by another Party to any request for additional information received by such other Party from a Governmental Authority in connection with obtaining the Regulatory Approvals.

(7) Nothing in this Agreement shall require the Purchaser to propose, negotiate, accept, agree to and/or effect, by consent agreement or otherwise, (i) the sale, assignment, amendment, licence, separate holding, divestiture, disposition or termination of any assets, properties, products, businesses, contracts, licences or financing arrangements of the Purchaser or any of its Affiliates, or the Acquired Entities, (ii) any behavioural or other remedy or undertaking imposing conditions, restraints, amendments or limitations on the assets, properties, products, businesses, contracts, licences or financing arrangements of the Purchaser or any of its Affiliates, or the Acquired Entities, (iii) any Capital Action, or ~~(iii)iv~~ any other arrangement as may be necessary to avoid the commencement of litigation in respect of the transactions contemplated by this Agreement that may have the effect of delaying or preventing the completion of the transactions contemplated by this Agreement in any material respect (each of the actions in the foregoing clauses (i), (ii), (iii) and ~~(iii)iv~~ a “**Regulatory Requirement**”), other than ~~(y)~~ any Regulatory Requirement that would not materially impair the benefits or advantages it expects to receive from the transactions contemplated by this Agreement if the Parties determine, acting reasonably, that such Regulatory Requirement is required or advisable to obtain the Regulatory Approvals prior to the Outside Date ~~or (z) any Capital Action, provided that~~ than any such Capital Action is conditioned upon the consummation of the transactions contemplated by this Agreement.

(8) Neither the Purchaser nor the Vendors shall engage in any meetings or material discussions with any Governmental Authority in respect of any of the Regulatory Approvals without giving the other Party (ies) prior notice of the meeting or discussion. To the extent permitted by the applicable Governmental Authority, each Party shall provide the other

Party(ies) and/or its external legal counsel the opportunity to attend and participate in any such meeting or material discussion with any Governmental Authority in respect of any of the Regulatory Approvals.

(9) Neither Party shall enter into any timing or other agreements with any Governmental Authority which would reasonably be expected to prevent or delay the obtaining of any Regulatory Approval, without the prior written consent of the other Party, which shall not be unreasonably withheld, conditioned or delayed.

(10) All filing and similar fees paid to Governmental Authorities associated with obtaining the Regulatory Approvals, shall be shared by the Purchaser, on the one hand, and the Vendors, on the other hand, equally.

7.7 Employment and Benefits.³⁶⁴²

(1) As soon as reasonably practicable following the date hereof, the Vendors shall provide to the Purchaser an updated Employee List and an updated Contractor List, which revised lists shall include all Employees and Independent Contractors as of the date the updated lists are provided to the Purchaser. The updated Employee List and the updated Contractor List shall be further updated by the Vendors from time to time during the Interim Period as reasonably requested by the Purchaser (the "Revised Personnel List"). The Vendors shall cause the employment or engagement of the individuals included on the Revised Personnel List who are not employed or engaged by an Acquired Entity (the "Transferred-In Personnel") to be continued with an Acquired Entity prior to the Closing, on terms and conditions agreed to by the Vendors and the Purchaser, acting reasonably; provided that the employment or engagement of any Transferred-In Personnel who are engaged in marketing, distribution and/or selling of insurance products will become employed or engaged by PCFIA or such other Acquired Entity as agreed to by the Purchaser and the Vendors to ensure compliance with Applicable Laws. The Vendors shall also ensure that the employees and independent contractors listed on Schedule 7.7(1) of the Disclosure Letter (or as otherwise agreed by the Vendors and Purchaser during the Interim Period) (the "Departing Personnel") will not be employed or engaged by an Acquired Entity as of the Closing. Neither the Purchaser nor the Acquired Entities shall have any cost, liability or obligation in respect of the treatment of the Departing Personnel or the transfers of employment or engagement of the Transferred-In Personnel contemplated by this Section 7.7(1), including any cost, liability or obligation relating to the termination of the employment or engagement of any Departing Personnel. The Vendors represent that the employees and independent contractors employed or engaged by the Acquired Entities as of the Closing will be sufficient to permit the Acquired Entities to conduct the Business following the Closing in a manner consistent with the Vendors' conduct of the Business immediately prior to the Closing.

(2) ~~(1)~~ For a period of one year following the Closing Date, the Purchaser shall cause each ~~Employee~~employee employed by an Acquired Entity at Closing (each a "Continuing Employee") to be provided with ~~terms and conditions of employment~~(i) a base salary or wages that are ~~not~~ less ~~favourable~~ than ~~those~~the base salary or wages provided to

³⁶⁴² **Note to Vendor:** Treatment of outstanding equity incentive awards granted by the Vendor to be discussed.

Note to Purchaser: SPA and disclosure letter to be updated to reflect agreed approach, including (to the extent applicable): (i) the Vendor's obligations with respect to its existing outstanding awards, and (ii) the Purchaser's obligations in respect of such awards (for example, substituting forfeited Vendor awards with equivalent Purchaser awards). **Note to Vendor:** Parties to discuss treatment of awards and relevant plan terms.

such Continuing Employee ~~as of immediately prior to the Closing Date, including (i) a base salary or wages that are not less than the base salary or wages provided to such Continuing Employee immediately prior to the Closing, (ii) variable/ incentive/ and/or bonus pay arrangements that are the same or substantially the same in value (excluding any value attributable to equity and equity-based compensation) to those provided to such Continuing Employee immediately prior to the Closing, (similar in the aggregate (excluding any value attributable to retention bonuses and transaction bonuses) to those provided to such Continuing Employee immediately prior to the Closing, (iii) other benefit plans and arrangements (including in respect of any Vendor Pension Plan) excluding any retention bonuses and transaction bonuses or post-employment retiree health and welfare benefits or compensation) that are substantially similar in the aggregate to those provided to such Continuing Employee immediately prior to the Closing Date and (iv) recognition of each Continuing Employee's service with the Acquired Entities and Vendors (or their respective Affiliates) to the extent recognized by the Acquired Entities and Vendors (or their respective Affiliates) for all purposes.~~ For greater certainty, neither the Purchaser nor the Acquired Entities shall have any obligation to offer or grant to any Continuing Employee any equity or equity-based or other long-term incentive compensation or to provide any Continuing Employee with defined benefit pension or any post-employment retiree health and welfare benefits or compensation. During the Interim Period, the Purchaser and the Vendors will cooperate with the Vendor in good faith and provide the Vendor (in a timely fashion) with such information as may be reasonably requested by the Vendor from time to time in order to (among other things) assist the Vendor in (a) the transition of the Employees and their benefits to the Purchaser, (b) its in respect of any pre-Closing communications with the Employees employees regarding the any changes to their post-Closing employment and benefits, and (c) assessing whether the Purchaser will be in compliance with its obligations pursuant to this Section 7.7 as of the Closing Date with the Acquired Entities.

(3) ~~(2)~~ Without limiting the foregoing, the Purchaser will cause each such Continuing Employee's service up to the Closing Date to be recognized to the extent recognized by the Acquired Entities and Vendors (or their respective Affiliates) for all purposes, including for purposes of determining (i) entitlement of the Continuing Employees' vacation, notice of termination or severance pay, and (ii) as applicable, eligibility for participation, ~~early retirement~~ and vesting of any Continuing Employee under any employee benefit plans of the Purchaser applicable to such Continuing Employee (but excluding, for greater certainty, benefit accrual under any defined benefit pension plan), provided, however, that the foregoing shall not apply to the extent it results in the duplication of benefits, compensation or coverage for the same period of service.

(4) ~~(3)~~ The Purchaser shall make commercially reasonable efforts to (i) cause to be waived under any employee benefit plans of the Purchaser that are applicable to such Continuing Employee any pre-existing condition limitations, actively-at-work requirements, exclusions and waiting periods to the extent waived or not applicable under, or previously satisfied by such Continuing Employee under, a similar Employee Plan, and (ii) for the plan year in which the Closing Date occurs, cause ~~the such~~ Continuing ~~Employees~~ Employee to be given credit under such employee benefit plans for amounts paid prior to the ~~date on which Closing Date by~~ such Continuing Employees ~~commence participation in such employee benefit plan~~ for purposes of applying deductibles, co-payments, co-insurance and out-of-pocket maximums.

~~(4) — The Purchaser shall provide each Continuing Employee who participates in a bonus plan or a commission plan or arrangement, with eligibility to receive a cash incentive~~

~~award (i.e., bonus or commission, as applicable) for the full performance period during which the Closing occurs, subject to continued employment with the Acquired Entities or Purchaser on the date such bonuses or commissions are generally paid to other employees of the Acquired Entities or the Purchaser in the ordinary course of its business, and the amount paid in respect of the performance period prior to the Closing shall be no less than the bonus amount or commission, as applicable, accrued by the Business for such period.~~

(5) The provisions contained in this Section 7.7 shall not (i) be treated as an amendment or other modification of any Employee Plan or other employee benefit plan, agreement or other arrangement, ~~or~~ (ii) prohibit or limit the Purchaser or the Acquired Entities from amending or terminating any Acquired Entity Plan or other employee benefit plan or be construed to establish any benefit or compensation plan, program, policy, agreement or arrangement, or (iii) be construed as a commitment on the part of the Purchaser or Acquired Entities or any of their Affiliates to continue the employment of any Continuing Employee following the Closing, or (iii) create any third party rights, benefits or remedies of any nature whatsoever in any employee (or any beneficiaries or dependents thereof) or any other Person that is not a party to this Agreement. Nothing in this Section 7.7 shall limit the obligation of the Purchaser or the Acquired Entities to comply with Applicable Law.

(6) ~~Effective as of the opening of business on the Closing Date, the Purchaser shall, at its own expense, establish or cause to be established, or designate benefit plans to provide employee benefits (including, to the extent applicable, life insurance, health care, dental care, accidental death and dismemberment insurance, short term and long term disability and other group non-pension benefit arrangements) for the Continuing Employees in connection with any and all benefit claims of the Continuing Employees incurred on and after the Closing Date.~~ The Vendors shall ensure that, as of the Closing Date, ~~[all Employees and former Employees shall~~ employees of the Acquired Entities shall, [except as expressly contemplated herein]⁴³, cease to participate in, and⁴⁴ accrue benefits under, the Vendor Plans]. ~~Effective as of the opening of business on the Closing Date, the Continuing Employees shall commence, without interruption, (other than the Vendor Pension Plans and Vendor Plans that provide post-retirement health and welfare benefits) and shall cease to participate in and~~ accrue benefits under the Purchaser Vendor Pension Plans. Except to the extent taken into account in the determination of the Closing Statements, the Vendors and Vendor Plans that provide post-retirement health and welfare benefits. The Vendors and its Affiliates (other than the Acquired Entities) shall retain sole responsibility for all liabilities and obligations under the Vendor Plans⁴⁵, including with respect to any amounts accrued by any Employee, former employee of the Acquired Entities or any of their respective dependents or beneficiaries under a Vendor Pension Plan or any entitlements of any of them under a Vendor Plan that provides post-retirement health and welfare benefits and for all any amounts payable under the Vendor Plans by reason of or in connection with any benefit claims incurred by the Continuing Employees prior to the Closing Date subject to and former employees of the Acquired Entities in accordance with the terms and conditions of the Vendor Plans. ~~For the purposes of this Section 7.7(6), a benefit claim shall be deemed to have been "incurred", (i) with respect to death or~~

⁴³ Note to Vendor: To be updated based on agreed upon treatment of the outstanding equity awards.

⁴⁴ Note to Vendor: The Continuing Employees in Ontario will not cease to participate in the registered pension plans as a result of this transaction, as we would not expect such employees to receive portability under the PBA (Ontario) given that they will not experience a termination of employment.

⁴⁵ Note to Vendor: The Vendors should be responsible for (and indemnify the Purchaser against) any liabilities under the Vendor Plans, including the defined benefit Vendor Pension Plans and the Vendor Plans that provide post-retirement benefits.

~~dismemberment, on the actual date of death or of dismemberment, (ii) with respect to [short term and long term disability], on the date the claimant became disabled as determined in accordance with the applicable plan, (iii) with respect to all medical, dental or vision claims, on the date a service is received or supply is purchased by the claimant or their eligible dependent, and (iv) with respect to critical illness, on the date the claimant became critically ill as determined in accordance with the terms of the benefit plan. The Purchaser will cooperate with the Vendors to facilitate and communicate the ability of Continuing Employees to transfer retirement savings held in the Vendor Pension Plans to the Purchaser Plans, and Applicable Law.~~^{46 47}

(7) ~~[During the Interim Period, and having regard to the Vendors' representation in Section 7.7(1) hereof, the Vendor Vendors shall be permitted to award cash retention or special recognition bonuses (the "Retention Bonuses") to certain of the executives and other key Employees, with (the "Eligible Participants") goal of incentivising the continued employment of such employees through to the Closing (the "Retention Bonus Program"). The Vendors (and not the Vendor and Purchaser or the Acquired Entities) shall create a fund for the purposes of paying be fully responsible for all costs and liabilities associated with the Retention Bonuses (the "Retention Bonus Pool"), not to exceed \$■ (the "Bonus Pool Limit"), of which each Eligible Participant will be allocated a portion of such Retention Bonus Pool (Program and the payment of the "Retention Bonus Program"). Subject to the consent of Bonuses. The Vendors shall provide the Purchaser, not to be unreasonably withheld, delayed or conditioned, the Vendor shall be permitted to specify the Eligible Participants, the allocation of the Retention Bonus Pool to each Eligible Participant and any additional parameters of with information and documentation regarding the Retention Bonus Program. The Vendor shall be permitted to (a) award Retention Bonuses, subject to the Bonus Pool Limit, to Eligible Participants and (b) enter into retention bonus agreements with the applicable Eligible Participants on such terms and conditions as the Vendor and Purchaser agree, both acting reasonably and in good faith, the employees participating in the Retention Bonus Program and the quantum of the Retention Bonuses upon request.]~~

7.8 Notice of Certain Matters and Updates to Information.

(1) During the Interim Period, each Party shall promptly upon becoming aware, give written notice to the other ~~Party~~^{Parties} of: (a) the occurrence of any event that causes any representation and warranty of such Party contained in this Agreement to be untrue or inaccurate if such failure to be true or accurate would cause any condition in Section 5.1(1) or 5.3(1), as applicable, not to be satisfied, and (b) any failure of such Party to comply with or satisfy any covenant, condition or agreement to be complied with or satisfied by it hereunder if such failure to comply would cause any condition in 5.1(2) or 5.3(2) not to be satisfied; provided, however, that the delivery of any notice pursuant to this Section ~~7.8~~^{7.7(1)} shall not limit or otherwise affect any remedies available to ~~the~~^{any} other Party.

(2) During the Interim Period, the Vendors shall provide the Purchaser with: (a) copies of any and all Regulatory Correspondence promptly after receipt or preparation thereof

⁴⁶ Note to Vendor: Where an Employee or former employee of the Acquired Entities is entitled to a benefits claim under the terms of a Vendor Plan that provides for health and welfare benefits, the Vendor Plan should provide the coverage in accordance with its terms and the Vendors should be responsible to ensure that.

⁴⁷ Note to Vendor: As noted above, we do not expect that Continuing Employees will receive portability in connection with the proposed transaction (at least in Ontario) and as such they will not be able to transfer their retirement savings held under the Vendor Pension Plans.

and shall consider any reasonable comments provided by the Purchaser in connection with any response to any received Regulatory Correspondence; and (b) copies of any and all reports made to the Credit Risk Committee of PCB, and any and all financial reports made to the Chief Risk Officer of PCB (except for any such reports or parts thereof which the Purchaser, acting reasonably, considers confidential and competitively sensitive, which then shall be provided on an outside counsel only basis to external counsel of the applicable other Parties).

(3) During the Interim Period, the Vendors shall provide the Purchaser with regular updates of any material changes regarding the status of any of the Legal Proceedings described in Schedule 3.2(22) of the Disclosure Letter.

(4) During the Interim Period, the Vendors shall cause to be prepared and delivered to the Purchaser as soon as reasonably practicable, and in no event later than 90 days after the end of any fiscal year of the Acquired Entities which occurs during the Interim Period, (i) the annual audited consolidated financial statements of PCB comprising the consolidated statements of financial position as of such fiscal year end, the consolidated statements of income and comprehensive income, the consolidated statements of changes in equity, and the consolidated statements of cash flows for the fiscal year then ended together with the notes thereof, (ii) the annual audited financial statements of Global RE comprising the statements of financial position as of such fiscal year end, the statements of comprehensive income, statements of changes in equity and statements of cash flows for the fiscal year then ended together with the notes thereof, and (iii) the annual unaudited financial statements of PCFIA and PCFIB, each comprising the balance sheets as of such fiscal year end, the statements of retained earnings, and statements of earnings for the fiscal year then ended together with the notes thereof.

(5) During the Interim Period, the Vendors shall cause to be prepared and delivered to the Purchaser as soon as reasonably practicable, and in no event later than 30 days after the end of each calendar month, (i) the unaudited consolidated statement of financial position and statement of earnings of PCB for such month and the year-to-date ending on such month end, (ii) the unaudited balance sheet and statement of income and retained earnings of Global RE for such month and the year-to-date ending on such month end, and (iii) the unaudited balance sheets and statements of earnings of PCFIA and PCFIB for for such month and the year-to-date ending on such month end.

7.9 Preparation of Tax Returns.

(1) The Purchaser shall cause to be prepared and filed on a timely basis all Tax Returns for the Acquired Entities for (a) any Pre-Closing Tax Period for which Tax Returns have not been filed as of the Closing Date and (b) for any Straddle Period for which Tax Returns are required to be prepared and filed (all Tax Returns referred to in clause (a) and (b) above collectively being referred to herein as the “**Stub Period Returns**”). The Purchaser shall prepare each Stub Period Return on a basis consistent with (i) Applicable Law, (ii) the Closing Balance Sheet, and (iii) the past practices and procedures of the Acquired Entities, as applicable. Notwithstanding the foregoing, in any Stub Period Return, no Acquired Entity shall deduct any amount in the nature of a reserve or claim any Tax credit that would require such Acquired Entity, as the case may be, to include in a tax period ending after the Closing Time any amount of income, unless (i) in the case of any such credit, the Tax liability in respect of such income (determined as though such income were the only income or loss of the entity for the tax period and without regard for the availability of any loss carryforwards or carrybacks) is taken into account in calculating the Purchase Price, or (ii) in the case of any reserve, a

corresponding reserve or other liability is taken into account in calculating the Purchase Price. For the avoidance of doubt, where applicable, the Purchaser may cause any Acquired Entity to make an election pursuant to subsection 256(9) of the ITA in respect of the taxation year of such Acquired Entity, as the case may be, ending on the acquisition of control of it by the Purchaser. The Purchaser shall provide to the Vendors for its review a draft of each Stub Period Return no later than thirty (30) days in the case of an income Tax Return, and ten (10) days in the case of any other Tax Return, prior to the due date for filing such Tax Return with the appropriate Governmental Authorities. The Vendors shall notify the Purchaser in writing within fifteen (15) days in the case of an income Tax Return, and five (5) days in the case of any other Tax Return, after delivery of a Stub Period Return if it has any reasonable comments with respect to items set forth in such Stub Period Return. The Purchaser shall consider all such comments ~~in good faith.~~

(2) Other than Taxes which were specifically taken into account in calculating the Purchase Price, the Vendor shall pay as a reduction of the Purchase Price (a) all Taxes due with respect to all Tax Returns for each Acquired Entity for any Pre-Closing Tax Period and (b) with respect to all Tax Returns for each Acquired Entity for any Straddle Period, Taxes allocable to the portion of the Straddle Period ending immediately prior to the Closing Date (as determined under Section 7.9(3)). ~~(2)~~ Notwithstanding anything to the contrary in this Agreement, Purchaser shall not file nor permit or allow PCB to file any amended Tax Return which ~~relates to~~ could reasonably impact the NITC Receivables, unless such refiling is required by Applicable Law or consented to by PCB Vendor (such consent not to be unreasonably withheld, conditioned, or delayed). If such refiling is required by Applicable Law, then Purchaser will notify PCB Vendor of its intent to file such amended Tax ~~Returns relating to the NITC Receivables~~ Return within a reasonable amount of time after determining that such refiling is required by Applicable Law.

(3) In the case of any Straddle Period, the amount of Taxes allocable to the portion of the Straddle Period ending immediately prior to the Closing Date shall be:

- (a) in the case of Taxes imposed on a periodic basis (such as real or personal property Taxes), the amount of such Taxes for the entire Straddle Period (or, in the case of such Taxes determined on an arrears basis, the amount of such Taxes for the immediately preceding period) multiplied by a fraction, the numerator of which is the number of calendar days in the Straddle Period prior to the Closing Date and the denominator of which is the number of calendar days in the entire relevant Straddle Period; and
- (b) in the case of Taxes not described in (a) above (such as Sales Taxes, franchise Taxes, Taxes that are based upon or related to income or receipts, or Taxes that are based upon occupancy or imposed in connection with any sale or other transfer or assignment of property), the amount of such Taxes determined as if such tax period ended immediately prior to the Closing Time.

7.10 ~~Control of NITC Receivable Litigation.~~ NITC Receivables Matters.

- (a) Any NITC Receivables received by the Acquired Entities following Closing will be payable to the Vendors, net of applicable Taxes of the Acquired Entities in respect of such NITC Receivables, to the extent such Taxes were not reflected

in the calculation of Purchase Price, and other reasonable expenses. All such payments shall constitute an increase to Purchase Price.

The Parties agree that Vendors may control in all aspects the negotiation, settlement and defence of any and all litigation in the Tax Court of Canada and any subsequent appeals of same in respect of the NITC Receivables (the "NITC Litigation"); provided that Vendors will keep Purchaser informed of the conduct and status of any such NITC Litigation (and shall promptly provide Purchaser with copies of any communications to or from any Governmental Authority relating specifically thereto), and in conducting any such NITC Litigation, Vendors shall reasonably consider in good faith all input that is received from Purchaser on a timely basis. Vendor may settle or resolve any NITC Litigation only with Purchaser's consent (which consent will not be unreasonably withheld, conditioned or delayed).

- (b) ~~(a) Notwithstanding anything to the contrary contained in this Agreement, Vendors shall control in all aspects the negotiation, settlement and defence of~~ With respect to ~~any and all audits, appeals, litigations or any other tax disputes of an Acquired Entity with respect to the NITC Receivables, and may settle or resolve any such audit, appeal, litigation or other tax dispute with~~ other than NITC Litigation ("NITC Audits and Objections), Purchaser shall control in all aspects the negotiation, settlement and defence of same; provided that ~~Purchaser's consent (which consent will not be unreasonably withheld, conditioned or delayed). Vendors~~ PurchaserVendor ~~will keep~~ informed of the conduct and status of any such ~~audit, appeal, litigation or other tax dispute~~ NITC Audits and Objections ~~(and shall provide Purchaser with copies of any communications to or from any Governmental Authority relating specifically thereto), and in conducting any such~~ ~~audit, appeal, litigation or other tax dispute Vendors~~ NITC Audits and Objections, Purchaser ~~shall reasonably consider in good faith all input that is received from~~ ~~PurchaserVendors~~ on a timely basis. Purchaser may settle or resolve any NITC Audits and Objections only with Vendors' consent (which consent will not be unreasonably withheld, conditioned or delayed).

7.11 Cooperation Respecting Tax Matters. Each Party shall, at their own cost and expense, provide reasonable cooperation to the other Party and their counsel in respect of Tax matters arising under this Agreement ("**Tax Matters**"), including:

- (a) providing prompt written notice to the other Party of any pending or threatened Tax audits or assessments of the Acquired Entities for tax periods for which the other may have a liability under this Agreement;
- (b) providing the other Party and its counsel with draft copies of all filings, motions, applications, correspondence and other documents the Party defending the claim intends to file with or deliver to any Governmental Authority in connection with a Tax Matter at least ten (10) Business Days prior to the date on which such documents are filed or delivered and considering the comments of the other Party and its counsel regarding such filings, motions, applications, correspondence and other documents;
- (c) promptly notifying the other Party of any communication the Party defending a Tax Matter receives from any Governmental Authority regarding such Tax Matter

and providing the other Party with copies of all correspondence, filings or communications between such Party defending the claim, on the one hand, and any Governmental Authority or members of the staff of any Governmental Authority, on the other hand, in each case to the extent relating to any such Tax Matter; provided that the Purchaser shall in all cases have the right to attend any meetings or participate in other discussions (or have Purchaser's counsel attend or participate) with the staff of any Governmental Authority or such Governmental Authority's counsel;

- (d) keeping the other Party and its counsel advised on a prompt and ongoing basis of the status of such Tax Matter and any material changes or developments with respect thereto and promptly and fully responding to all requests for information, questions and comments of the other Party and its counsel from time to time;
- (e) making available to each other in a prompt fashion such Data, documents and other information (including by making available employees on a mutually convenient basis) as may reasonably be required for the preparation and filing of all Stub Period Returns, or for the conduct of any Tax Matter or Third Party Claim (including any NITC ~~Receivable litigation~~ Audits and Objections, and NITC Litigation), and preserving all such Data, documents and information until the expiry of the limitation period under Applicable Law with respect to the taxation years or periods covered by such Stub Period Returns, or until a Final Determination has been made in respect of such Tax Matter, as the case may be; and
- (f) promptly signing and delivering such certificates or forms as may be necessary or appropriate to establish an exemption from (or otherwise reduce) Taxes, or an exemption from (or an extension in respect of) an obligation to file Tax Returns.

7.12 Reportable Transactions. The Parties shall reasonably cooperate in good faith to determine whether any transaction contemplated by this Agreement, or any transaction that may be considered to be part of the same series of transactions as the transactions contemplated by this Agreement, is a "reportable transaction" (as defined in section 237.3 of the ITA), is a "notifiable transaction" (as defined in section 237.4 of the ITA), or is otherwise required to be reported to any applicable Governmental Authority under any analogous provision of any comparable Law of any province or territory of Canada, including any transaction subject to mandatory disclosure rules under the *Taxation Act* (Québec) (the "**Mandatory Disclosure Rules**"). If any Party determines that any such transaction is reportable then it shall so notify all other Parties within fifteen (15) Business Days prior to the deadline to file any information return pursuant to the Mandatory Disclosure Rules and the Parties shall reasonably cooperate in good faith (including sharing of draft reporting forms) to make any such report on a timely basis. Notwithstanding the foregoing and for greater certainty, each Party shall be permitted to report any transaction to an applicable Governmental Authority to the extent that such Party determines, acting reasonably, that such reporting is required by Applicable Law.

7.13 Non-Competition; Non-Solicitation.

(1) Each Vendor covenants with the Purchaser that, for three years from and after the Closing Date (the "**Restricted Period**"), it shall not, and shall not permit any of its Affiliates to, directly or indirectly: (i) operate, carry out, conduct, engage in or otherwise participate in, or

assist others in operating, carrying out, conducting, engaging in or otherwise participating in, or control or have any ownership interest in, any business that is the same as or substantially similar to or which competes with the Business in the Territory (a "**Restricted Business**"); or (ii) have an interest in a Restricted Business in any capacity, including as a partner, shareholder, member, employee, principal, agent, trustee or consultant; or (iii) interfere with the business relationships (whether formed before or after the date of this Agreement) between an Acquired Entity and customers or suppliers of such Acquired Entity; provided, however, that (i) passive ownership of less than 5% of the outstanding stock of any publicly-traded corporation, (ii) ownership by the Vendors and their respective Affiliates of Purchaser Shares; (iii) the board representation granted to the applicable Vendor in accordance with the terms and conditions set forth in the Investor Rights Agreement; and (iv) the applicable Vendors' operation of the loyalty program in accordance with the terms and conditions of the Program Participation Agreement, in each case, will not be deemed to be a breach of this Section 7.13(1).

(2) During the Restricted Period, each Vendor covenants with the Purchaser that it shall not, and shall not permit any of its Affiliates to, directly or indirectly interfere or in any other manner persuade or attempt to persuade any customer, client, supplier, broker, vendor, distributor, licensor, licensee or any other business relation of the Acquired Entities during the 12-month period preceding the Closing Date, to cease doing business with, refuse to do business with or to adversely alter or limit its business relationship with the Acquired Entities or their Affiliates.

(3) During the Restricted Period, the Vendors shall not, and shall not permit any of its Affiliates to, either alone or in conjunction with any other Person, directly or indirectly, solicit or attempt to solicit or attempt to solicit any ~~Employees~~employees, consultants, independent contractors or other service providers of the Acquired Entities or encourage any ~~Employees~~employees, consultants, independent contractors, agents or other service providers of the Acquired Entities to leave their employment or terminate their relationship with the Acquired Entities, except (x) pursuant to a general solicitation or public advertising that is not directed specifically to any such ~~Employees~~employees, consultants, independent contractors or other service providers of the Acquired Entities or (y) any such ~~Employees~~employees, consultants, independent contractors or other service providers of the Acquired Entities who are referred by a third-party recruiter or recruitment agency to the Vendors or their respective Affiliates, without any direct or indirect solicitation by or encouragement from the Vendors or their respective Affiliates.

(4) The Parties hereby agree that the restrictions in this Section 7.13 are necessary and reasonable in order to ensure that the Purchaser receives the full benefit of the goodwill and interests that the Parties intend it to receive in the transactions contemplated in this Agreement and that without the Vendors agreeing to these restrictions, the Purchaser would not enter into this Agreement.

(5) The covenants contained in this Section 7.13 and each provision hereof are severable and distinct covenants and provisions. The invalidity or unenforceability of any such covenant or provision as written shall not invalidate or render unenforceable the remaining covenants or provisions hereof, and any such invalidity or unenforceability in any jurisdiction shall not invalidate or render unenforceable such covenant or provision in any other jurisdiction.

(6) The Vendors acknowledges that a breach or threatened breach of this Section 7.13 would give rise to irreparable harm to the Purchaser, for which monetary damages would be inadequate, and hereby agrees, without intending to limit any additional remedies that may

be available, that in the event of a breach or a threatened breach by a Vendor of any such obligation, the Purchaser shall be entitled (to the extent permitted by Applicable Law) to seek temporary and permanent injunctive and other equitable relief that may be available from a court of competent jurisdiction (without any requirement to post a bond or other security). Each Vendor hereby acknowledges and agrees that, in the event a court of competent jurisdiction declares that there has been a breach by any Party of this Section 7.13, the term of any such covenant so breached shall be automatically extended for the period of time of the violation from the date on which such breach begins to the later of the date on which such breach ceases or the date of the entry by a court of competent jurisdiction of a final, non-appealable order, if any.

(7) The Parties acknowledge that the conditions set forth in Section 56.4(7) of the ITA have been satisfied such that Section 56.4(5) of the ITA applies to any "restrictive covenants" (as defined in Section 56.4(1) of the ITA) granted by the Vendors under this Agreement with respect to the Business carried on by the Acquired Entities (collectively, the "**Restrictive Covenants**"). Accordingly, the Parties acknowledge and agree that: (i) the Vendors deal at arm's length with the Purchaser, (ii) no proceeds shall be received or receivable by any Vendor or any other Person for granting the Restrictive Covenants; and (iii) the Restrictive Covenants are integral to this Agreement and have been granted to maintain or preserve the fair market value of the Shares.

7.14 Financing Cooperation.

(1) Prior to the Closing Date, the Vendors and the Acquired Entities shall use ~~commercially~~-reasonable best efforts to provide to the Purchaser and the Financing Sources, at the Purchaser's expense, such customary ~~and pertinent financial information, financial statements and related information for such periods as are required~~cooperation requested by the Purchaser and the Financing Sources in connection with financing to be obtained by the Purchaser for purposes of completing the transactions contemplated by this Agreement (the "**Financing**")~~and, including to (i) (A) assist the Purchaser in connection with the preparation, registration, execution and delivery (but in the case of registration, execution and delivery, solely to the extent any such registration, execution and delivery would only be effective on the Closing Date) of any pledge and security documents, mortgages, and currency or interest hedging arrangements, (B) facilitate the delivery of all shares and other certificates representing equity interests in the Acquired Entities to the extent required in connection with the Financing, and otherwise reasonably facilitate the pledging of collateral and granting of security interests in respect of the Financing, it being understood that such documents will not take effect, and such deliveries may not be made, until the Closing Date, (C) assist the Purchaser with obtaining any consents associated therewith, and (D) taking all corporate or other organizational action reasonably necessary to permit the consummation of the Financing; (ii) assist in the preparation of one or more credit agreements, guarantees, certificates (including solvency certificates) and other definitive financing documents as may be reasonably requested by the Purchaser (including furnishing all information relating to the Acquired Entities and their respective businesses to be included in any schedules thereto or in any perfection certificates), to be effect on the Closing Date; (iii) take all corporate actions, subject to the occurrence of the Closing Date, reasonably requested by the Purchaser to permit the consummation of the Financing; and furnishing promptly (and in any event within five (5) Business Days prior to the Closing Date to the extent requested at least seven (7) Business Days prior to the Closing Date) (A) all documentation and information relating to the Acquired Entities required by regulatory authorities including without limitation, with respect to the Financing under applicable "know your customer" and anti-money laundering rules and regulations and (B) pertinent financial~~

information, financial statements and related information for such periods as are required in connection with the Financing in each case on a confidential basis.

(2) The Purchaser shall (A) indemnify and hold harmless the Vendors, the Acquired Entities, and their respective pre-Closing directors, officers, employees, advisors and representatives (the “**Cooperation Indemnitees**”) from and against any and all liabilities, losses, damages, claims, costs, expenses, interest, awards, judgments and penalties (including the fees and expenses of counsel) suffered or incurred by them in connection with the Financing, in connection with the cooperation provided pursuant to Section 7.14 or any information provided in connection therewith (other than to the extent such liabilities, losses, damages, claims, costs, expenses, interest, awards, judgments and/or penalties arise from (i) a material misstatement in, or failure to state a material fact pertinent to, historical written financial information relating to the Acquired Entities provided by or on behalf of the Acquired Entities for use in connection with the Financing or (ii) the fraud, willful misconduct or gross negligence of the Cooperation Indemnitees), and (B) shall promptly reimburse the Acquired Entities for all reasonable documented out-of-pocket costs and expenses (including the fees and expenses of counsel) actually incurred by them or any of the Cooperation Indemnitees in cooperating with the obtaining of the Financing.

(3) The Purchaser acknowledges and agrees that the Purchasers’ ability to obtain the Financing is not a condition to the consummation of the transactions contemplated by this Agreement.

7.15 Pre-Closing Reorganization.³⁷⁴⁸ ~~in all material respects in accordance with~~set forth on Prior to the Closing, the Vendors shall complete the transactions Section 7.15 of the Disclosure Letter (the “Pre-Closing Reorganization”). Prior to completing the Pre-Closing Reorganization, the Vendors shall give the Purchaser the opportunity to review and comment on the Pre-Closing Reorganization implementation documents and the Vendors shall, in good faith, consider any such comments from the Purchaser. All such documentation shall be reasonably satisfactory to the Purchaser before the Pre-Closing Reorganization is effected.

7.16 Release of Guarantees. Prior to the Closing Date, the Parties shall, each at their own cost and expense, use commercially reasonable efforts to terminate the Mastercard Guarantee or replace the Mastercard Guarantee with alternative security to be provided by the Purchaser. The ~~applicable Vendor~~Vendors shall use commercially reasonable efforts to procure, by the Closing Date, the release of ~~such~~each Vendor or its applicable Affiliate, from the security arrangements, guarantees or indemnities set forth on Schedule 7.16.³⁸⁴⁹

7.17 Post-Closing Filings. From and after the Closing Date, the Vendors shall use commercially reasonable efforts (at the Purchaser’s sole cost and expense) to provide such cooperation as is necessary and reasonably requested by the Purchaser in connection with the preparation and filing of a business acquisition report required to be filed by the Purchaser pursuant to Part 8 (the “**BAR Requirements**”) of NI 51-102 in connection with the acquisition of the Acquired Entities within the prescribed time period under NI 51-102, including using commercially reasonable efforts to assist the Purchaser with the completion of the financial

³⁷⁴⁸ **Note to Vendor:** Any pre-closing reorganizations that might be required to be discussed.

³⁸⁴⁹ **Note to Purchaser:** LCL is the performance guarantor under the securitization program and as such has guaranteed performance of PCB’s obligations under the securitization contracts. Terminating these guarantees will require negotiation with the rating agencies, BMO, RBC and CIBC and may require noteholder votes to get the indenture trustee to consent. Approach to replacement/termination to be further discussed.

statements for the Business necessary to satisfy the BAR Requirements (excluding, for greater certainty, any pro forma financial statements prescribed by subsection 8.4(5) of NI 51-102) to the extent such financial statements for the Business have not already been provided by the Vendors.

7.18 Representation and Warranty Policy.

(1) The Parties acknowledge that the Representation and Warranty Policy provides that the underwriter of the Representation and Warranty Policy has no right of subrogation against any Vendor, and such underwriter has waived any such right of subrogation, in each case, except in the case of fraud.

(2) ~~Policy~~ The Purchaser covenants and agrees that ~~(i), to the extent within its control,~~ the provisions of the Representation and Warranty Policy relating to the matters referred to in ~~Section 3.3(25)~~subsection (1) will not be amended, supplemented or otherwise modified without the prior written consent of the Vendors; ~~and (ii) on or prior to the Closing Date, Purchaser shall have paid the deposit fee and all other payments or fees and taken all necessary actions to bind Purchaser's coverage under the Representation and Warranty Policy on or before the Closing Date.~~

~~7.19 — Mastercard Guarantee. Prior to the Closing Date, the Parties shall, each at their own cost and expense, use commercially reasonable efforts to terminate the Mastercard Guarantee or replace the Mastercard Guarantee with alternative security to be provided by the Purchaser.~~

7.19 ~~7.20~~ **Transition Services Agreement.** Prior to the Closing, the Parties shall in good faith negotiate and draft a transition services agreement (the “**Transition Services Agreement**”) that incorporates the terms set forth in the TSA Term Sheet and otherwise be in form and substance consistent with the TSA Term Sheet and mutually agreed to by the Parties, acting reasonably.⁵⁰

7.20 ~~7.21~~ **Insurance Support Agreement.** Prior to the Closing, the Parties shall in good faith negotiate and draft an insurance support agreement (the “**Insurance Support Agreement**”) that incorporates the terms set forth in the Insurance Support Term Sheet and otherwise be in form and substance consistent with the Insurance Support Term Sheet and mutually agreed to by the Parties, acting reasonably.⁵¹

7.21 ~~7.22~~ **Insurance.** ~~From and after~~The Purchaser acknowledges and agrees that all insurance coverage for the Acquired Entities under Vendor Insurance Arrangements (other than Vendor Insurance Arrangements maintained by the Acquired Entities) shall terminate immediately at Closing for claims alleging post-Closing acts by the Acquired Entities and their Affiliates and, from and after the Closing, no claims may be brought or maintained against any such Vendor Insurance Arrangements in respect of the Acquired Entities for claims alleging post-Closing acts that are not covered under the terms of the applicable Vendor Insurance Arrangements regardless of whether the events underlying such claim arose or were first discovered prior to or following the Closing; provided that notwithstanding anything to the contrary in this Section 7.21, from the Closing Date, the Purchaser and the Acquired Entities shall~~cease to be insured by, have access or availability to, be entitled to make claims on, be~~

⁵⁰ Note to Vendors: Subject to review of TSA Term Sheet.

⁵¹ Note to Vendors: Subject to ongoing review of Insurance Support Term Sheet.

~~entitled to claim benefits from or seek~~, at Purchaser's sole cost and expense, to, via the Vendors, make or notify a claim under Vendor Insurance Arrangements maintained by the Vendors or their Affiliates in respect of any event, act or omission that occurred prior to the Closing Date solely to the extent such coverage is available under ~~any of the~~ such Vendor Insurance Arrangements, and the Vendors and their Affiliates shall reasonably cooperate with Purchaser in connection therewith, including by paying any monies received in respect of such claim (after taking into account the applicable proportion (by reference to other claims made in the time period to which it applies) of any deductible or excess and less any Taxes suffered on the proceeds and any reasonable out of pocket costs or expenses suffered or incurred by the Vendors or their Affiliates in connection with such claim) to the Purchaser as soon as practicable after receipt by the Vendors or their Affiliates. For the avoidance of doubt, Vendors will retain liabilities associated with claims under Vendor Insurance Arrangements related to pre-close occurrences, regardless of the date the claim is reported.

7.22 Program Participation Agreement.

(1) Prior to the Closing Date, the Parties shall develop and deliver a written integration and launch plan (the "Integration and Launch Plan") setting out a comprehensive plan to (i) roll out the Program across LCL Channels and EQB Channels and (ii) integrate EQ Bank and PCB as applicable. The Integration and Launch Plan shall include key milestones and activities including: (a) the target date for the launch and public announcement of the Program and the communications strategy leading up to public announcement; (b) the target date for migration by EQB to one mobile app, (c) the target date for integration by EQB of the PC Money Account and the EQ Bank Personal Account, (e) a schedule for training of franchisees, dealers and independent operators in Loblaw PCO Stores regarding the launch, (f) a target date for rolling out in-store signage in LCL Channels (g) a schedule and operational plan for rolling out the Program and (h) a strategy for co-branding in digital LCL Channels and digital EQB Channels. All capitalized terms used but not defined in this Section 7.22 shall have the meaning give to them in the Program Participation Agreement.

(2) Prior to the Closing, the Parties shall in good faith meet and complete the Data Sharing Implementation Plan (as defined in the Program Participation Agreement), which shall set out a comprehensive plan for the implementation of the activities set out in Schedule 12 of the Program Participation Agreement.

7.23 Securitization.

(1) Prior to the Closing, the Parties shall use commercially reasonable efforts to obtain consent from the necessary counterparties to the Securitization Contracts, including, as applicable, the indenture trustee, the co-owners, any rating agencies and the noteholders, to release the PCB Vendor, as performance guarantor, pursuant to the Securitization Contracts (the "Performance Guarantor Release Consent").

(2) If the Parties are unable to obtain the Performance Guarantor Release Consent prior to the Closing, from and after the Closing Date, the Parties shall continue to use commercially reasonable efforts to obtain the Performance Guarantor Release Consent.

(3) If the Parties are unable to obtain the Performance Guarantor Release Consent prior to the Closing, from and after the Closing until such date that the Performance Guarantor Release Consent is obtained, the Purchaser hereby guarantees performance of Section 6.5 of the Pooling and Servicing Agreement, such that, to the extent that the PCB Vendor is required

to assume and ensure the due and timely performance of all of the obligations and liabilities of PCB, as seller and servicer, under the Pooling and Servicing Agreement, the Purchaser shall automatically assume and ensure the due and timely performance of such obligations.

(4) The Purchaser shall indemnify and hold harmless the PCB Vendor and its directors, officers, employees, advisors and representatives from and against any and all liabilities, losses, damages, claims, costs, expenses, interest, awards, judgments and penalties (including the fees and expenses of counsel) suffered or incurred by it in connection with any failure of the Purchaser to perform its obligations pursuant to Section 7.23(3).

(5) If the Parties are unable to obtain the Performance Guarantor Release Consent prior to the Closing, from and after the Closing, the Purchaser shall not create any new series co-ownership interests pursuant to the Pooling and Servicing Agreement or transfer any supplemental co-ownership interest pursuant to an existing series outstanding as of the Closing pursuant to the Pooling and Servicing Agreement unless (i) the Performance Guarantor Release Consent is obtained or (ii) the counterparties to such series agree that the performance guarantee set out in Section 6.5 of the Pooling and Servicing Agreement does not apply, and the PCB Vendor is released as performance guarantor, for such series.

ARTICLE 8 TERMINATION

8.1 Grounds for Termination.

This Agreement may be terminated on or prior to the Closing Date:

- (a) by the mutual written agreement of the Vendors and the Purchaser;
- (b) by written notice from the Purchaser to the Vendors as permitted in Section 5.2;
- (c) by written notice from the Vendors to the Purchaser as permitted in Section 5.4;
- (d) by written notice from the Vendors if the Closing has not occurred (other than through the failure of any Vendors to comply fully with their obligations under this Agreement) on or before the Outside Date;
- (e) by written notice from the Purchaser if the Closing has not occurred (other than through the failure of the Purchaser to comply fully with their obligations under this Agreement) on or before the Outside Date; or
- (f) by written notice from the Vendors to the Purchaser if an Intervening Event has occurred.

8.2 Effect of Termination. If this Agreement is terminated:

- (a) by the Vendors or by the Purchaser under Section 8.1, subject to Section 8.2(b), all further obligations of the Parties under this Agreement shall terminate, except for the obligations under Sections 7.2 (Confidentiality), Section 8.2 (Effect of Termination), Section 8.3 (Reverse Termination Amount) and Article 9 (General), which shall survive such termination; or
- (b) by a Party under Section 8.1(b), 8.1(c), 8.1(d), or 8.1(e) and the right to terminate arose because of a material breach of this Agreement by the other Party (including a material breach by the other Party resulting in a condition in favour of the terminating Party failing to be satisfied), then the breaching Party shall remain fully liable for any and all Damages sustained or incurred by the terminating Party directly or indirectly as a result thereof.

8.3 Reverse Termination Amount.

(1) Despite any other provision in this Agreement relating to the payment of fees and expenses, if a Reverse Termination Amount Event occurs, the Purchaser shall pay the Reverse Termination Amount to the Vendors (or as the Vendors may direct by notice in writing) in accordance with Section 8.3(3).

(2) For purposes of this Agreement, “**Reverse Termination Amount**” means \$³⁹⁵² and “**Reverse Termination Amount Event**” means the termination of this Agreement by the Vendors pursuant to Section 8.1(f) [*Intervening Event*].

(3) The Reverse Termination Amount shall be paid by the Purchaser by wire transfer of immediately available funds to an account designated by the Vendors within ten (10) Business Days after the occurrence of a Reverse Termination Amount Event.

(4) For the avoidance of doubt, in no event shall the Purchaser be obligated to pay the Reverse Termination Amount, on more than one occasion, in each case, whether or not the Reverse Termination Amount may be payable at different times or upon the occurrence of different events.

(5) The Parties acknowledge that the agreements contained in this Section 8.3 are an integral part of the transaction contemplated by this Agreement, and that without these agreements the Parties would not enter into this Agreement. The Parties further acknowledge that the payment amounts set forth in this Section 8.3 are paid in consideration for the disposition of the Vendors’ rights under this Agreement and represent liquidated damages which are a genuine pre-estimate of the damages, including opportunity costs, reputational damages and expenses, which the affected Party will suffer or incur as a result of the event giving rise to such damages and resultant termination of this Agreement, and are not penalties, and for greater certainty are not and are not intended to be an inducement, refund, reimbursement or assistance to either Party for entering into this Agreement. The Purchaser irrevocably waives any right it may have to raise as a defence that any such liquidated damages are excessive or punitive.

(6) Subject to the rights of the Parties to injunctive and other equitable relief or specific performance in accordance with Section 6.18 to prevent breaches or threatened breaches of this Agreement and to enforce compliance with the terms of this Agreement, each Party agrees that the payment of the Reverse Termination Amount in the manner provided in this Section 8.3 is the sole and exclusive remedy of the Vendors in respect of the event giving rise to such payment and the termination of this Agreement, and following receipt of the Reverse Termination Amount, as applicable, no Vendor shall be entitled to bring or maintain any claim, action or proceeding against the Purchaser or any of its Affiliates arising out of or in connection with this Agreement (or the termination thereof) or the transactions contemplated by this Agreement and the Purchaser shall have no further liability with respect to this Agreement or the transactions contemplated by this Agreement to the Vendors or any of their respective Affiliates ~~in respect of the event giving rise to such payment and the termination of this Agreement~~; provided, however, that this limitation shall not apply in the event of fraud ~~or a wilful breach~~ by Purchaser ~~or any of its subsidiaries making such representations, warranties, covenants or agreements set forth in this Agreement (which breach and liability therefore shall not be affected by termination of this Agreement or any payment of the Reverse Termination Amount)~~. For greater certainty, should the Vendors have reason to terminate this Agreement but elect not to terminate this Agreement, the Vendors shall be free to pursue any and all remedies against the Purchaser, including injunctive relief, specific performance or other equitable remedy, arising from the facts entitling the Vendors to otherwise terminate this Agreement.

³⁹⁵² **Note to Draft:** To be equal to 5% of transaction value.

ARTICLE 9 GENERAL

9.1 **Expenses.** Except as otherwise expressly provided herein, each Party shall be responsible for all costs and expenses (including any Taxes imposed on such expenses) incurred by it in connection with the negotiation, preparation, execution, delivery and performance of this Agreement and the transactions contemplated by this Agreement (including the fees and disbursements of legal counsel, bankers, investment bankers, accountants, brokers and other advisers). [Notwithstanding anything to the ~~foregoing~~contrary in this Agreement, all fees and expenses with respect to the Representation and Warranty Policy shall be shared by the Purchaser, on the one hand, and the Vendors, on the other hand, equally.]

9.2 **Public Announcements.** Notwithstanding anything to the contrary contained in this Agreement, from and after the date hereof, no Party shall make any press release or similar public announcement or public communication relating to this Agreement unless specifically approved in advance by the Purchaser and the Vendors, which approval shall not be unreasonably withheld, conditioned or delayed, except as may be required to comply with the requirements of any Applicable Law or Securities Regulators (based upon the reasonable advice of counsel), in which case: (i) the disclosing Party shall provide the Purchaser or the Vendors, as applicable, with prior written notice and a reasonable opportunity to review and comment on the disclosure; and (ii) such disclosure shall not contain any dollar amounts or other commercial terms of the transactions contemplated by this Agreement, unless, in each case, specifically required by Applicable Law or Securities Regulators.

9.3 Notices.

(1) *Mode of Giving Notice.* Any notice, direction, certificate, consent, determination or other communication required or permitted to be given or made under this Agreement shall be in writing and shall be effectively given and made if (i) delivered personally, (ii) sent by prepaid courier service or mail, or (iii) sent by e-mail (return receipt requested) or other similar means of electronic communication, in each case to the applicable address set out below:

(a) if to the Vendors, to:

1 Presidents Choice Cir
Brampton, Ontario L6Y 5S5

Attention: Katie McCullam; Andrew Bunston
Email: katie.mccullam@weston.ca; andrew.bunston@weston.ca

with a copy (which shall not constitute notice) to:

Torys LLP
3300 Toronto Dominion Centre
79 Wellington St. W
Toronto, Ontario M5K 1N2

Attention: Adrienne DiPaolo

Email: adipaolo@torys.com

(b) if to the Purchaser, to:

25 Ontario Street, Suite 2200
Toronto, Ontario M5A 3X5

Attention: Chadwick Westlake; Michael Mignardi
Email: [•]; mmignardi@eqbank.ca

with a copy (which shall not constitute notice) to:

Blake, Cassels & Graydon LLP
4000 Commerce Court West
199 Bay Street
Toronto, Ontario M5L 1A9

Attention: Cheryl Satin
Email: cheryl.satin@blakes.com

(2) *Deemed Delivery of Notice.* Any such communication so given or made shall be deemed to have been given or made and to have been received on the day of delivery if delivered, or on the day of e-mailing or sending by other means of recorded electronic communication, provided that such day in either event is a Business Day and the communication is so delivered, e-mailed or sent before 4:30 p.m. on such day. Otherwise, such communication shall be deemed to have been given and made and to have been received on the next following Business Day. Any such communication sent by mail shall be deemed to have been given and made and to have been received on the fifth Business Day following the mailing thereof; provided however that no such communication shall be mailed during any actual or apprehended disruption of postal services. Any such communication given or made in any other manner shall be deemed to have been given or made and to have been received only upon actual receipt.

(3) *Change of Address.* Any Party may from time to time change its address under this Section 9.3 by notice to the other Party given in the manner provided by this Section 9.3.

(4) *Vendor Notices.* Each Vendor and the Purchaser hereby acknowledge that, except where expressly provided in this Agreement, any notice to be delivered to or provided by a Vendor may be delivered to or provided by the PCB Vendor for and on behalf of the other Vendors.

9.4 Further Assurances. Each Party shall from time to time promptly execute and deliver or cause to be executed and delivered all such further documents and instruments and shall do or cause to be done all such further acts and things in connection with this Agreement that the other Party may reasonably require as being necessary or desirable in order to effectively carry out or better evidence or perfect the full intent and meaning of this Agreement or any provision hereof.

9.5 Entire Agreement. This Agreement constitutes the entire agreement between the Parties pertaining to the subject matter of this Agreement and supersedes all prior agreements,

understandings, negotiations and discussions, whether oral or written, (including the letter of intent between the Parties dated September 3, 2025). There are no conditions, representations, warranties, obligations or other agreements between the Parties in connection with the subject matter of this Agreement (whether oral or written, express or implied, statutory or otherwise) except as explicitly set out in this Agreement.

9.6 Amendment. No amendment of this Agreement shall be effective unless made in writing and signed by the Parties.

9.7 Waiver. A waiver of any default, breach or non-compliance under this Agreement shall not be effective unless in writing and signed by the Party to be bound by the waiver, and then only in the specific instance and for the specific purpose for which it has been given. No waiver shall be inferred from or implied by any failure to act or delay in acting by a Party in respect of any default, breach or non-observance or by anything done or omitted to be done by the other Party. The waiver by a Party of any default, breach or non-compliance under this Agreement will not operate as a waiver of that Party's rights under this Agreement in respect of any continuing or subsequent default, breach or non-observance (whether of the same or any other nature).

9.8 Severability. Any provision of this Agreement which is prohibited or unenforceable in any jurisdiction will, as to that jurisdiction, be ineffective to the extent of such prohibition or unenforceability and will be severed from the balance of this Agreement, all without affecting the remaining provisions of this Agreement or affecting the validity or enforceability of such provision in any other jurisdiction.

9.9 Attornment. Each Party agrees (a) that any Legal Proceeding relating to this Agreement shall be brought in any court of competent jurisdiction in the Province of Ontario, and for that purpose now irrevocably and unconditionally attorns and submits to the jurisdiction of such Ontario court; (b) that it irrevocably waives any right to, and shall not, oppose any such Legal Proceeding in the Province of Ontario on any jurisdictional basis, including *forum non conveniens*; and (c) not to oppose the enforcement against it in any other jurisdiction of any Order duly obtained from an Ontario court as contemplated by this Section 9.9. Service of summons and any other legal process which may be served in any action, suit or proceeding may be made by mailing or delivering a copy of such process to the applicable Party at the address given in Section 9.3. Nothing in this Section 9.9 shall affect the rights of the Parties to serve legal process in any other manner permitted by Applicable Law.

9.10 Governing Law. This Agreement shall be governed by and construed in accordance with the laws of the Province of Ontario and the laws of Canada applicable in such Province and this Agreement shall be treated, in all respects, as an Ontario contract.

9.11 Successors and Assigns; Assignment. This Agreement shall enure to the benefit of, and be binding on, the Parties and their respective successors and permitted assigns. Neither Party may assign or transfer, whether absolutely, by way of security or otherwise, all or any part of its respective rights or obligations under this Agreement without the prior written consent of the other Party. Notwithstanding the foregoing, the Purchaser may assign or transfer all or any part of its rights and obligations under this Agreement to a [direct or indirect](#) wholly-owned subsidiary of the Purchaser with written consent (which shall not be unreasonably withheld, conditioned or delayed), provided that no such assignment or transfer shall relieve the Purchaser of its obligations under this Agreement.

9.12 **Third Party Beneficiaries.** This Agreement is for the sole benefit of the Parties, and except as specifically provided for in Section 6.11, nothing in this Agreement, express or implied, is intended to or shall confer upon any other Person any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement.

9.13 **Counterparts.** This Agreement may be executed in counterparts, each of which shall be deemed to be an original and both of which taken together shall be deemed to constitute one and the same instrument. To evidence its execution of an original counterpart of this Agreement, a Party may send a copy of its original signature on the execution page hereof to the other Party by e-mail or by other electronic transmission and such transmission shall constitute delivery of an executed copy of this Agreement to the receiving Party.

IN WITNESS WHEREOF the Parties have executed this Agreement as of the date first above written.

LOBLAWS INC.

By: _____

Name:

Title:

PRESIDENT'S CHOICE SERVICES INC.

By: _____

Name:

Title:

GARDINER FINANCE COMPANY GMBH

By: _____

Name:

Title:

EQB INC.

By: _____

[Signature page to Share Purchase Agreement]

Name:

Title:

[Signature page to Share Purchase Agreement]

Document comparison by Workshare Compare on Sunday, November 30, 2025
12:05:27 AM

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Document 1 ID	netdocuments://1376-6710-5562/2
Description	Project Thunderstruck - Share Purchase Agreement - Draft to LCL
Document 2 ID	netdocuments://1376-6710-5562/4
Description	Project Thunderstruck - Share Purchase Agreement - Draft to LCL
Rendering set	Standard

Legend:	
<u>Insertion</u>	
Deletion	
<u>Moved from</u>	
<u>Moved to</u>	
Style change	
Format change	
Moved deletion	
Inserted cell	
Deleted cell	
Moved cell	
Split/Merged cell	
Padding cell	

Statistics:	
	Count
Insertions	1244
Deletions	1172
Moved from	37
Moved to	37
Style changes	0
Format changes	0
Total changes	2490

